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dbDataInsights Geopolitics Survey

The UK's Next Political Chapter: What do Britons want?

July 2026

Dr. Helen Belopolsky | Sanjay Raja | Debbie Jones

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

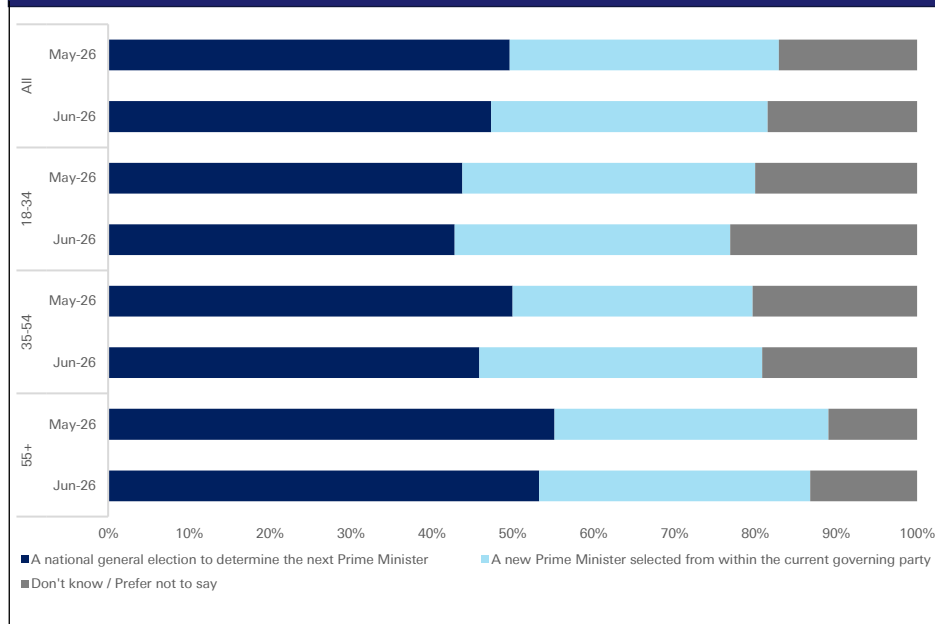
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Population would prefer election to determine the next Prime Minister



- The UK is facing yet another period of political transition. Prime Minister Starmer has announced his resignation and Starmer's successor is set to be chosen via a Labour Party leadership contest. Andy Burnham is the overwhelming favourite, having returned to Westminster following his victory in last month's Makerfield by-election. Thus far, no Labour MPs have announced their intention to run against Burnham.
- **Our survey data indicates that almost half of all respondents want a General Election** to determine the next PM, with older voters most in favour, compared with 34% supporting the selection of a new PM via an internal Labour Party contest. This sentiment is particularly salient as PM Starmer is currently only one of the last five PMs to have entered Downing Street as a result of a general election victory.
- While the opposition has not yet called for an election, **pressure will likely ramp up** if the new PM significantly deviates from Labour's 2024 Manifesto (though the size of Labour's majority and uncertain polling have raised the bar for an early election) and based on specific policies like defence spending or the economy.
- Both Keir Starmer, as Prime Minister, and Andy Burnham, should he become PM, operate within a tightly constrained environment defined by pre-election promises, a sobering economic reality, and restless internal party dynamics.

Support for yet another leadership transfer or national election?



Methodology

These results are derived from a monthly online nationally representative survey of ~550 respondents in the UK. Our protocol ensures proportional representation across key demographics such as age, income, location, and gender to accurately reflect population diversity. Participants are restricted from taking the survey more than once every six months. The geopolitics questions are integrated into a larger monthly survey conducted by the dbDataInsights team.

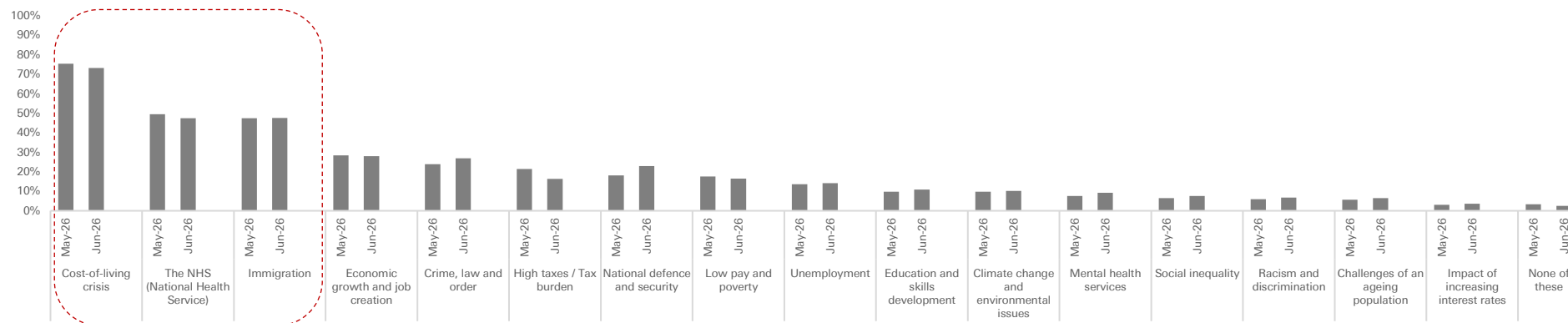
Source: dbDataInsights

Responses collected in June 2026 from an Online Nationally Representative sample of ~550 UK respondents.

Voters Speak: Defining the New Prime Minister's Core Mission



The New PM's Top Priorities



- The message from the electorate is loud and unequivocally clear: an overwhelming 73% of respondents, with remarkable consistency across every demographic and income band, demand that **the cost-of-living crisis be the new Prime Minister's absolute and immediate priority**. This unified call underscores the urgency and widespread concern that must now define the leadership's agenda.
- Andy Burnham has already promised action, stating that if successful, he would seek to reduce bills in areas such as energy, water and transport through increased public control. However, we note that many current cost pressures on essential goods and services (namely, energy and food) are driven by broader global volatility, including escalating trade tensions, persistent tariff pressures and military conflicts. Such external factors inevitably translate into significant impacts on household purchasing power and overall consumer sentiment domestically.
- Beyond economic pressures, the **National Health Service** also stands out as a significant immediate focus, identified by 47% of respondents – a reflection of an ageing society. This highlights a widespread public expectation that the health service requires urgent attention and resources beyond the multi-billion pound investment delivered thus far.
- Demographic-specific priorities are evident within the survey results. A notable **55% of the oldest age cohort surveyed identified immigration** as a key issue requiring the attention of the new PM. **28% of the youngest age group want to see focus on addressing unemployment** (vs. just 3% of the oldest group), likely reflecting the UK's high levels of youth unemployment and persistent fears over the impact of AI on entry-level jobs.

Source: dbDataInsights

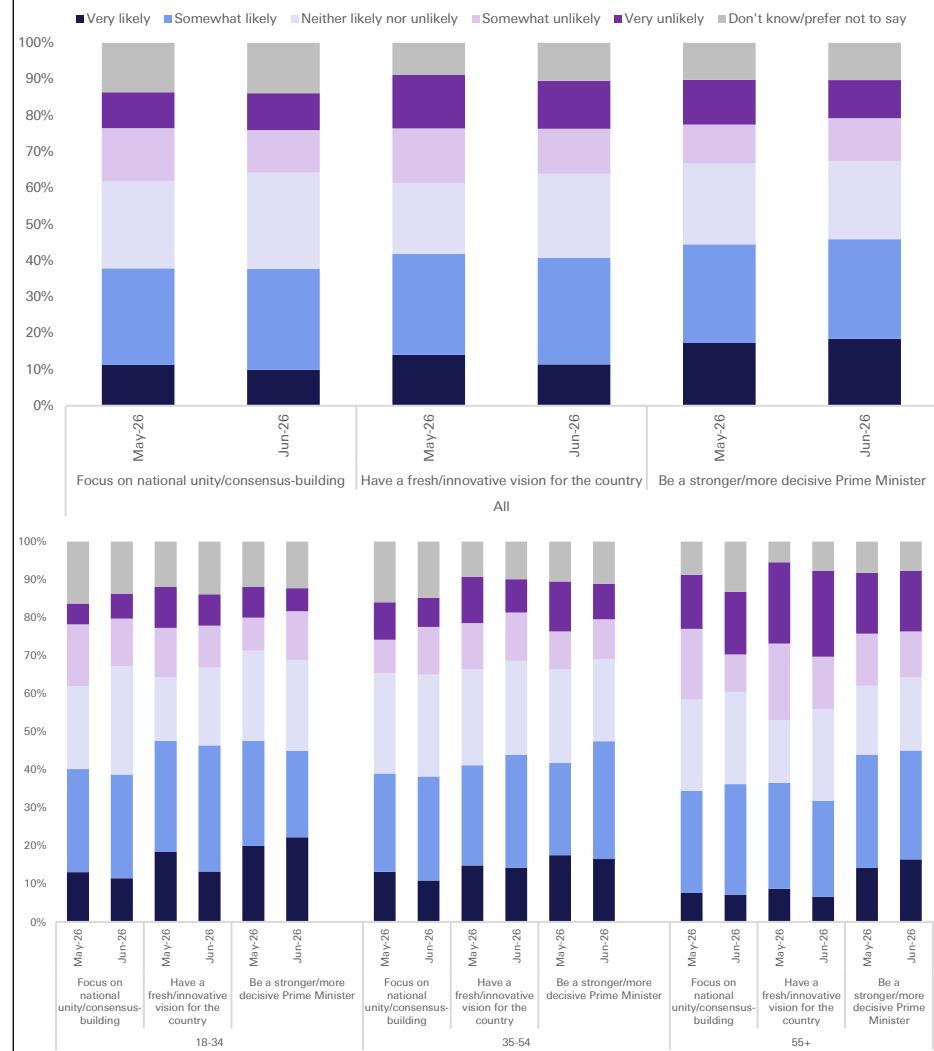
Responses collected in June 2026 from an Online Nationally Representative sample of ~550 UK respondents. See slide one for further information.

New PM, New Hope: Voters Expect a Different Approach and Vision



- A significant **46% of respondents anticipate a more decisive leader in the new PM**. This expectation suggests voters are looking for an administration that will implement its agenda with greater resolve, contrasting with past instances where initiatives faced alterations or reversals after public and Labour MP resistance.
- Approximately 41% of respondents anticipate the new PM is likely to pursue a **fresh or innovative vision for the country**. This sentiment is particularly pronounced among higher-income demographics, with 52% of those earning £50k+ expecting to see a new approach.
- Meanwhile, expectations that the new PM's strategy will represent a marked innovation appears to diminish with age, suggesting **younger cohorts are more optimistic about a fresh start**.
- 38% of respondents believe it is likely that the new PM will focus on **national unity / consensus building**. Given current fiscal constraints, we note that there will be a delicate balance between delivering positive change and avoiding reforms which could prove politically / electorally unpalatable.

Leadership Reset: What Voters Expect from the New PM



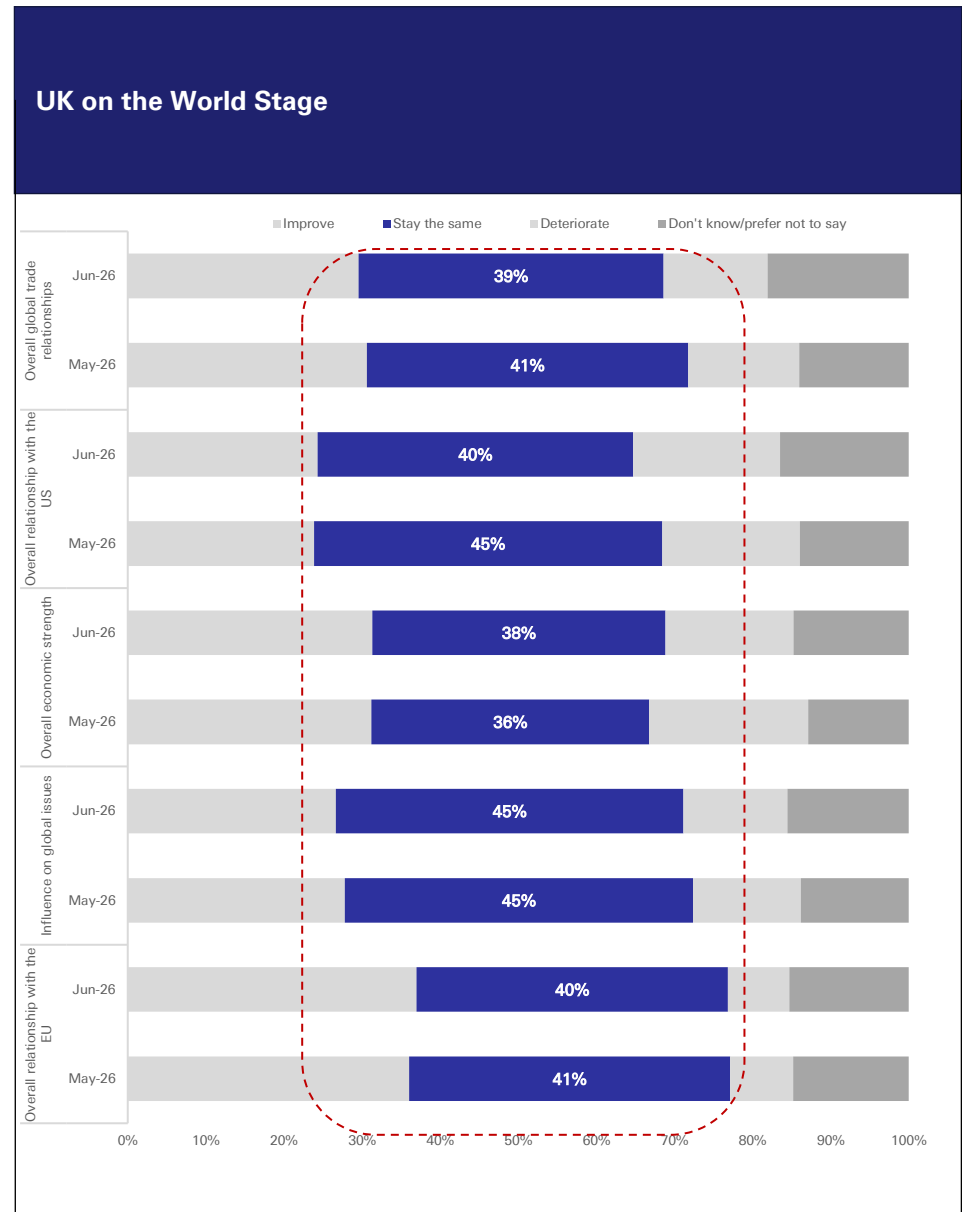
Source: dbDataInsights

Responses collected in June 2026 from an Online Nationally Representative sample of ~550 UK respondents. See slide one for further information.

Perception Shift? Guarded Optimism for the New PM's Impact



- 36% of respondents reported **feeling more optimistic about the overall future of the UK** as a result of a new Prime Minister being set to take office, with younger cohorts feeling particularly strongly (47% of 18–34 year-olds reported feeling more optimistic).
- On an international level, the public mood appears more guarded, with 45% of survey participants believing that the UK's **influence on global issues is set to remain the same**, perhaps indicating a perception that international relations are more deeply entrenched or less amenable to rapid positive change, regardless of a new Prime Minister's efforts.
- Respondents are split on the **trajectory of the UK's relationship with the US** under the new PM, with 24% expecting an improvement compared with 19% who foresee a deterioration.
- However, there is **greater optimism over the UK's relationship with the EU**, with 37% expecting this to get better compared with only 8% who believe it will get worse.
- The highest income group (£50k+) appears most optimistic that the new PM will see an improvement to the UK's international positioning and its relationships with key allies, while the oldest age cohort displays the greatest degree of caution.



Source: dbDataInsights

Responses collected in June 2026 from an Online Nationally Representative sample of ~550 UK respondents. See slide one for further information.

Appendix 1



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Charts to make you go WOW!!! 2026

July 2026

Jim Reid | Galina Pozdnyakova | Henry Allen | Rajsekhar Bhattacharyya

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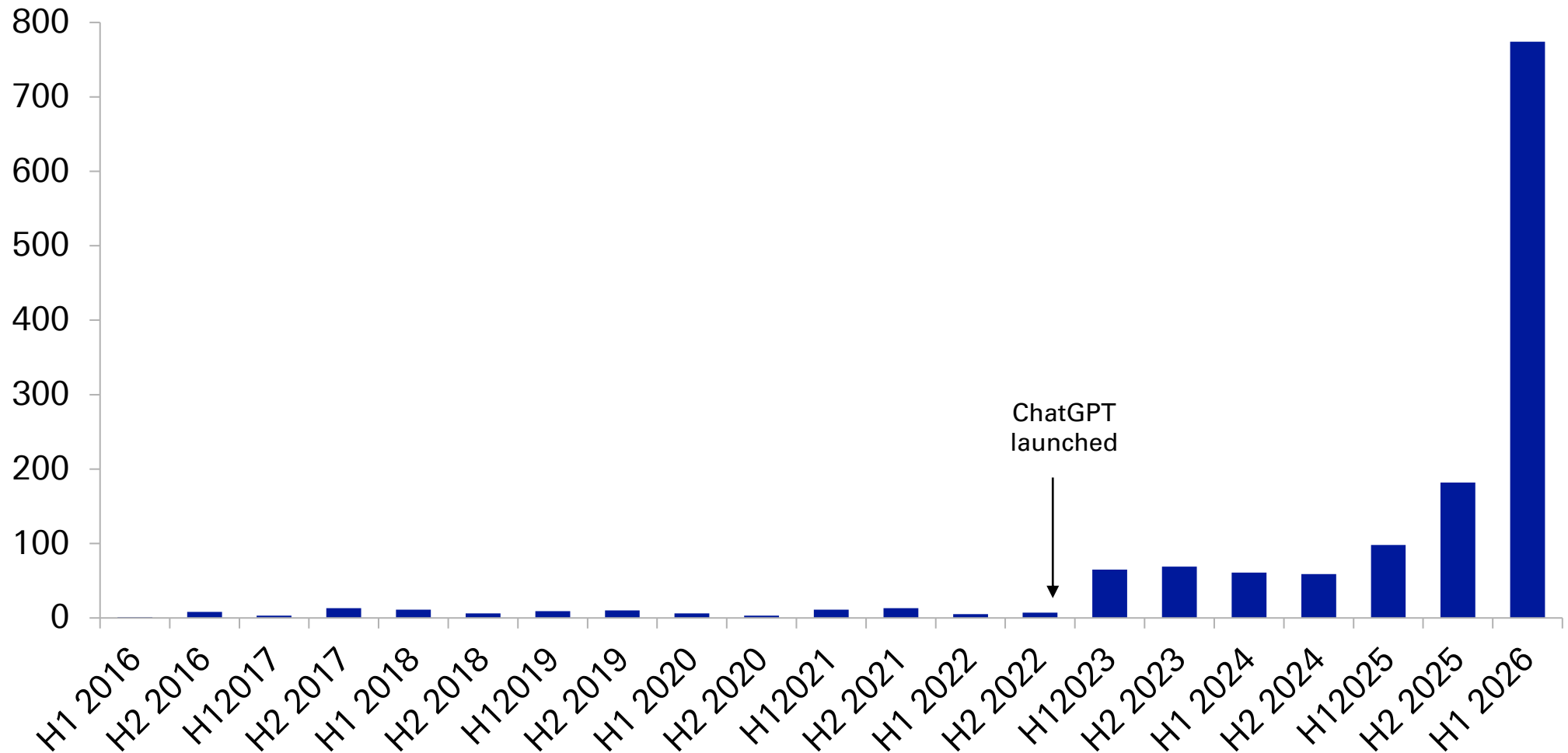
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The whole world has gone AI crazy....



Mentions of AI Disruptions in Global Earnings Call Transcripts

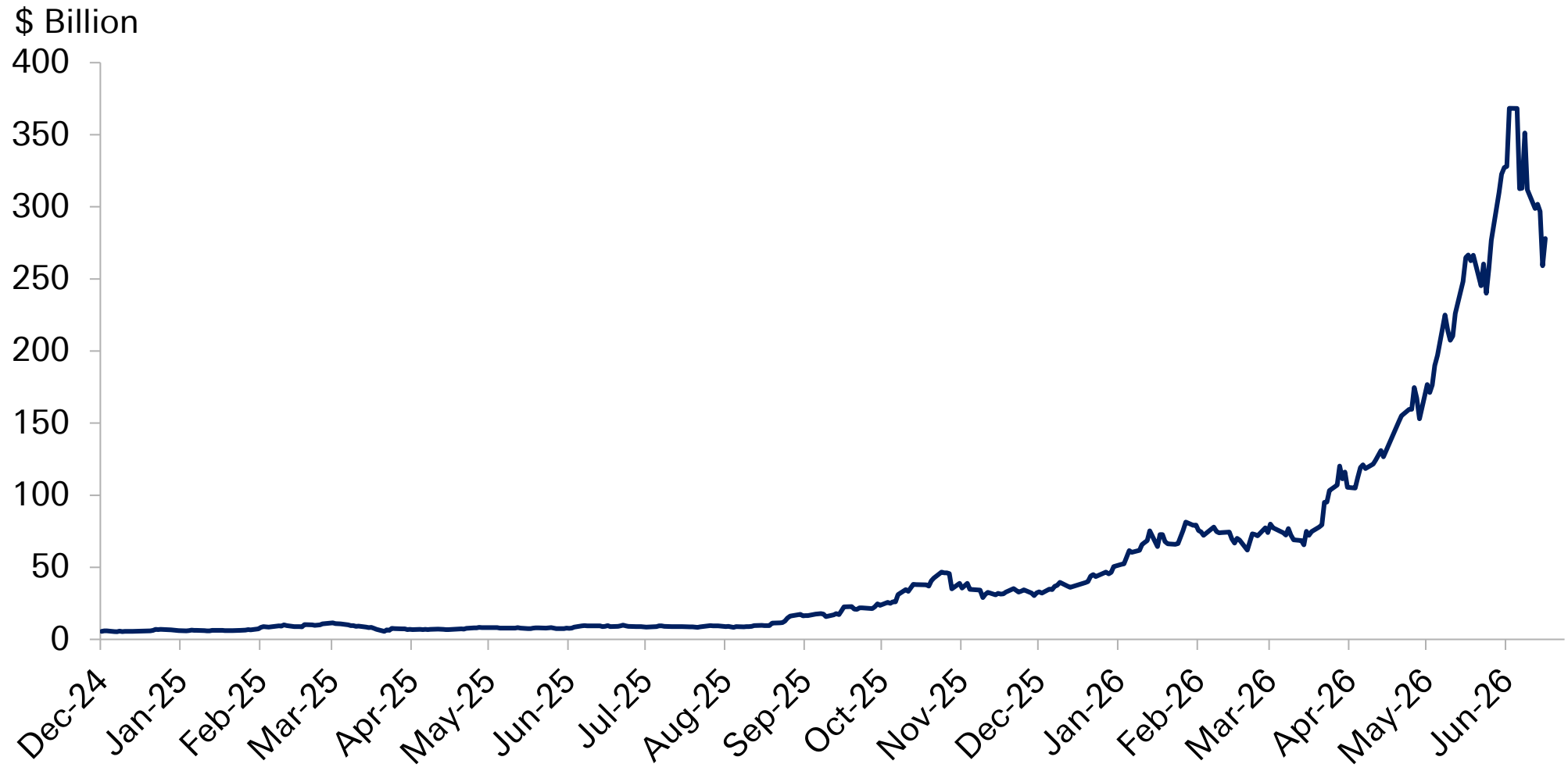


Source : Bloomberg Finance LP, Deutsche Bank., Last update : July 3

The largest company in Japan was only worth c.\$8bn 12 months ago. Was around 46 times larger at the peak 2 weeks ago. It only entered the Nikkei 225 on April 1st, 2026. It manufactures semiconductor memory products.



Kioxia Holdings Corporation Market Capitalisation

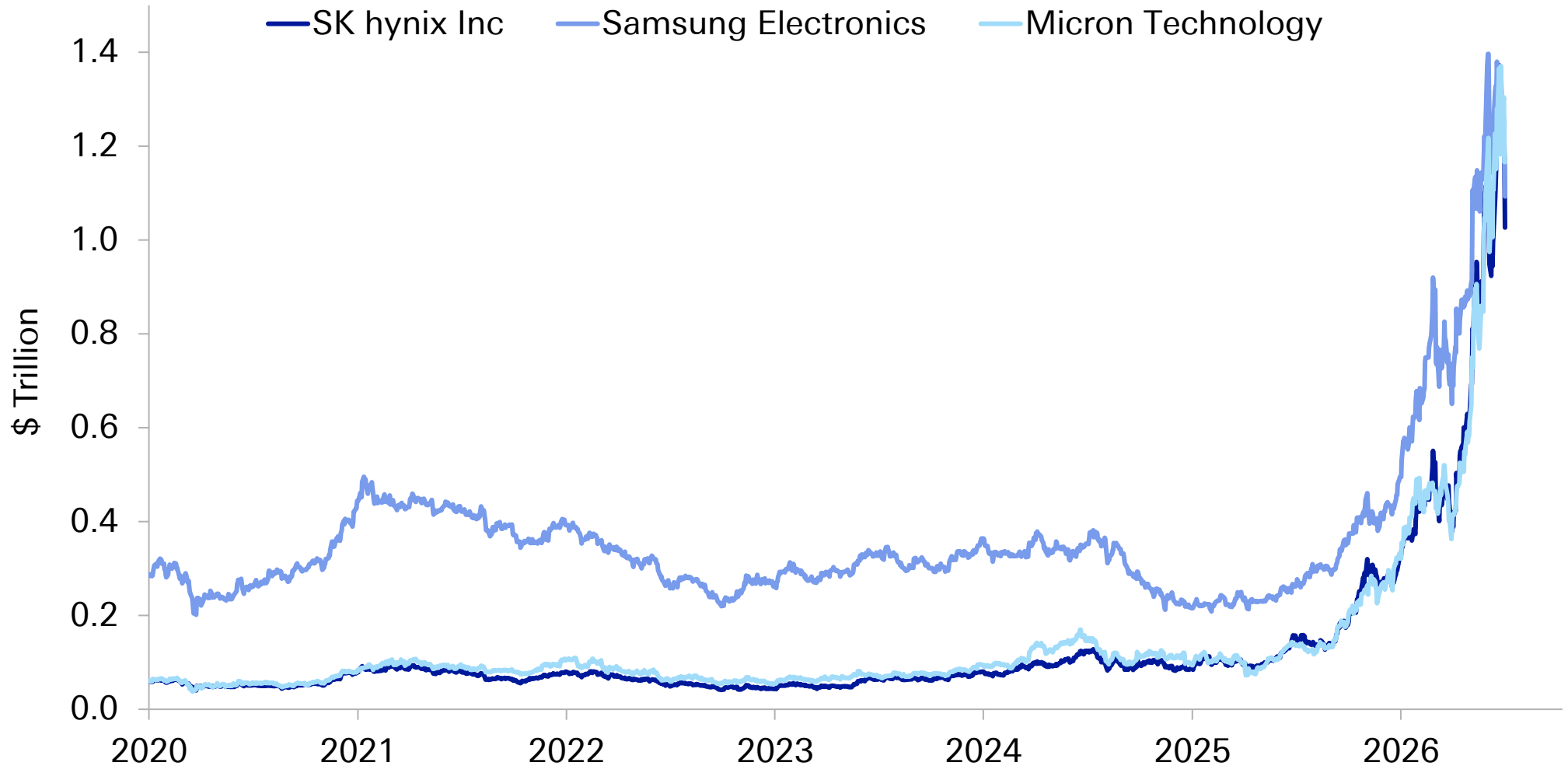


Source : Bloomberg Finance LP, Deutsche Bank., Last update : July 3



The largest global memory companies have seen their market caps climb around 5-10 times that of a year ago and have burst into the trillion-dollar club, an exclusive global club with only 17 members. A big sell-off over the last 10 days is worth watching though...

Market cap in US\$ of the largest global memory companies

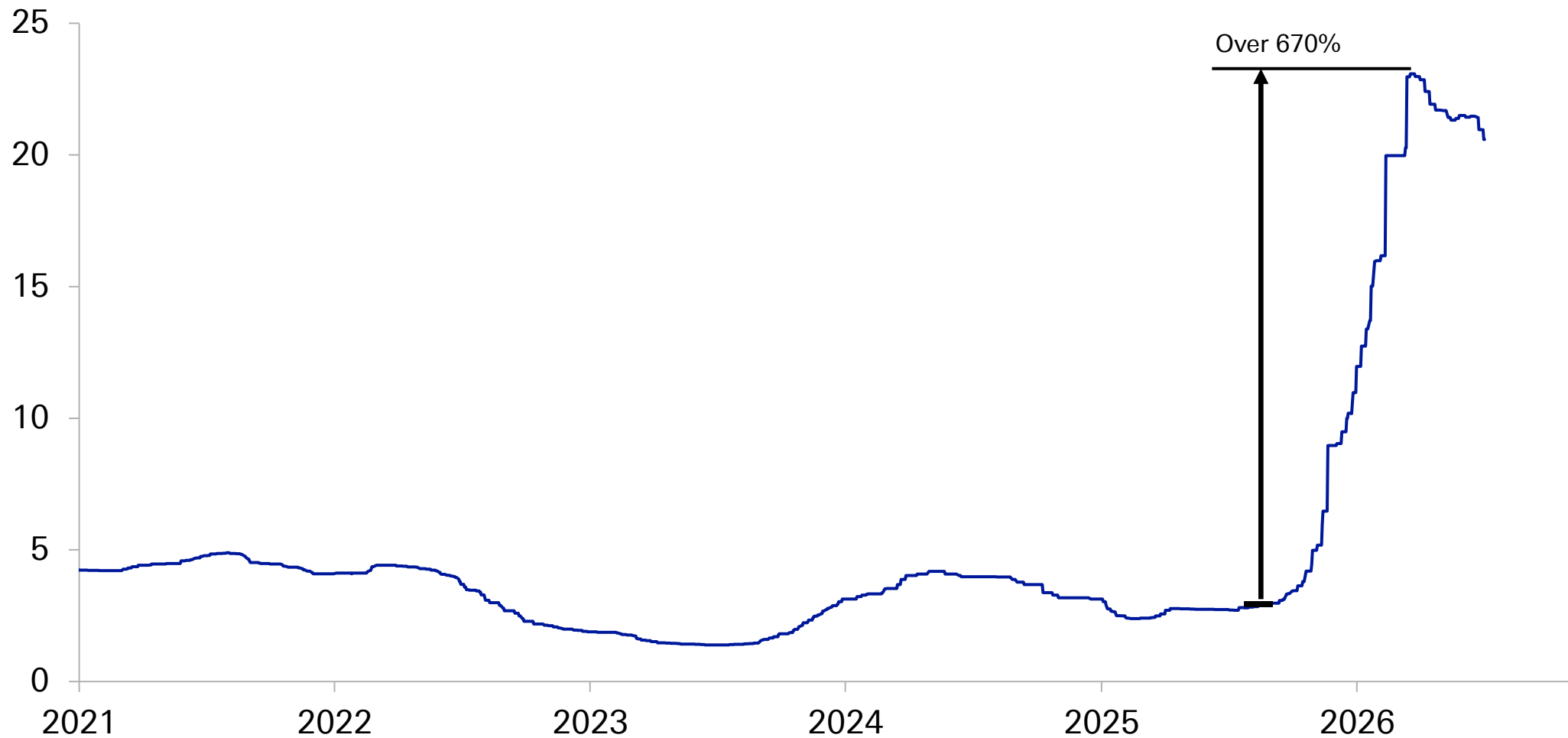


Source : Bloomberg Finance LP, Deutsche Bank., Last update : July 3

Memory is a broken market even if it has come off its highs...
expect all your consumer electronic prices to soar....



inSpectrum Tech Inc NAND FLASH Spot Price TLC Flash 512Gb

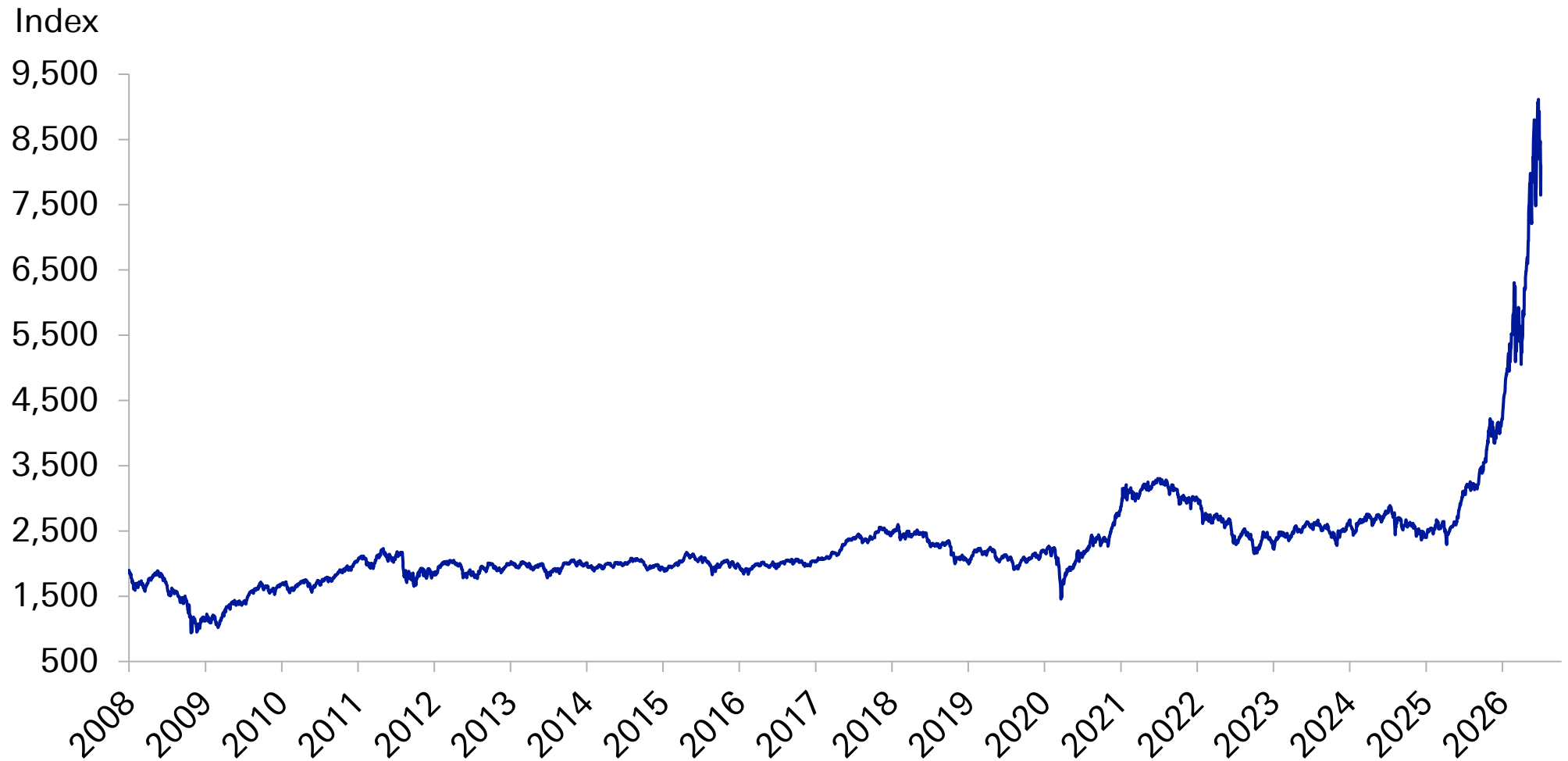


Source: Bloomberg Finance LP, Deutsche Bank, Last update July 3



Samsung and SK hynix helped the KOSPI triple over the past year after 17 years of doing nothing, even if some air has escaped from the balloon in recent days. Their combined market cap is still around 16 times that of the third largest company in the index.

KOSPI Index

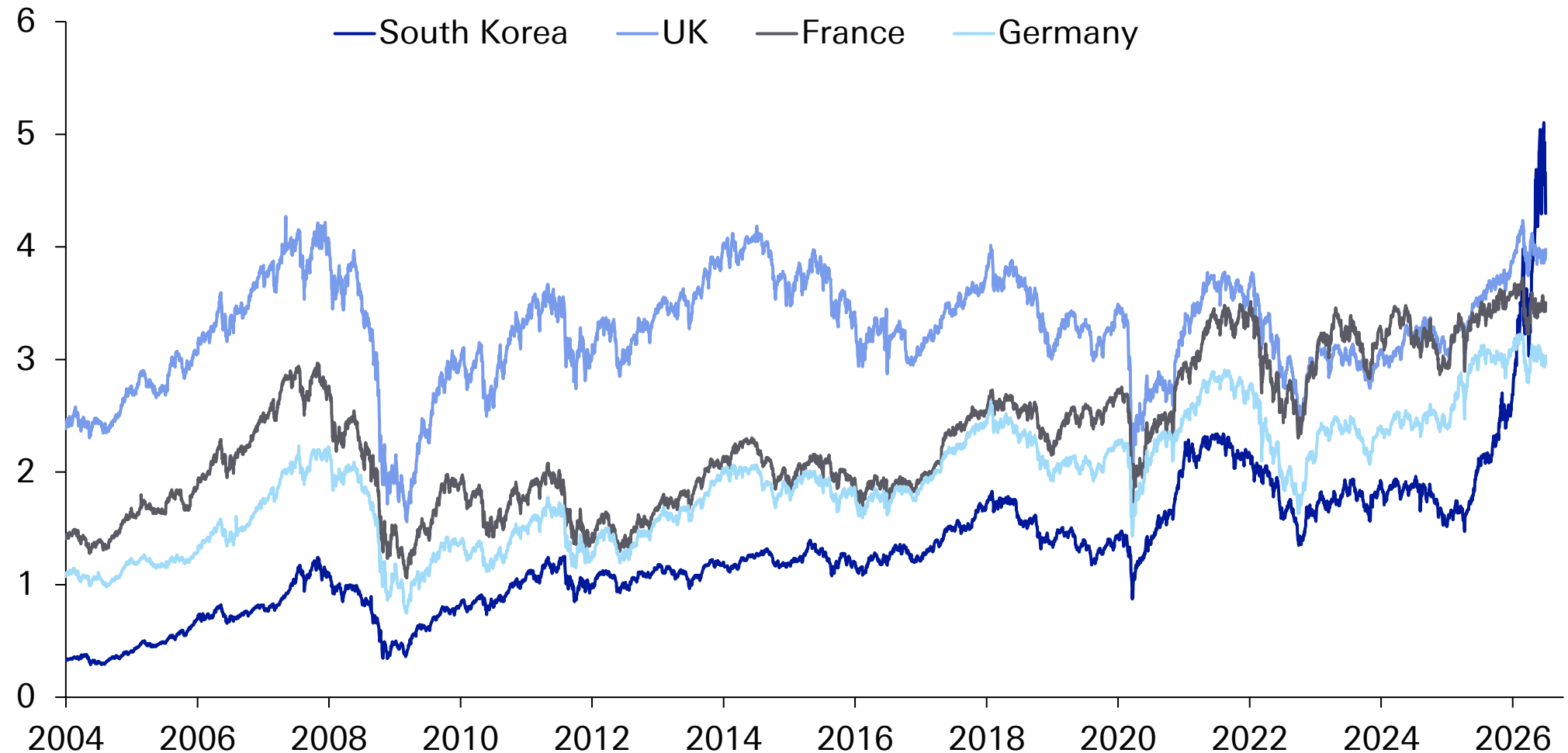


Source: Bloomberg Finance LP, Deutsche Bank; Last update July 3

As a result the Korean exchange has now flown past the three largest European ones in terms of market cap...



Market cap in \$tn of selected exchanges

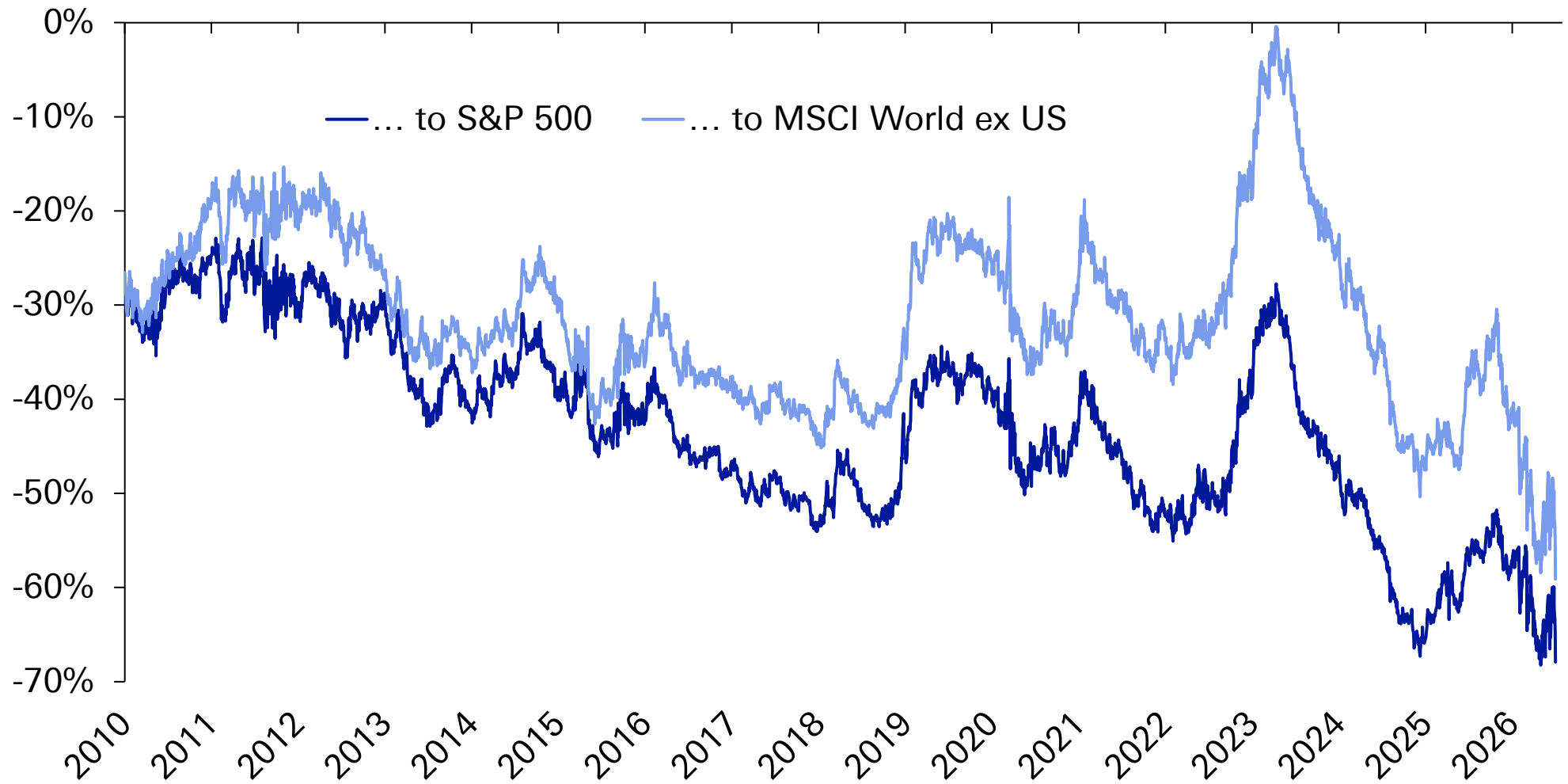


Source: Bloomberg Finance LP, Deutsche Bank.

Ironically, because of earnings estimates, it still trades at a large discount to the rest of the world. However this will all be very dependent on two companies' earnings...



Kospi 200 discount based on forward P/E

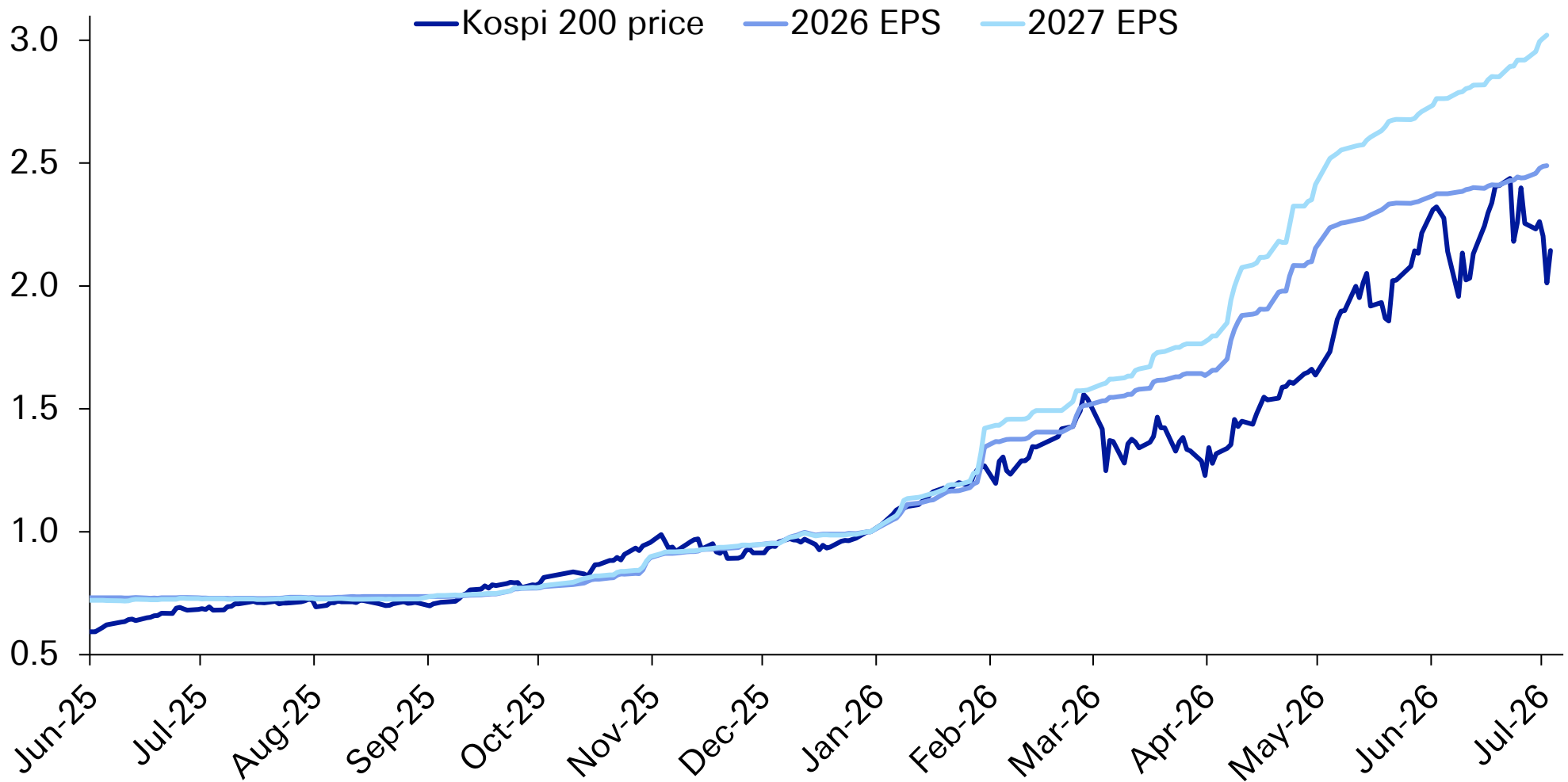


Source: Bloomberg Finance LP, Deutsche Bank.

So far the KOSPI move has actually lagged that of earnings which are again highly dependent on those two mega-caps



BBG consensus estimates for Kospi 200 full-year 2026 and 2027 EPS and the index price, rebased to end of 2025 (=1)

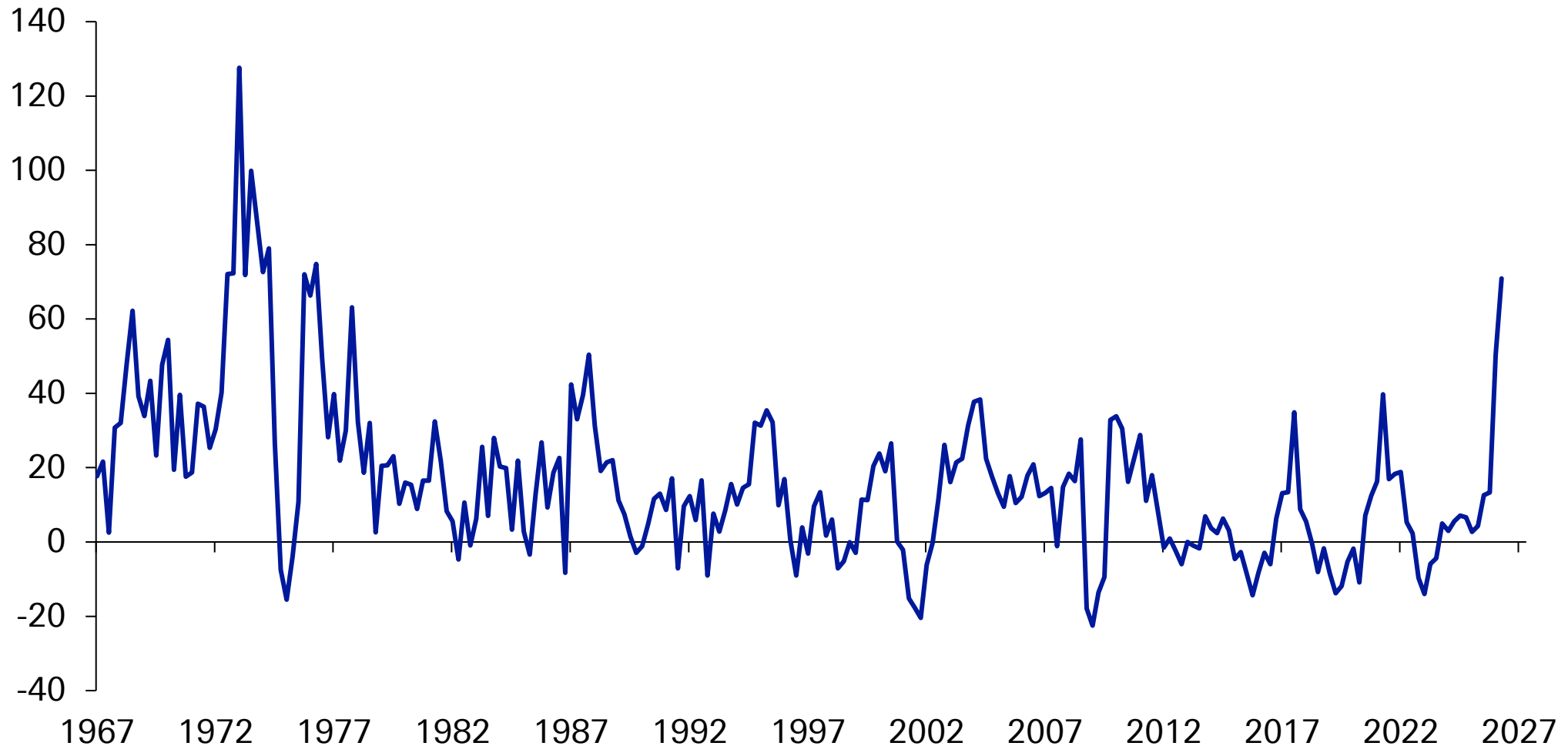


Source: Bloomberg Finance LP, Deutsche Bank.

Linked in to all this, South Korean exports are growing at their fastest YoY rate for 50 years...



South Korea Exports growth (%Y-o-Y)

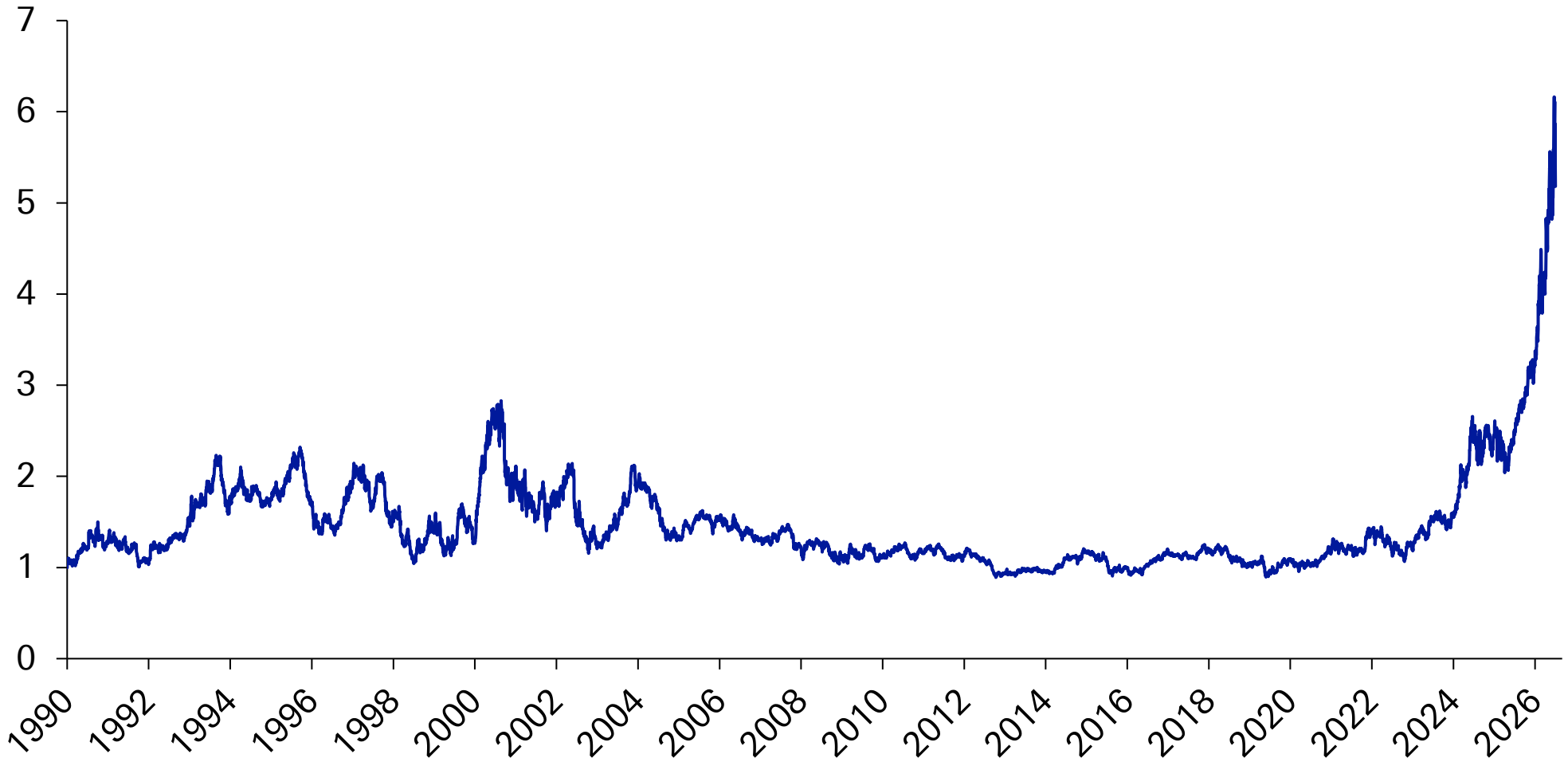


Source: Ministry of Trade, Industry and Resources, Bloomberg Finance LP, Deutsche Bank

It's clearly not just South Korea.. The semiconductors frenzy is global and has created an extreme bifurcation within tech as software lags on AI disruption fears



S&P 500 semiconductors & equipment relative to software & services, total returns ratio, since 1990 (=1)



Source: Bloomberg Finance LP, Deutsche Bank.



Party like it's 1999? Intel's share price has finally exceeded its high back in 2000. From its peak in 2000 to September last year, it was down around -75%. Since then, it's up over +600%. Is it a warning from the past as to how long it can take for stocks to recover after a valuation surge...

A Historic comeback: Intel's stock finally tops its 2000 high... and then some...



Source : Bloomberg Finance LP, Deutsche Bank, Last update: July 3

As AI fever takes over, Bitcoin has halved since October and has gone nowhere for 5yrs.



XBTUSD Spot Exchange Rate - Price of 1 XBT in USD



Source : Bloomberg Finance LP, Deutsche Bank, Last update: July 3

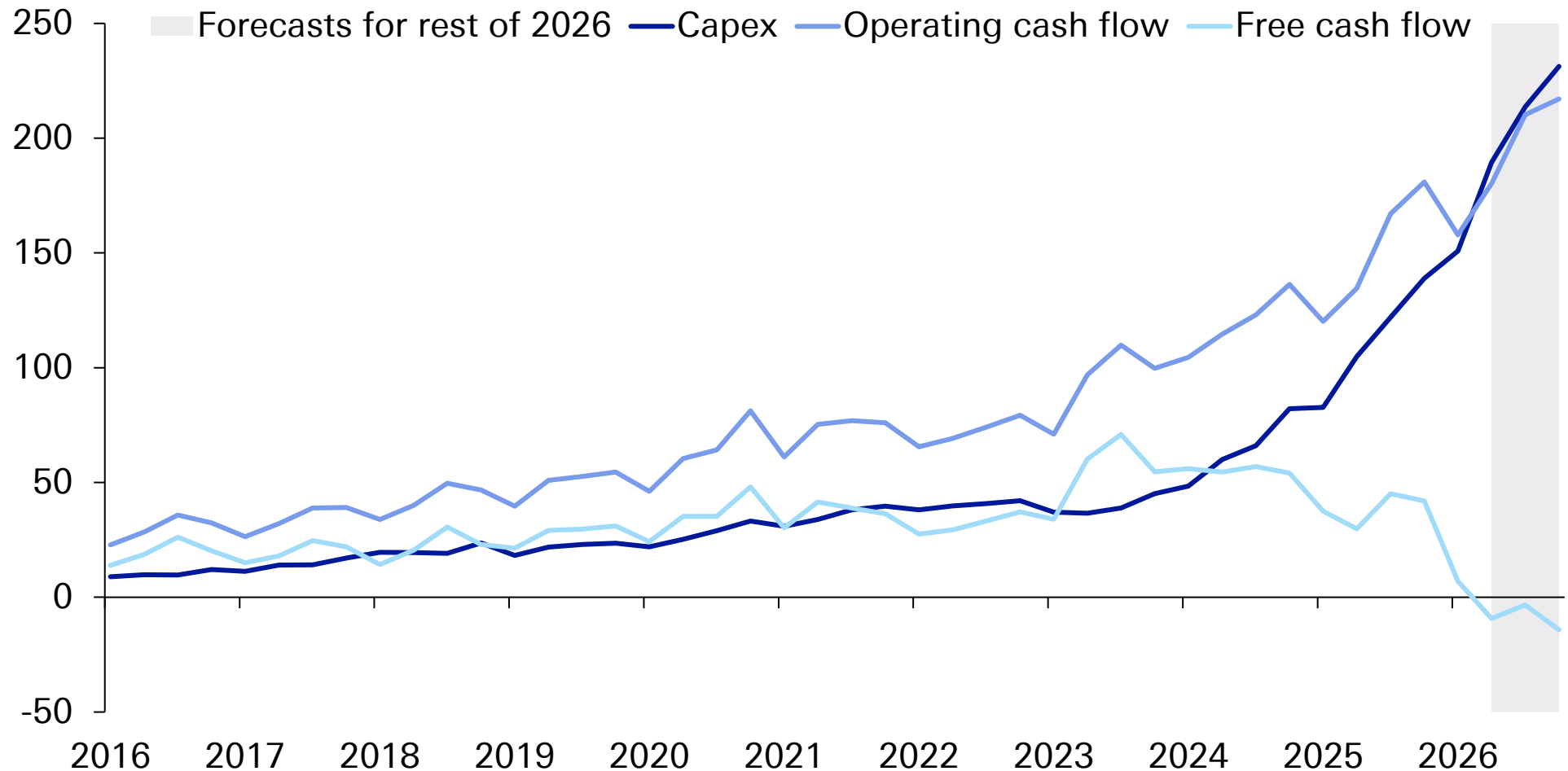


Hyperscalers. Capex starts to bite.

The 5 large US hyperscalers are now spending more on Capex than their combined operating cash flow...



5 hyperscalers, selected metrics with DB analysts' forecasts through 2026 (\$bn, quarterly)

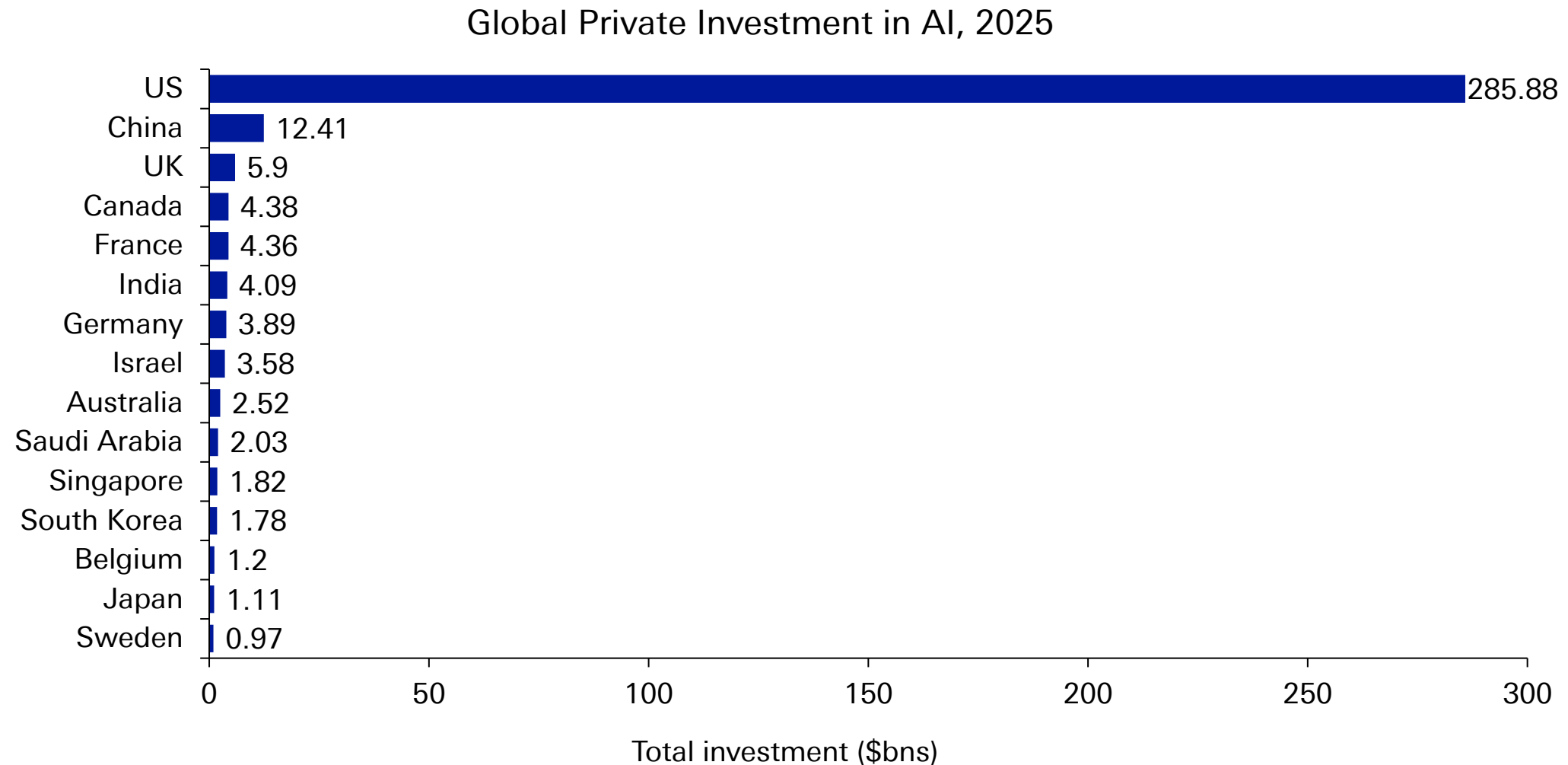


Source: Deutsche Bank, company reports.

Unparalleled access to private capital (around 20 times greater than the next-largest market) has helped finance the current wave of pioneering AI investment and innovation.



US private AI investment reached \$285bn in 2025, more 20x as much as in China

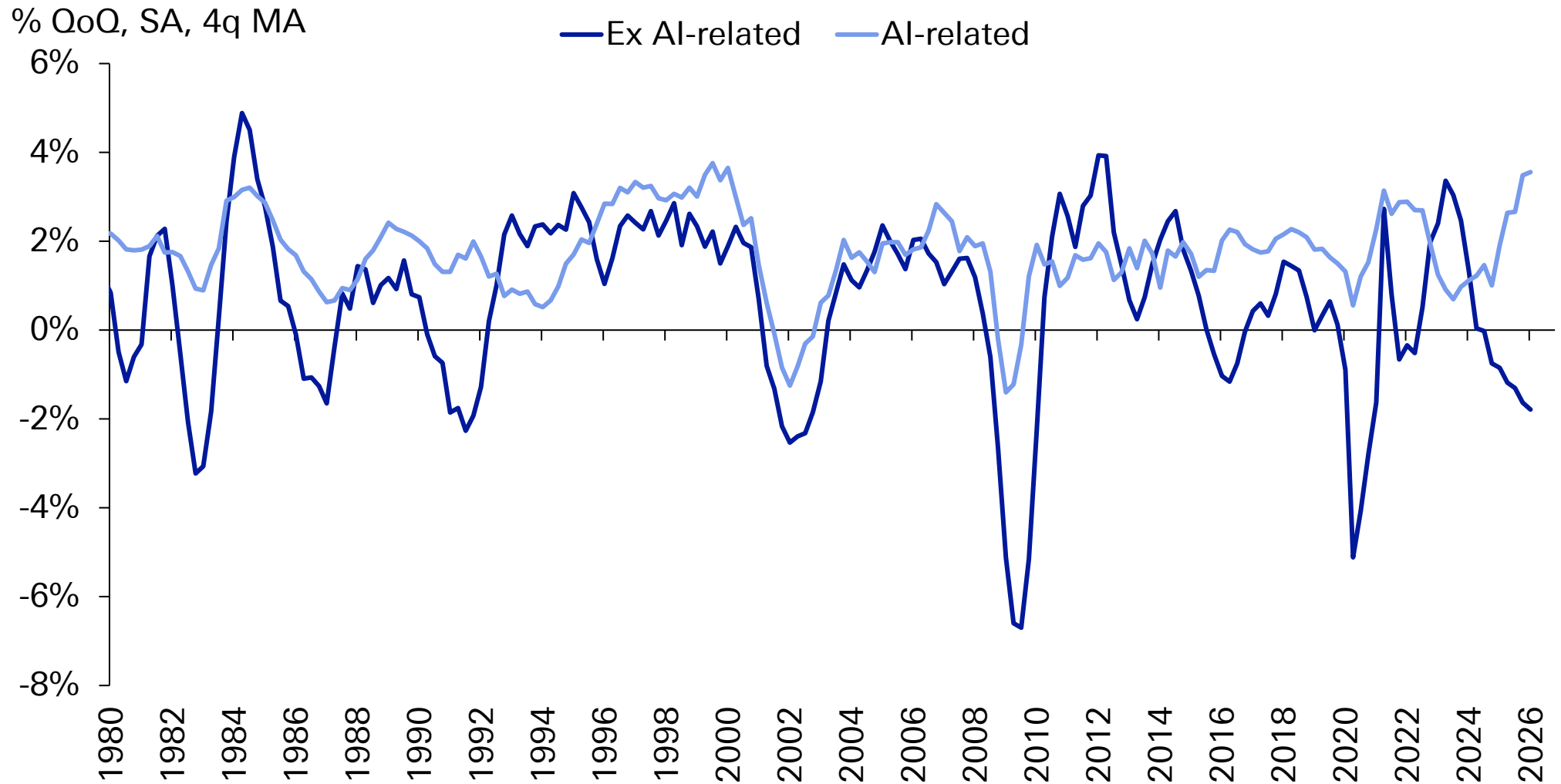


Source: Stanford University 2026 Artificial Intelligence Index Report, Deutsche Bank Research

But is this AI Capex crowding out non-AI investment?



US real private nonresidential fixed investment (Chn.2017\$)

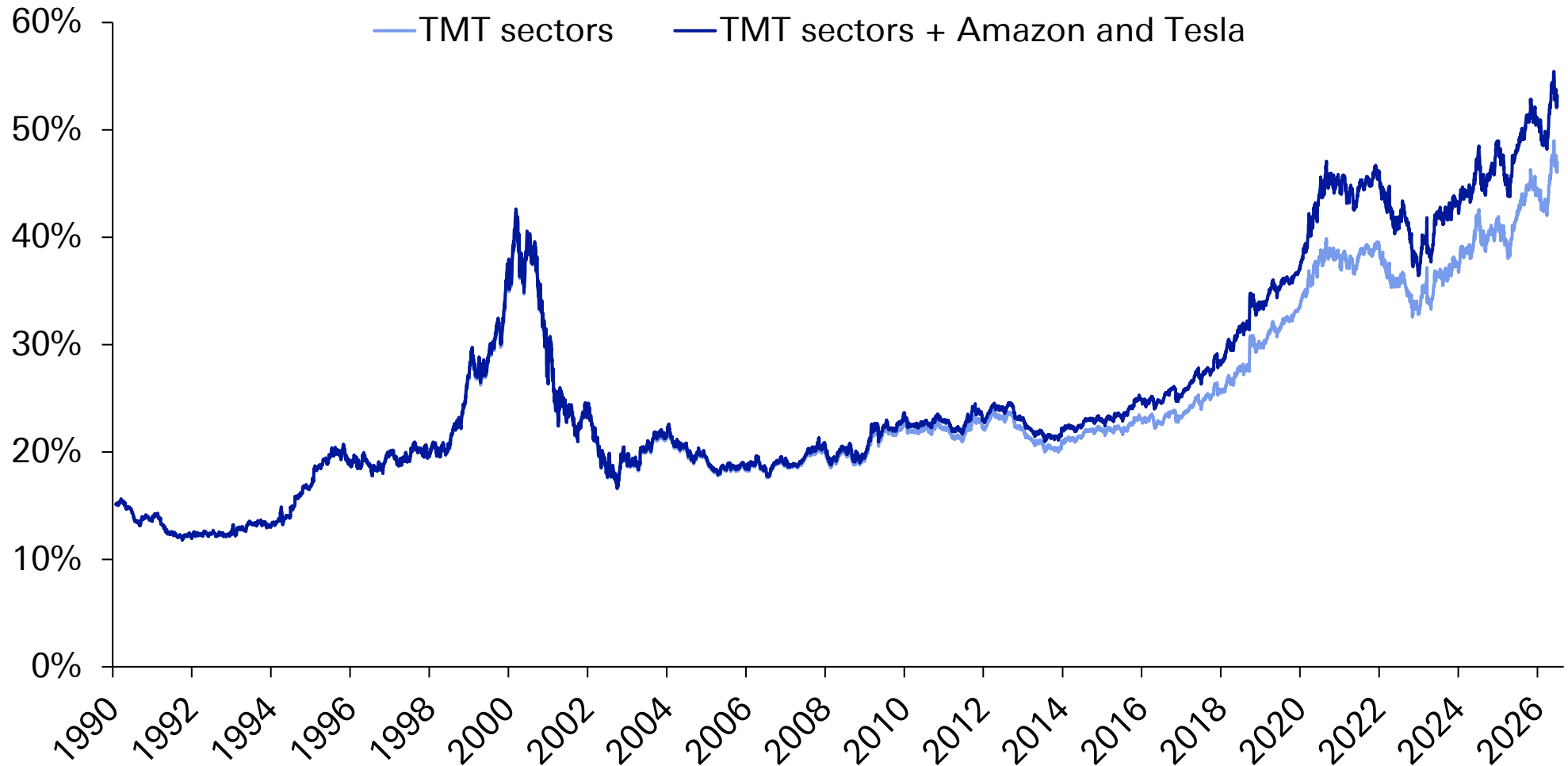


Source: BEA, Haver Analytics, Deutsche Bank. Note: includes information processing equipment, software, R&D and data centres.

This comes as TMT companies (mostly AI related) are now more than half of the S&P 500



Tech as a share of S&P 500 market cap

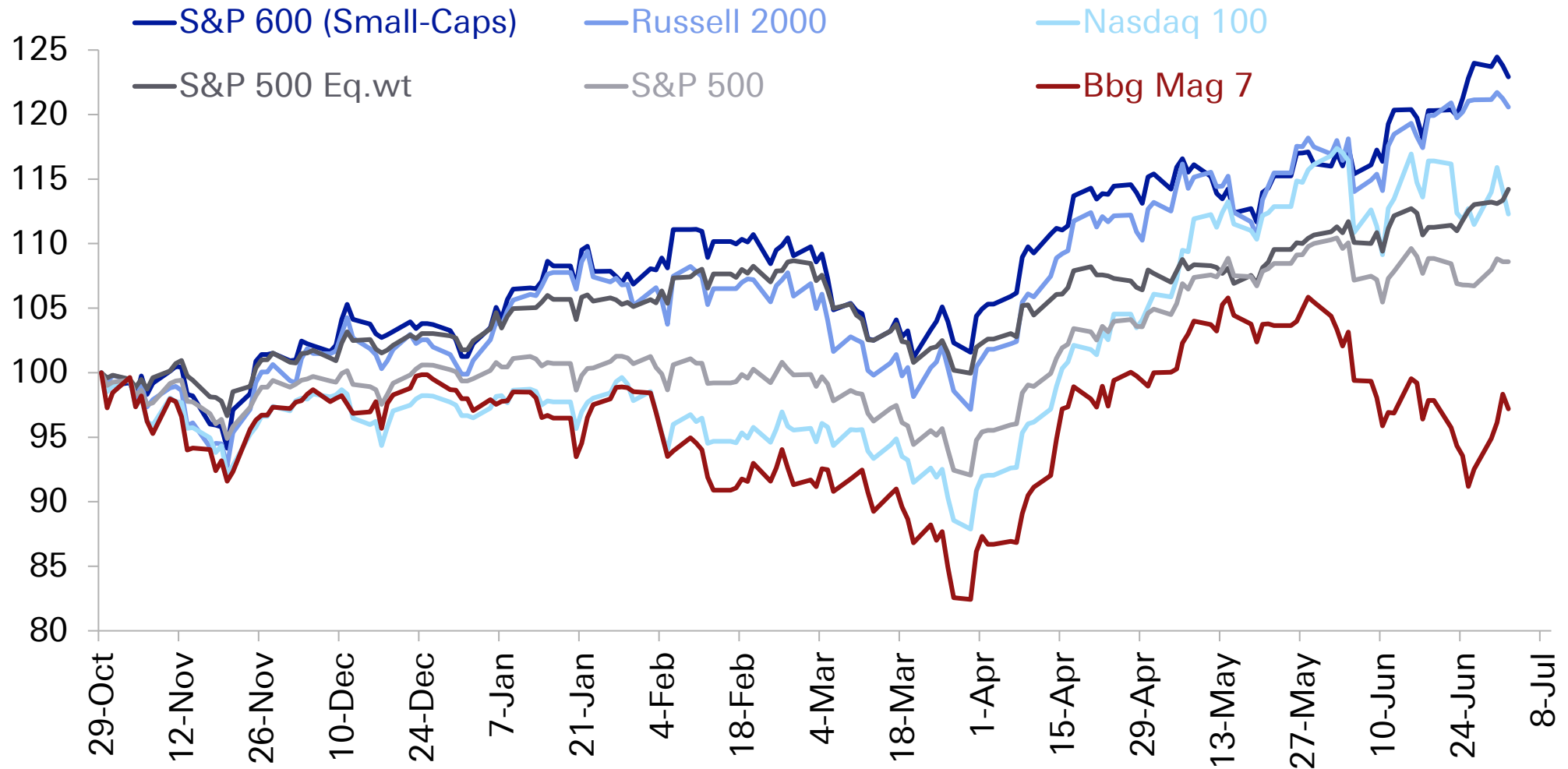


Source: Bloomberg Finance LP, Deutsche Bank.

However the S&P 500's leadership has changed, and the Mag-7 have underperformed in recent months...



Rotation away from large cap tech. US Index performance (Oct 29, 2025=100)

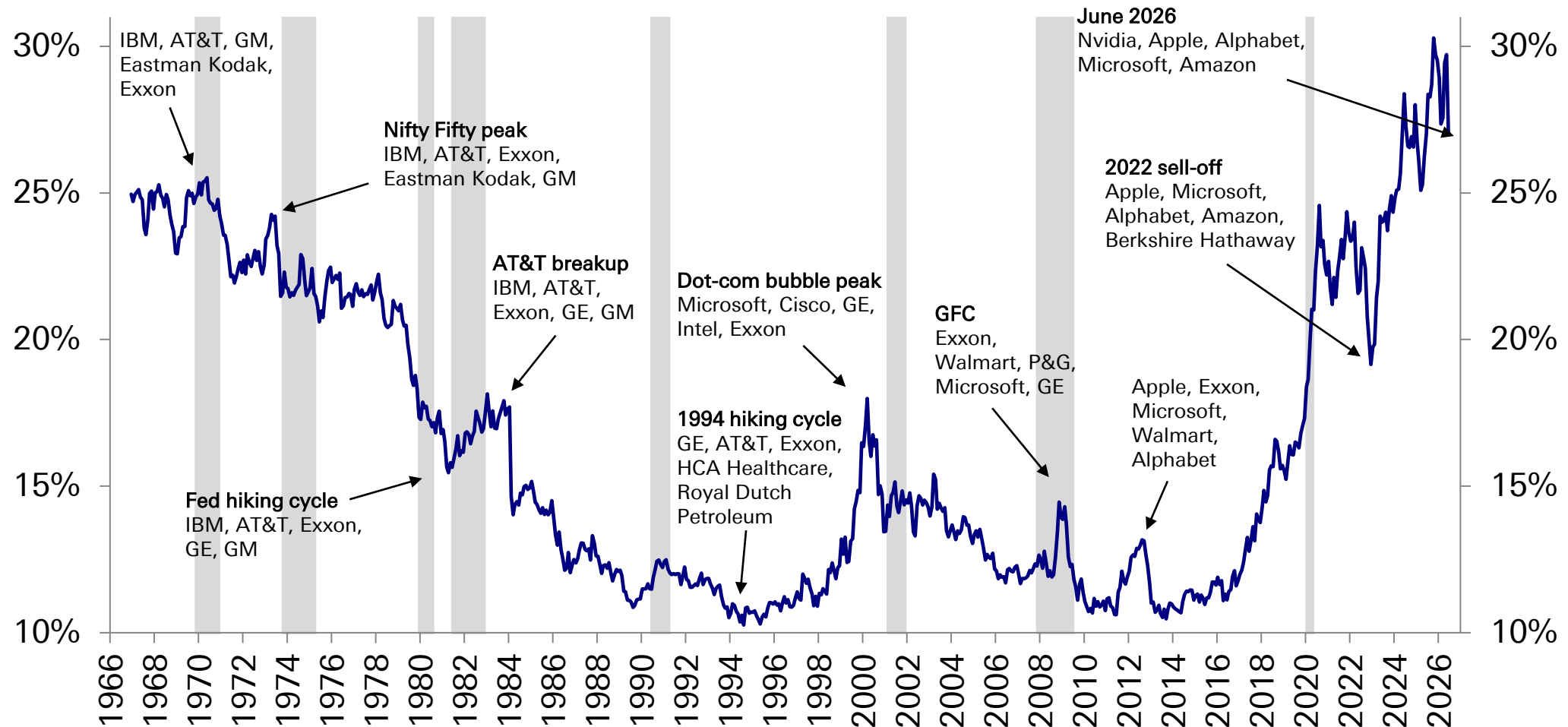


Source: Bloomberg Finance LP, Deutsche Bank., Last update July 3



This Mag-7 underperformance has meant the top 5 weighting in the S&P 500 has fallen since the peak in October last year and is back at the same level as it was 2 years ago.

Proportion of the S&P 500 made up by top 5 names by size

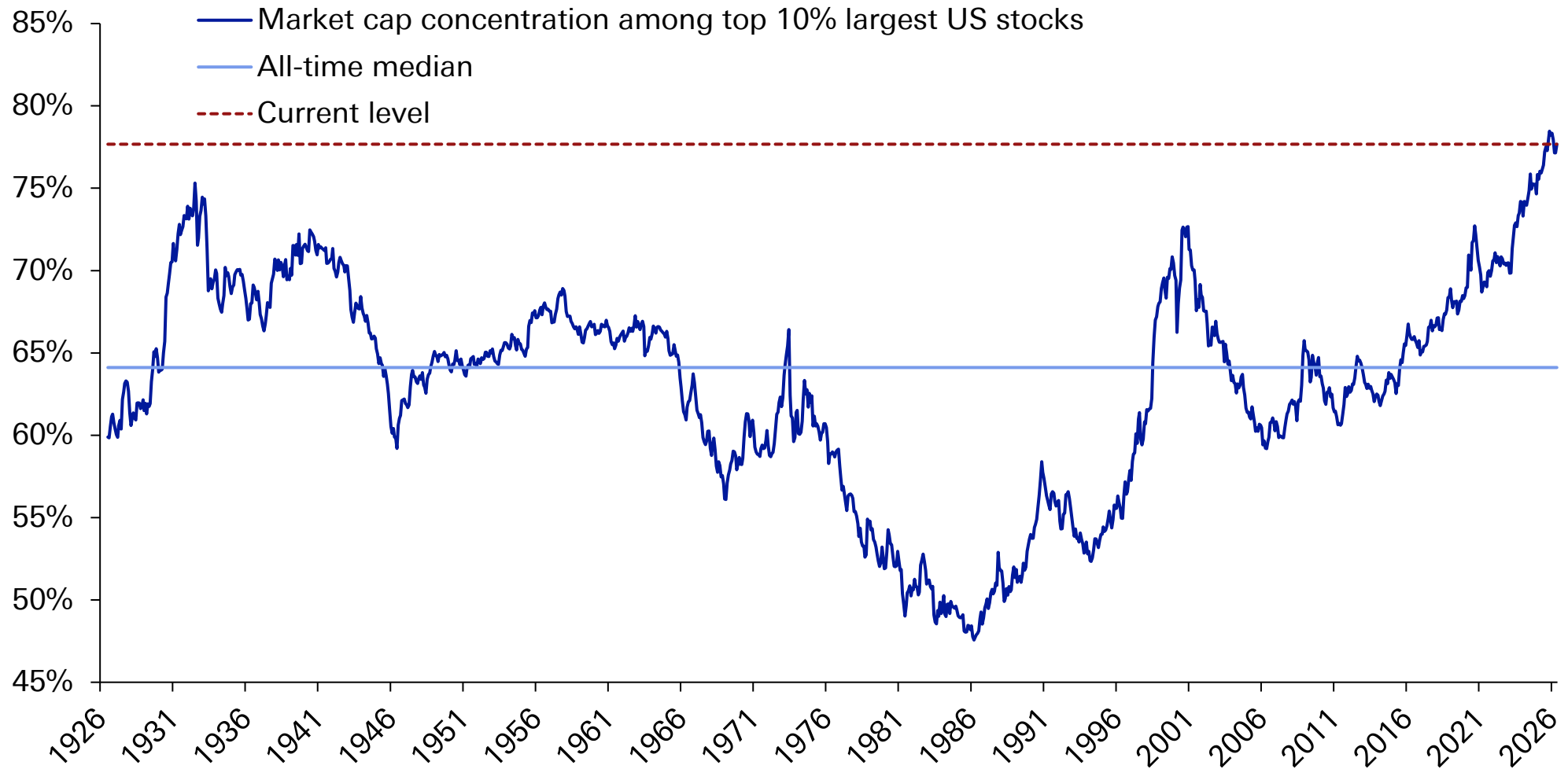


Source: Bloomberg Finance LP, Deutsche Bank. Note: as of June 30.



A similar trend can be seen for the top decile of companies in the whole of the US market, but it's closer to the record level of concentration, showing overall dominance of the wider mega caps beyond the Mag-7

Top 10% of stocks by size versus the entire US stock market



Source: Kenneth R. French database, Deutsche Bank. Note: as of May 2026.

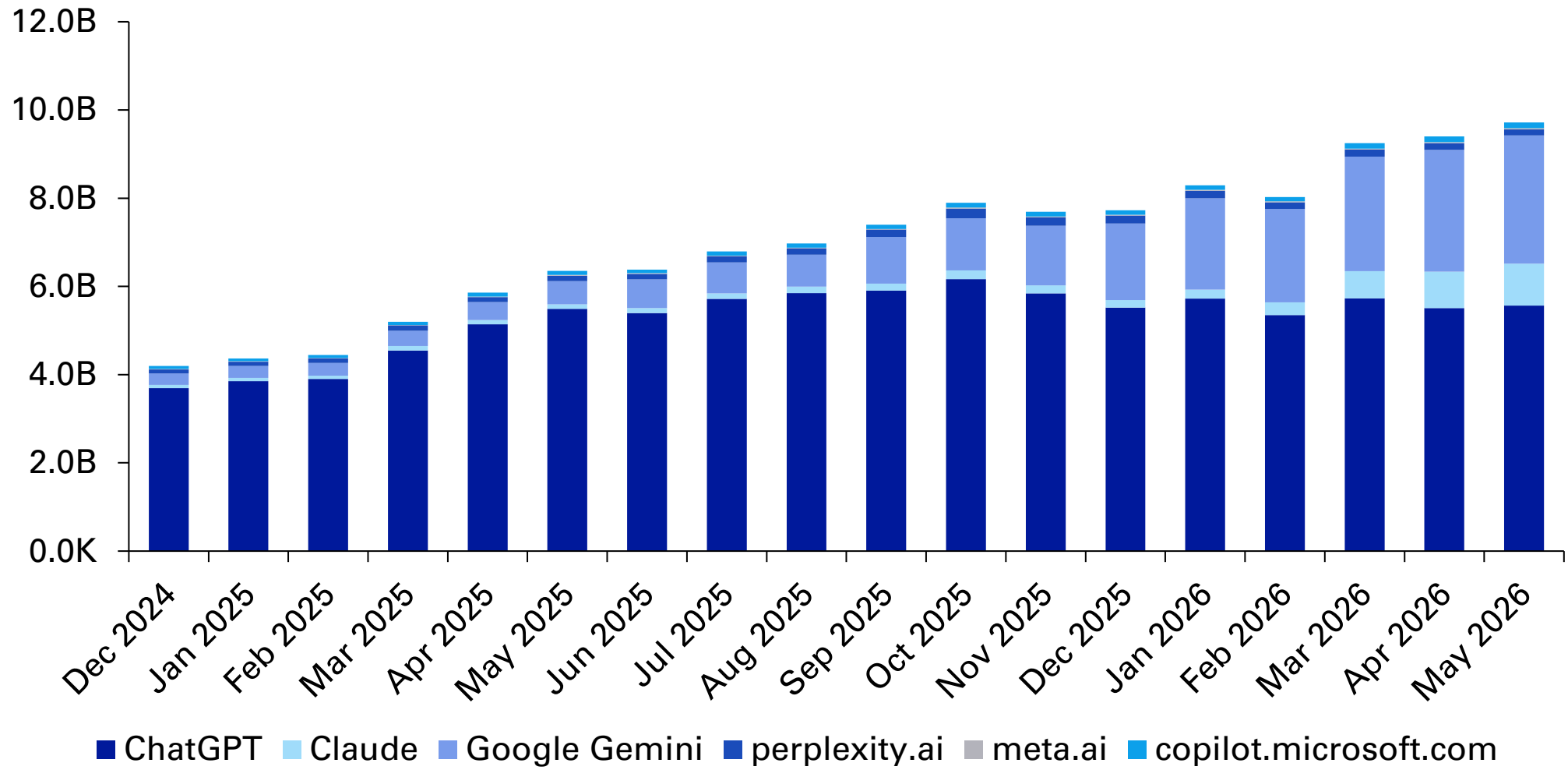


LLMs and jobs..

Visits to LLM sites continue to increase but ChatGPT, which is by far the most popular, is showing signs of losing visitors to the likes of Gemini and Claude...



Combined Top LLM Combined Visits

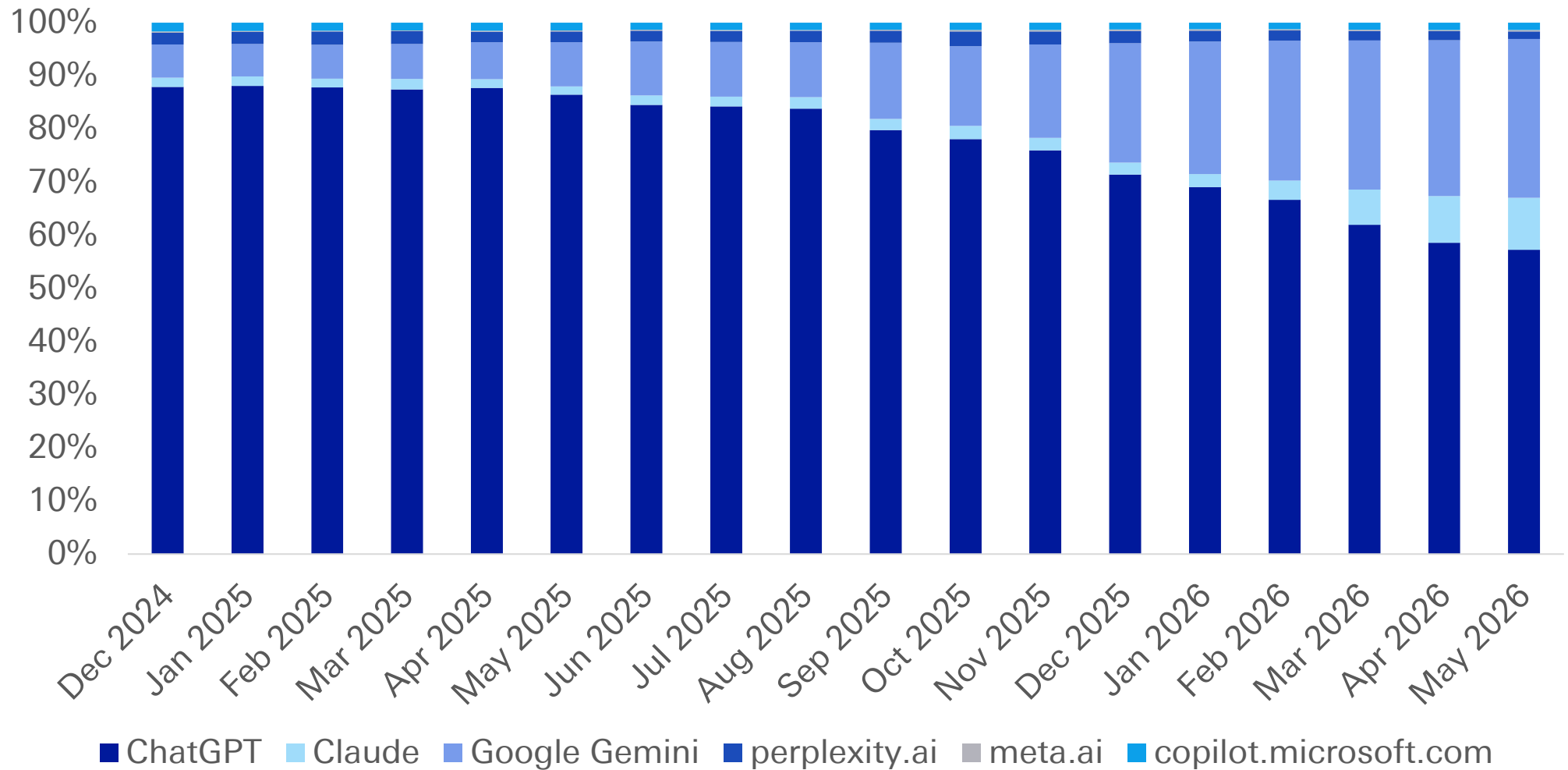


Source: Deutsche Bank Research, Similarweb

This changing market share can be seen more starkly here...



% Share of Total Top LLM Visits

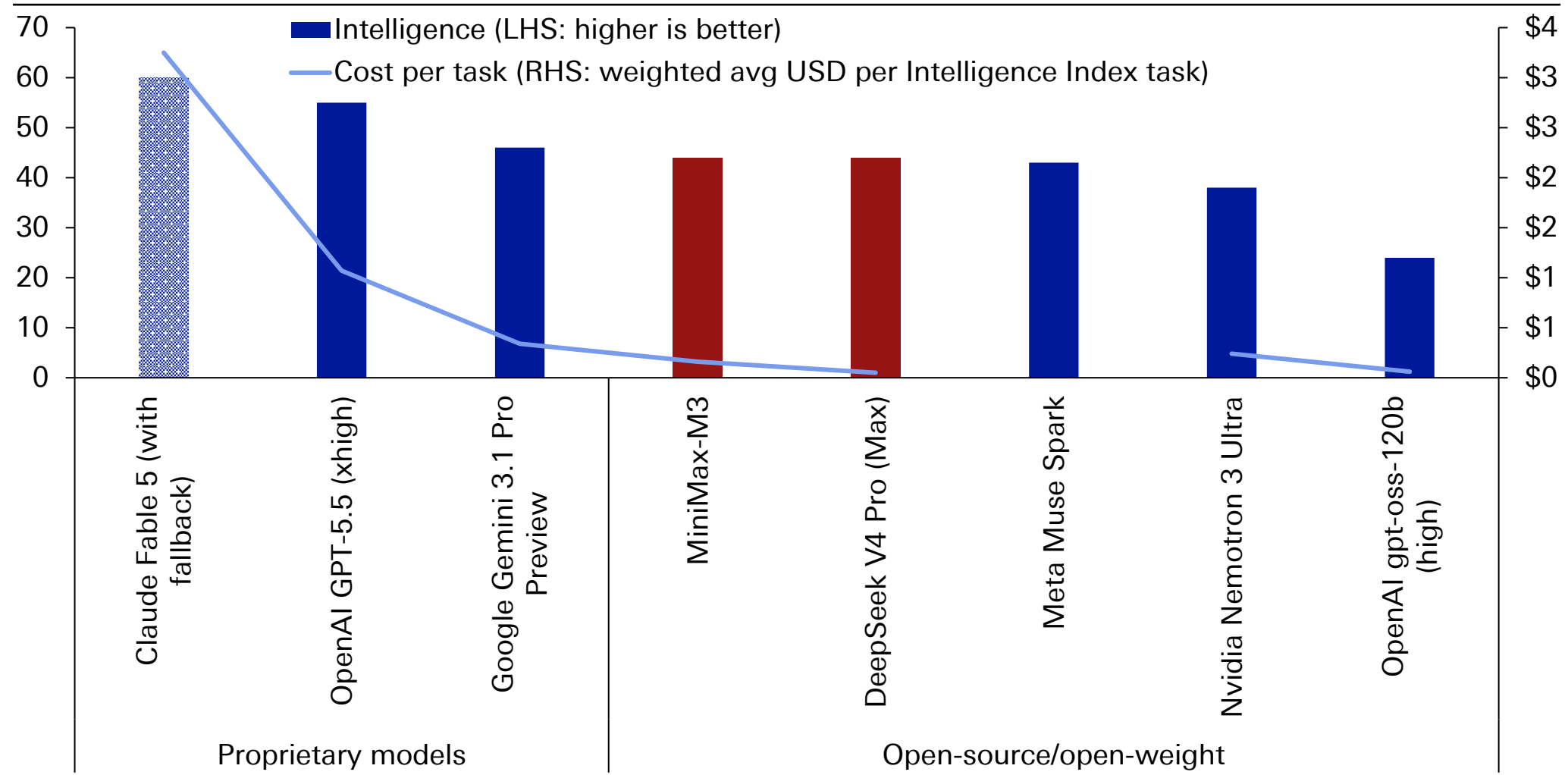


Source: Deutsche Bank Research, Similarweb



The cost of tokens for the frontier models is exponentially higher than still very intelligent mid-tier models.... This is one of the biggest challenges for wide enterprise adoption....

Cost of frontier and other models....

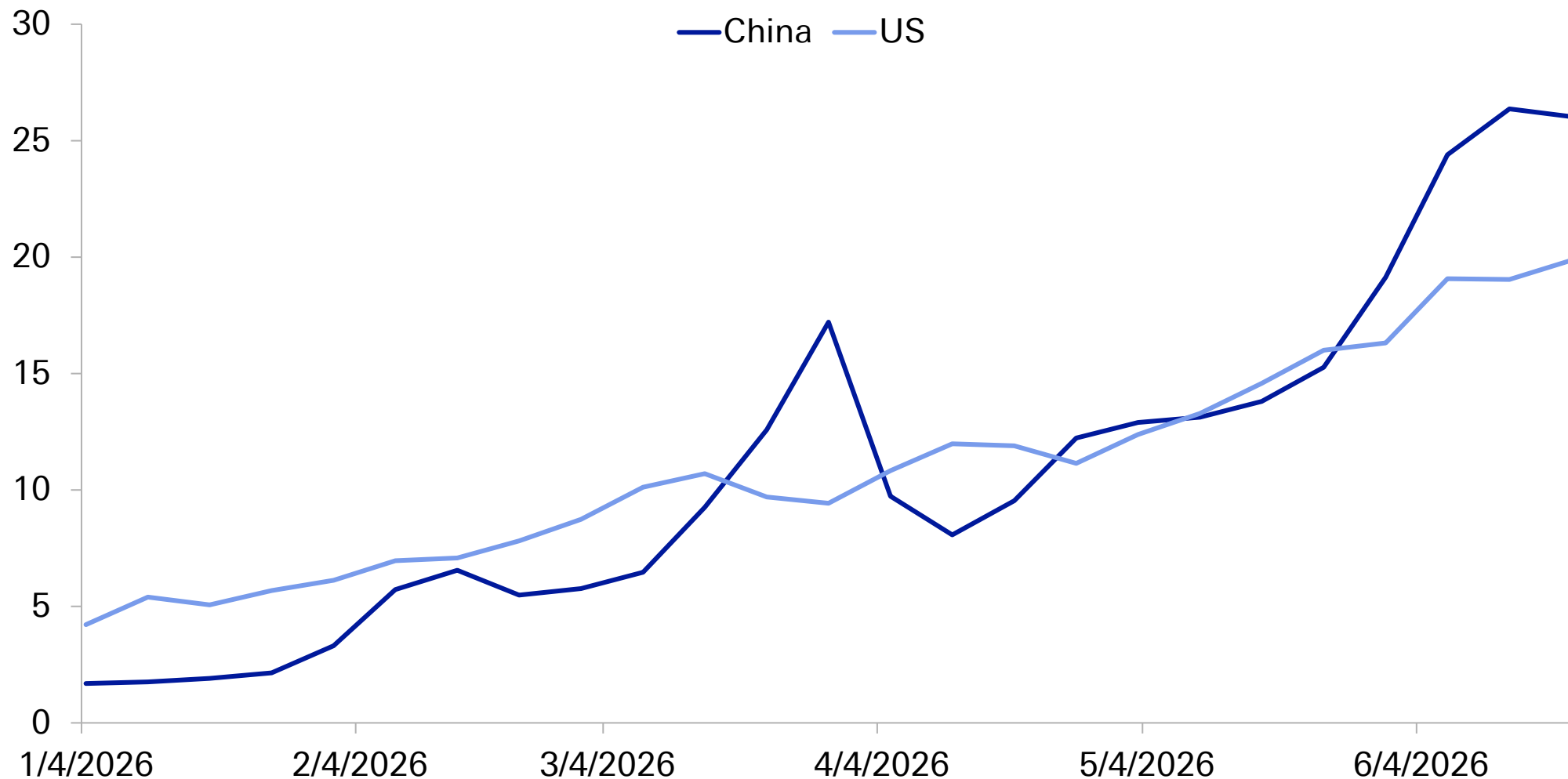


Source: Artificial Analysis Intelligence Index. "Fallback" mechanism routes safety-flagged messages to Opus 4.8 model. Meta Muse Spark price not available. US models in blue; Chinese models in red

Weekly token usage of the top models on OpenRouter indicates that the number of tokens processed by US models has risen fivefold this year to 20 trillion, convincingly outpaced by a thirteenfold increase by cheaper Chinese models to 26. Interesting as enterprise grapples with surging token costs. For more see Adrian Cox's piece on what the current AI IPO wave means for the sector and broader markets [here](#)



The number of tokens processed by OpenRouter using Chinese models has overtaken tokens processed using US models this year (trillion).

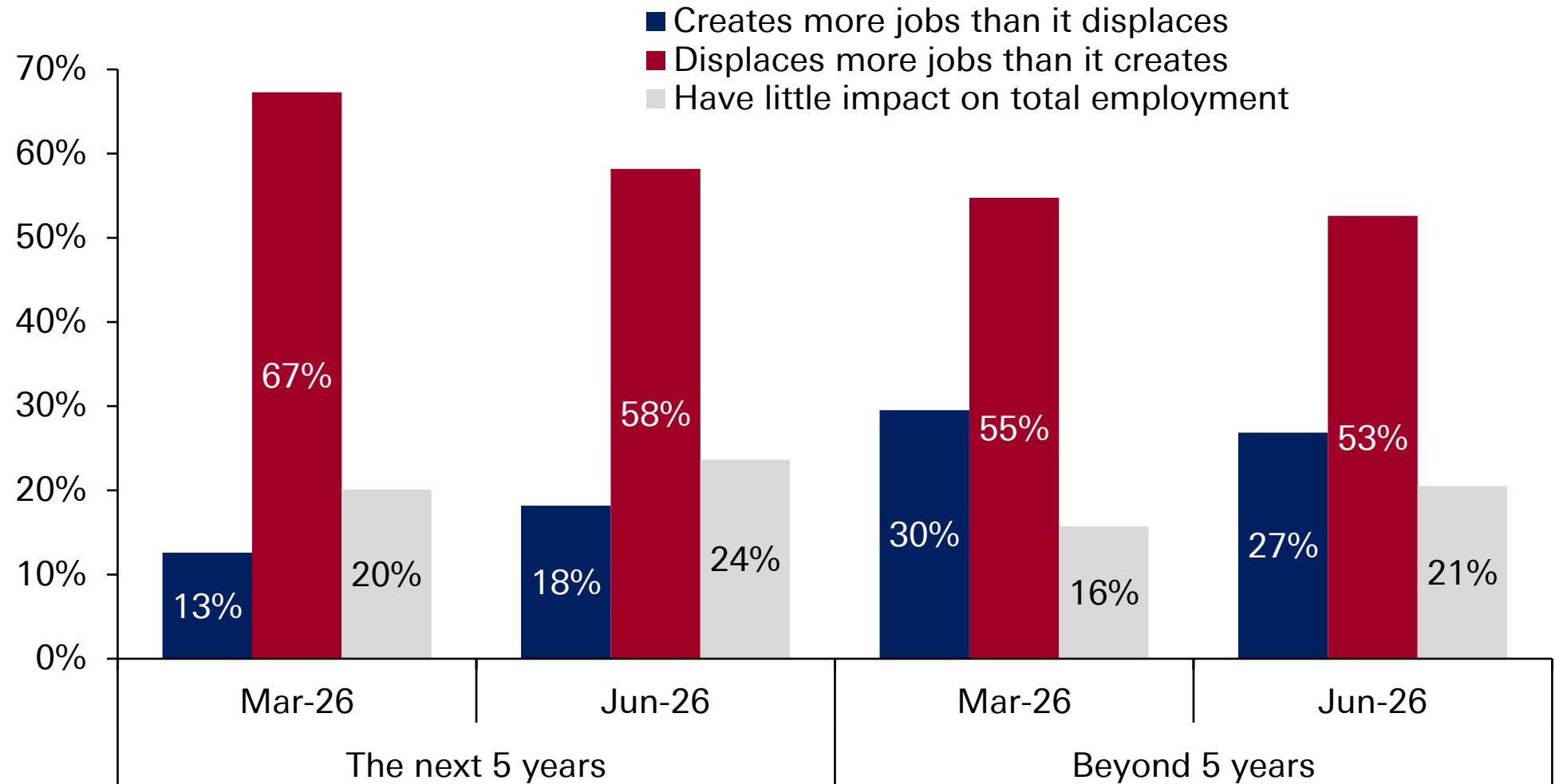


Source : OpenRouter, Deutsche Bank Research

Market sentiment on AI's impact on jobs remains pessimistic, but we saw a small improvement in our June versus March survey.



For the following time horizons, which best describes your expectation for the AI's impact on employment? Assume a scenario where AI adoption stays on its current trajectory. AI will...

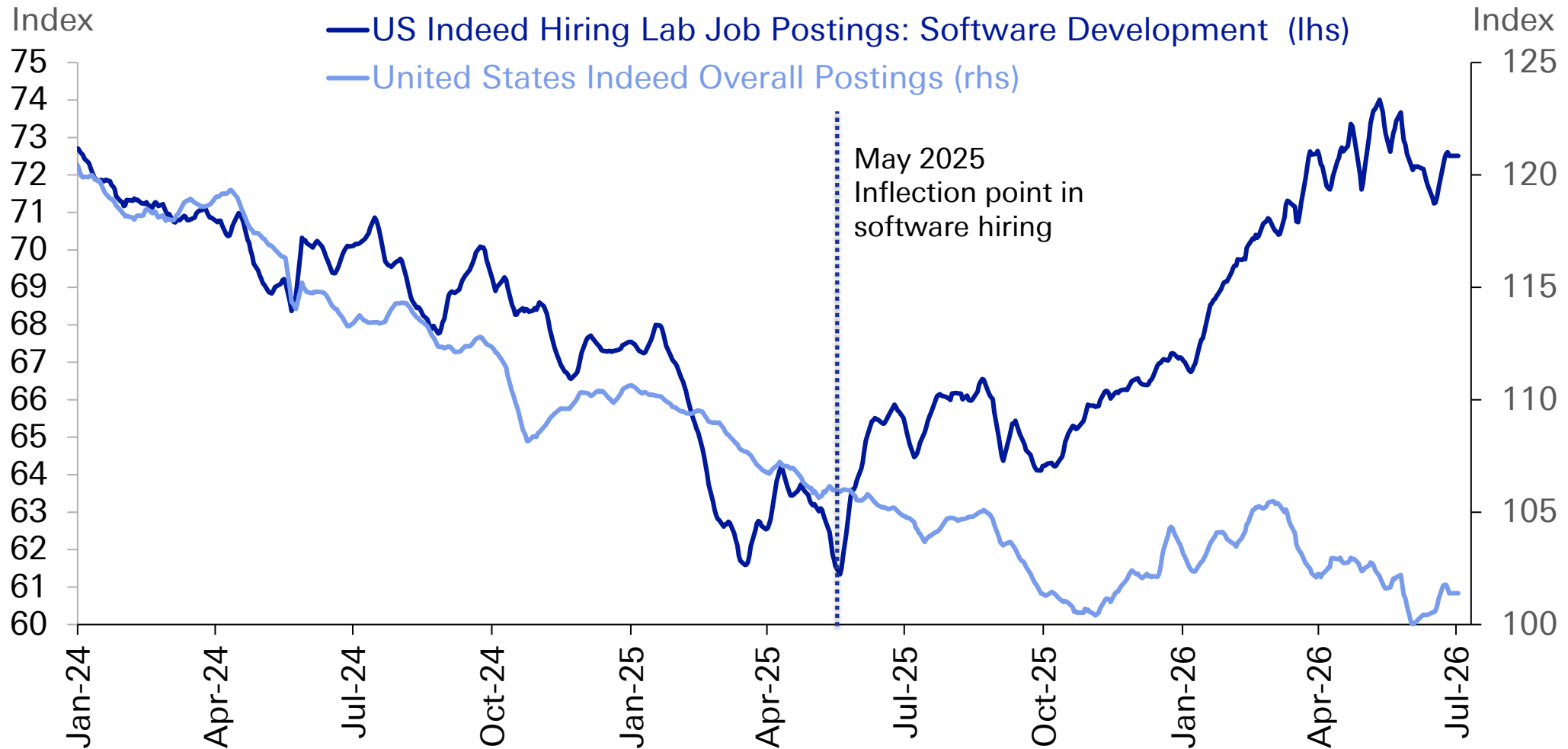


Source: dbDataInsights Survey, Deutsche Bank Research

However as an example so far, AI has made software jobs more valuable rather than cause displacement



US Indeed Lab Job postings



Source : Bloomberg Finance LP, Deutsche Bank, Last update: July 3

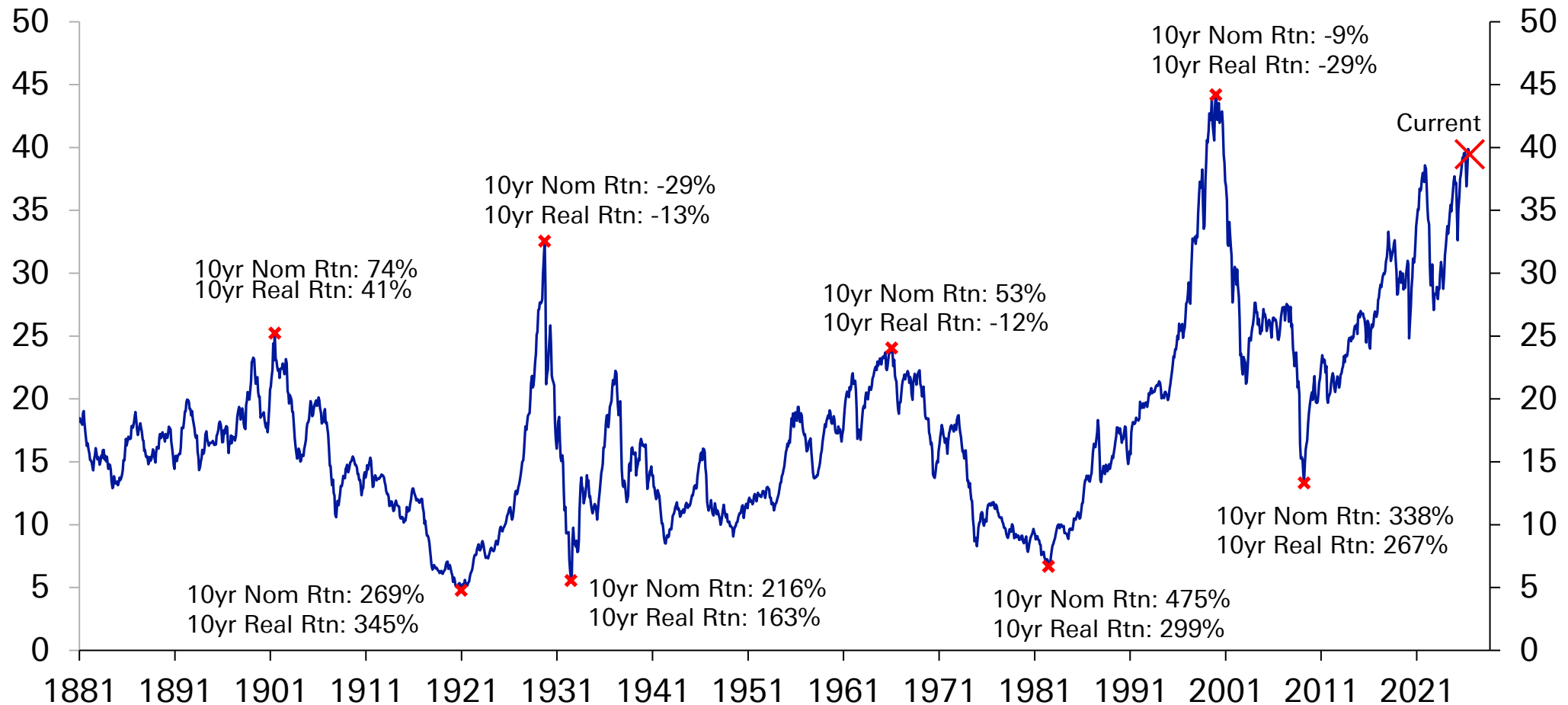


Partying like its 1999...

We remain close to the most expensive US equity valuations in history seen back in 2000. This measure looks at rolling 10yr real earnings to try to eliminate cyclical... The bulls would say this will fall as the breakout in tech earnings continues...



S&P 500 Cyclically Adjusted Price Earnings Ratio

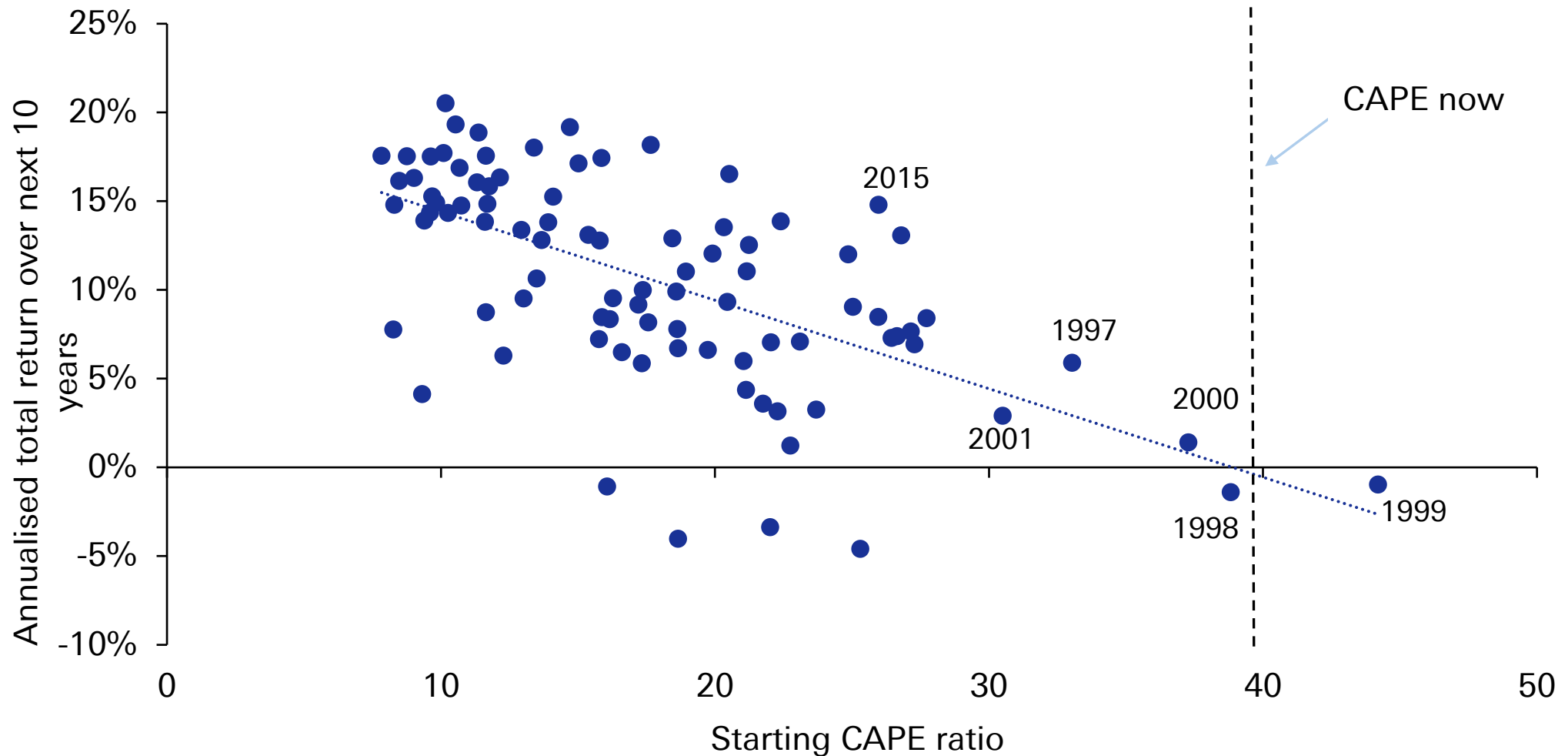


Source: Robert Shiller, Deutsche Bank.



When the CAPE ratio has been as high as the current starting point, subsequent returns have been very weak... however, there's a small sample size around the dot com bubble, and the subsequent decade included the GFC... As a minimum though starting valuations have correlated well to next 10-year returns...

CAPE Ratio since 1927 and annualised S&P 500 total return over the next 10 years



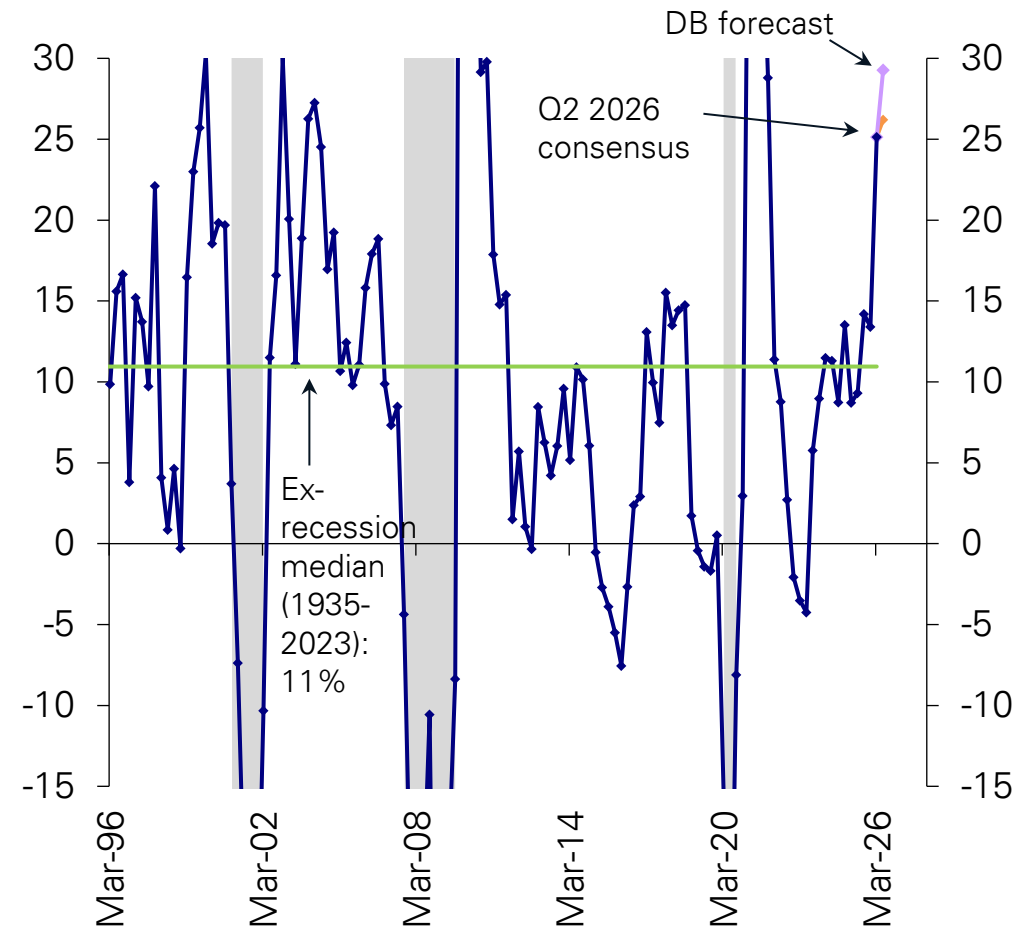
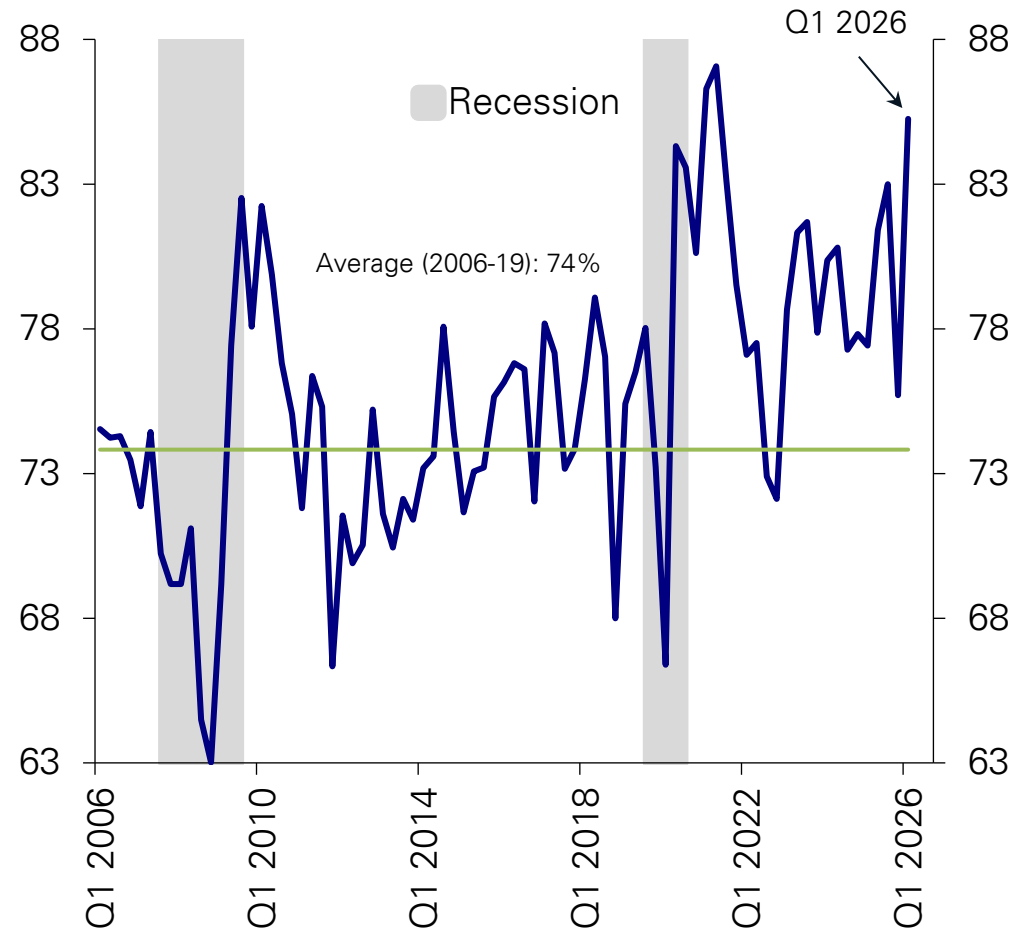
Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank

The bull case would be a breakout in earnings. According to our equity analysts, Q1 was arguably the best non-recessionary bounce-back earnings seasons in around 30 years.



Proportion of S&P 500 beating earnings estimate (%)

S&P 500 quarterly earnings growth* (% yoy)



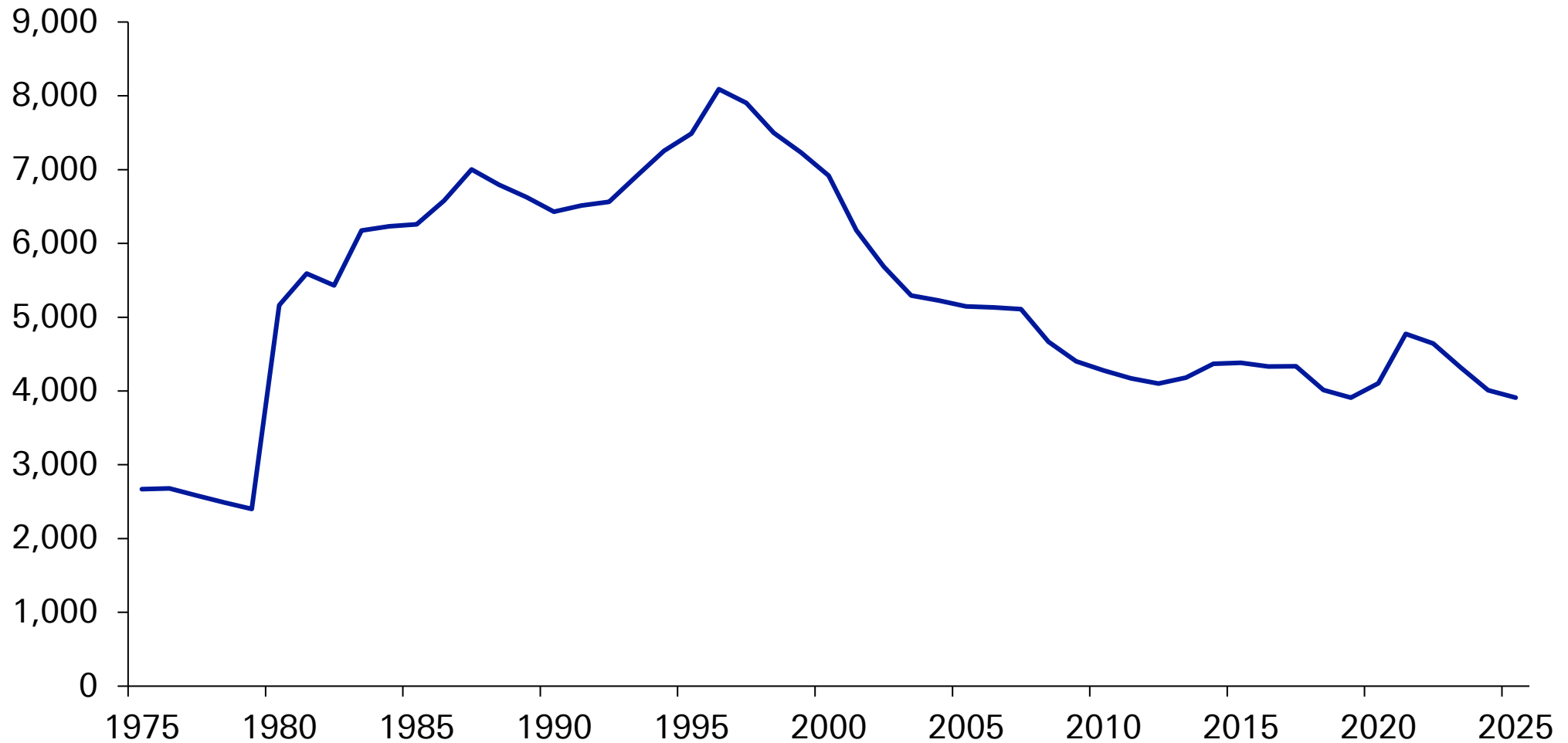
*Excluding 2018 tax cut

Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation, *Excluding 2018 tax cut

This is a different equity market to the late 1990s. The number of listed companies is now the lowest since the early 1980s. Private markets have impacted this.



Number of listed domestic companies in the US

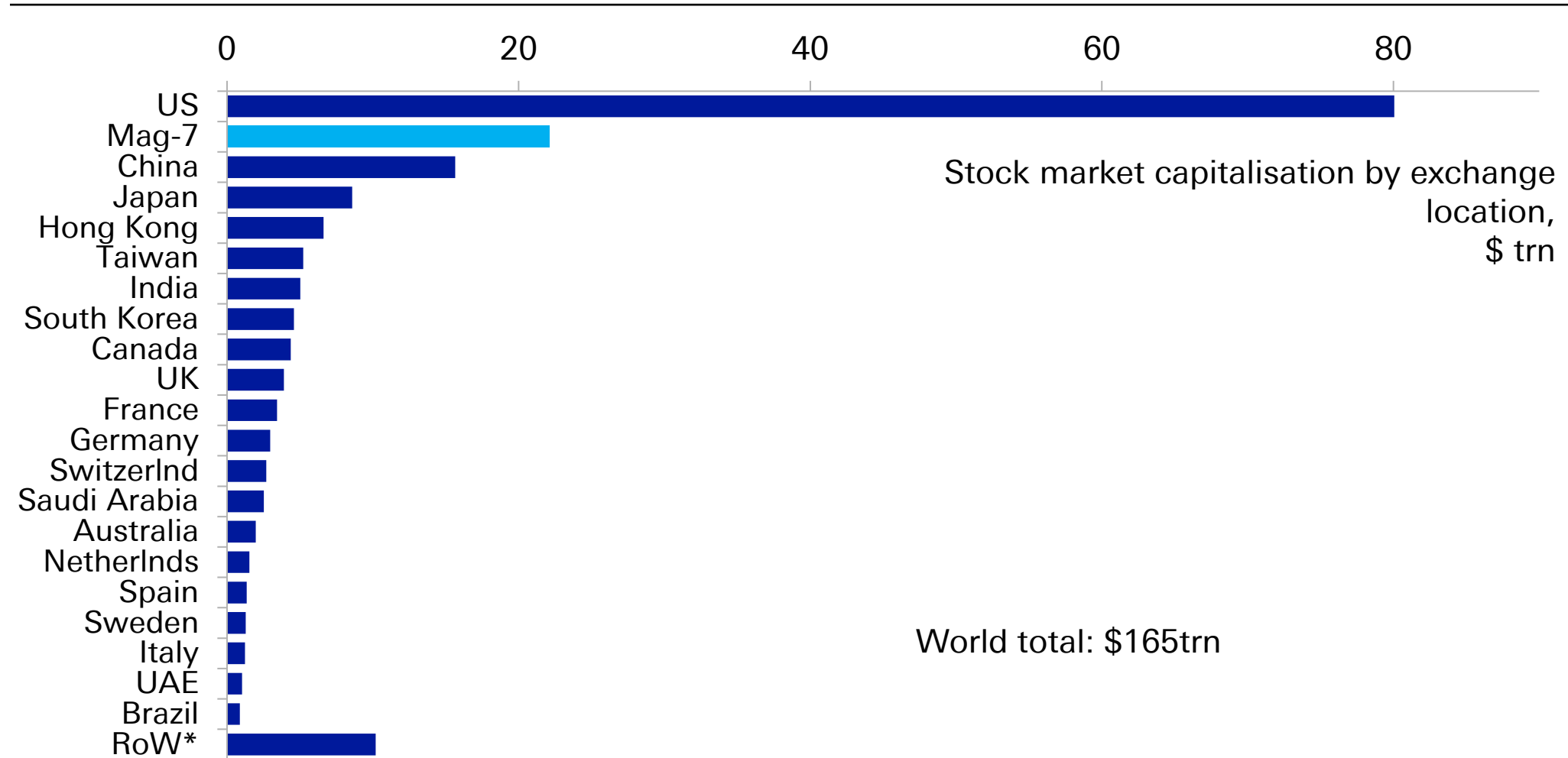


Source: World Bank, Deutsche Bank.

The US now accounts for almost half of global equity market capitalisation, despite representing only around 25% of global GDP and roughly 4.5% of the world's population.



The US accounts for nearly half of the world's public stock market capitalisation



Source: Bloomberg Finance LP, Deutsche Bank Research; Data as of 1st July 2026* Rest of World comprises of a further 62 country exchanges



Rest of the World vs US equities

The World Ex-US equity index was flat for 17yrs until 2025.
Since then we've seen large gains...



iShares MSCI ACWI ex U.S. ETF

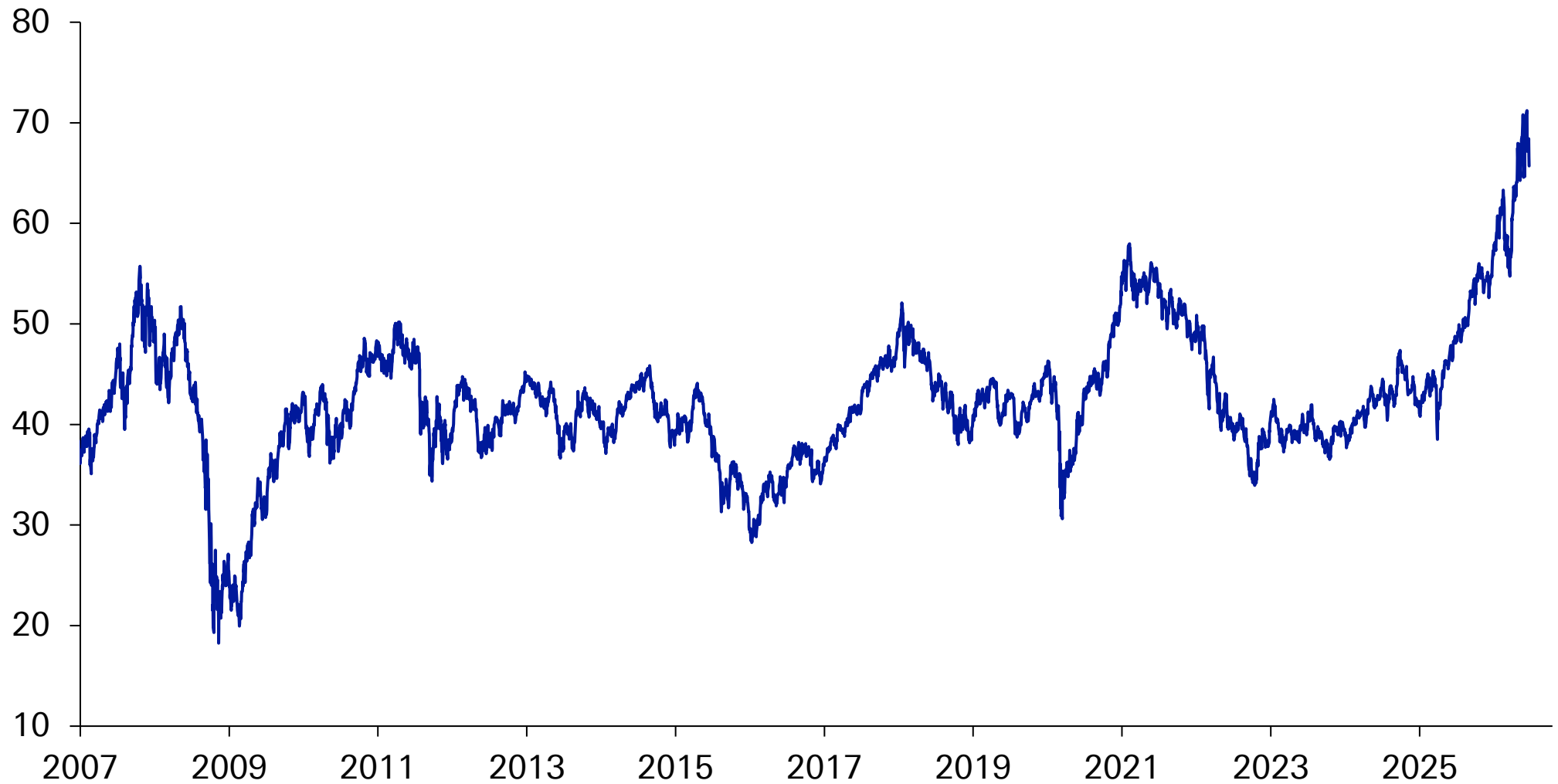


Source: Bloomberg Finance LP, Deutsche Bank; Last update July 3

It's a very similar story for EM equities...



iShares MSCI Emerging Markets ETF

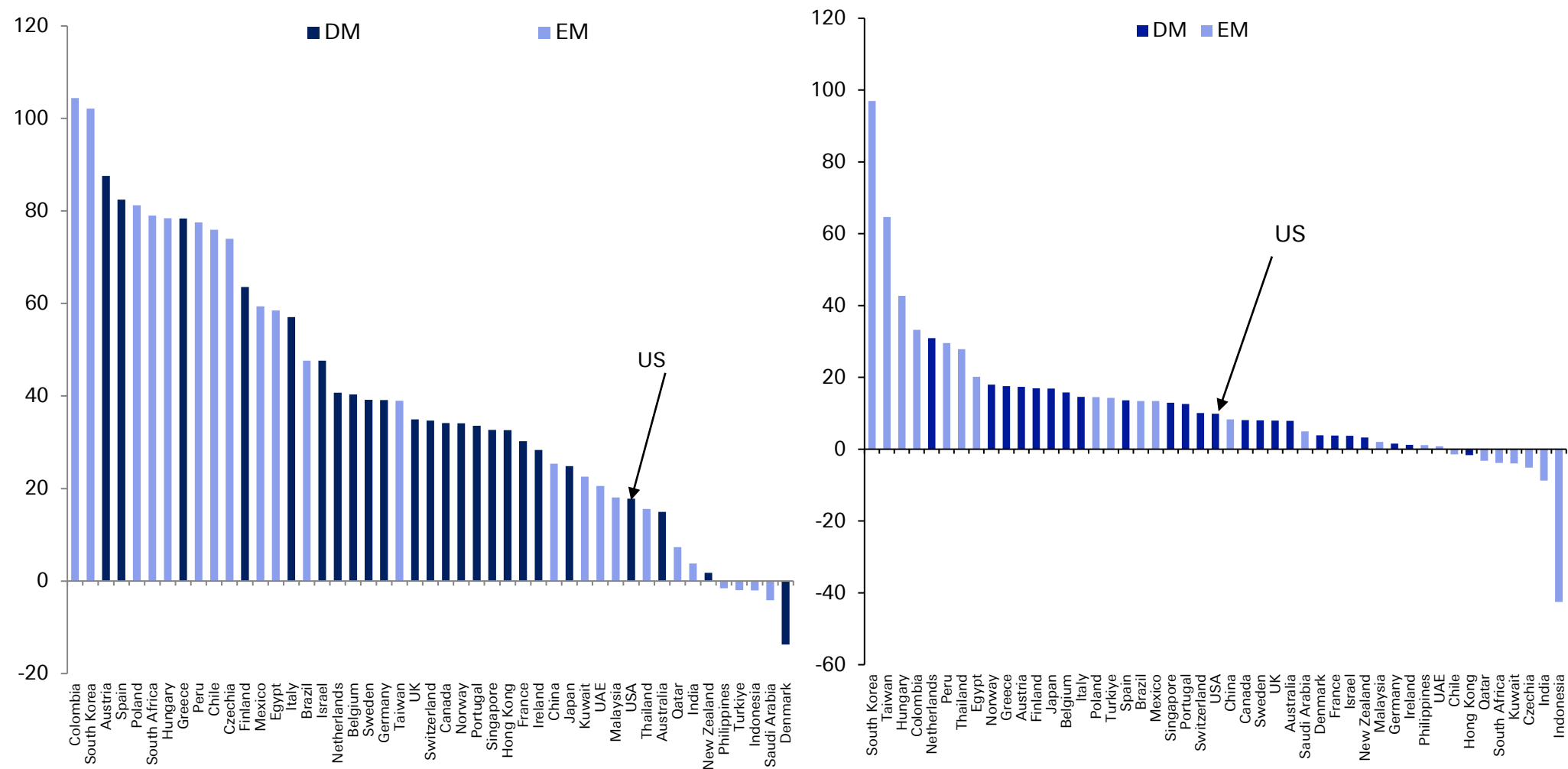


Source: Bloomberg Finance LP, Deutsche Bank; Last update: July 3

Even if it feels US equities are surging, note that last year their returns were in the bottom quartile globally and this year they are around half-way in the global rankings. So good returns but not the global leader it was pre-2025



Bloomberg large/mid-cap country stock market indices: 2025 total return in USD (%) (left) and 2026 YTD (right)

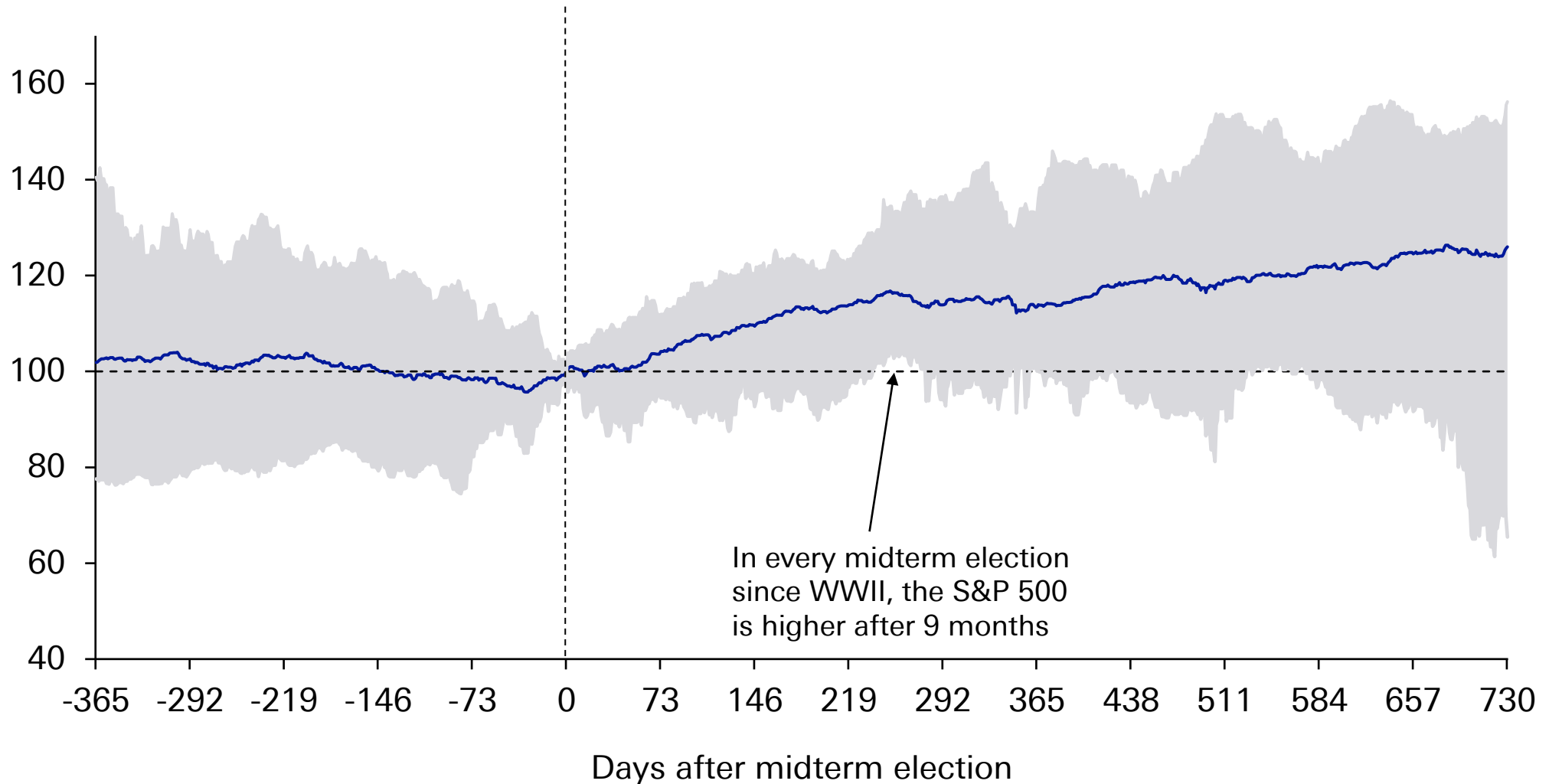


Source: Bloomberg Finance LP, Deutsche Bank, Note: 2026 YTD is updated through July 2

There could be support for the US to come. The S&P 500 has a strong record after midterm elections... in the 20 midterm elections since WWII, the S&P 500 has risen after 9 months every single time...



Average S&P 500 Performance after midterm elections since WWII (with range)



Source: Bloomberg Finance LP, Deutsche Bank

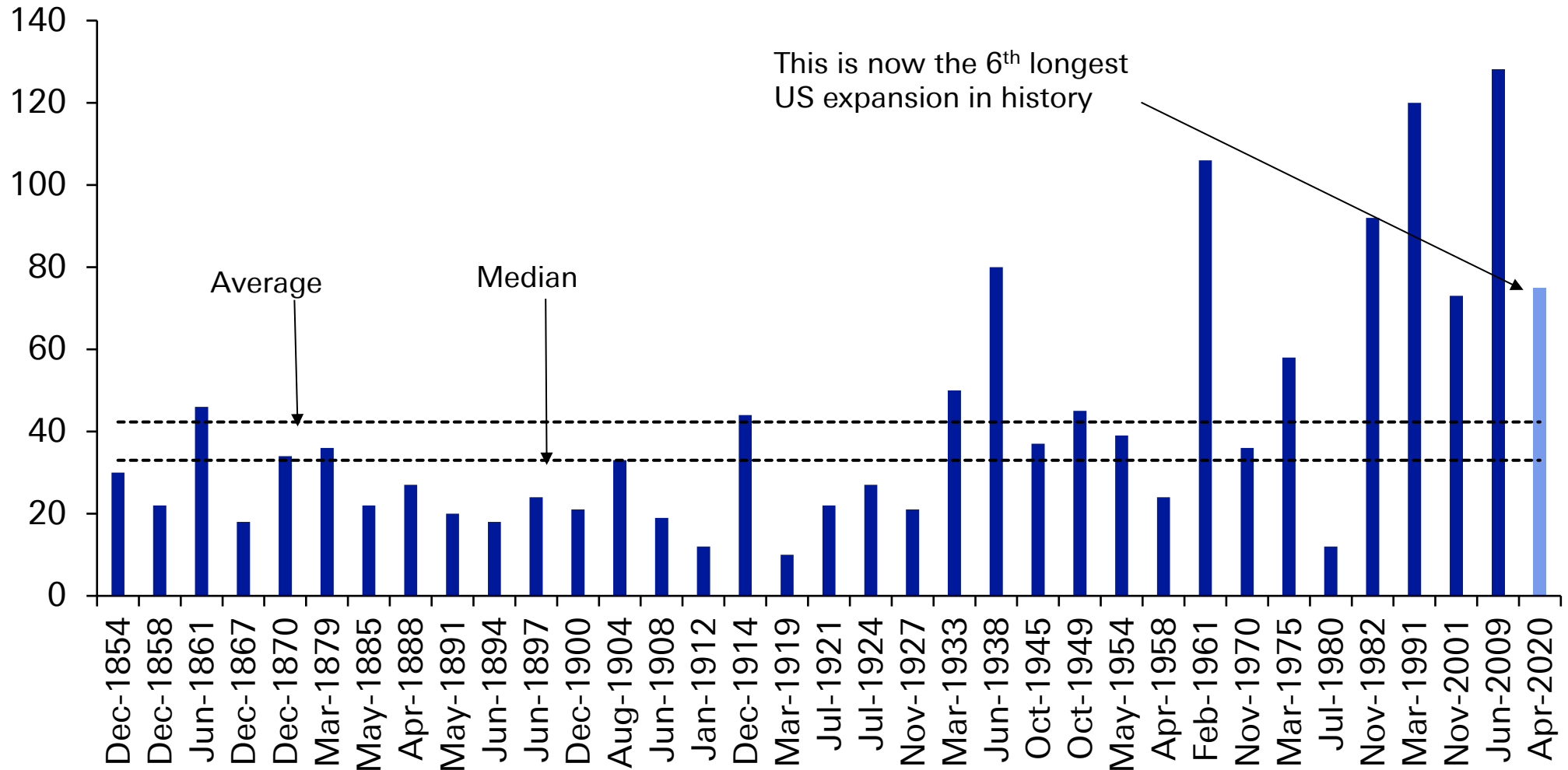


The US economy needs rate hikes... but...

All of a sudden this US cycle is the 6th longest in history. It will enter the top 5 if we avoid a 2026 recession



US Business Cycle Expansion Length (Months)

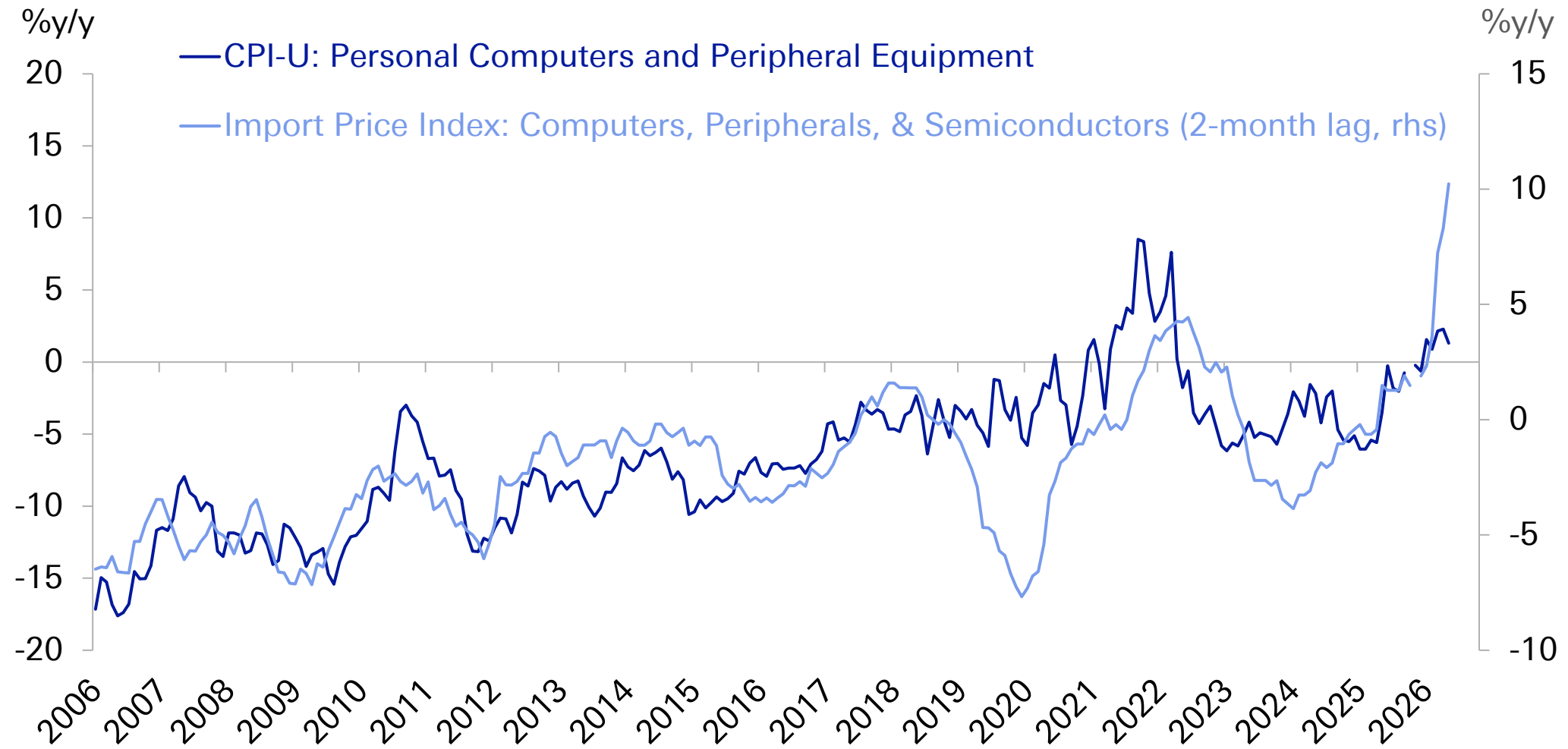


Source : NBER, Deutsche Bank

Contrary to popular belief, especially early this year, there are no signs that AI is disinflationary... quite the opposite... part 1



AI is impacting inflation

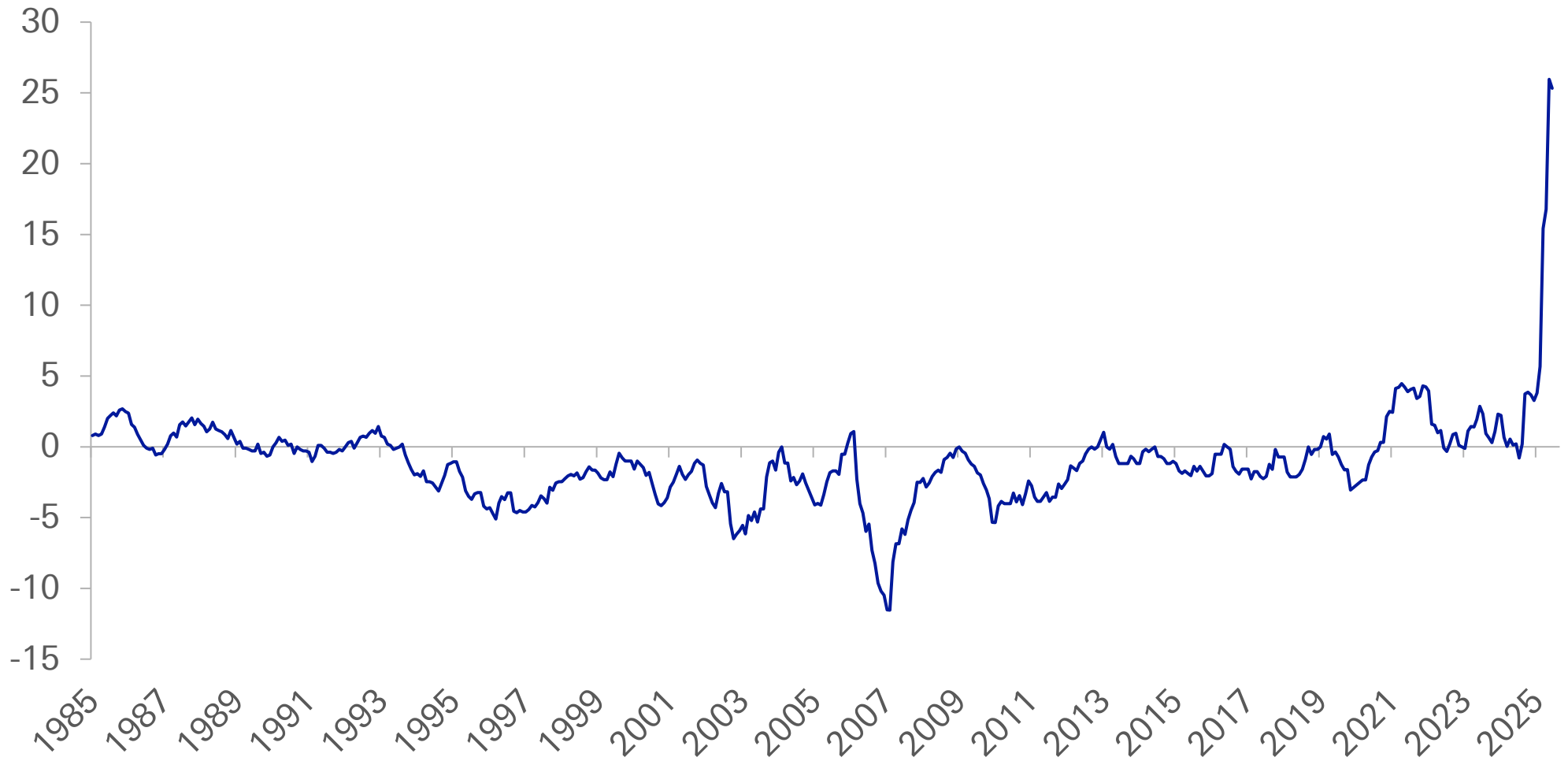


Source: BLS, BEA, Haver Analytics, Deutsche Bank

Contrary to popular belief, especially early this year, there are no signs that AI is disinflationary... quite the opposite... part 2



PPI: Semiconductor & Other Electronic Component Mfg

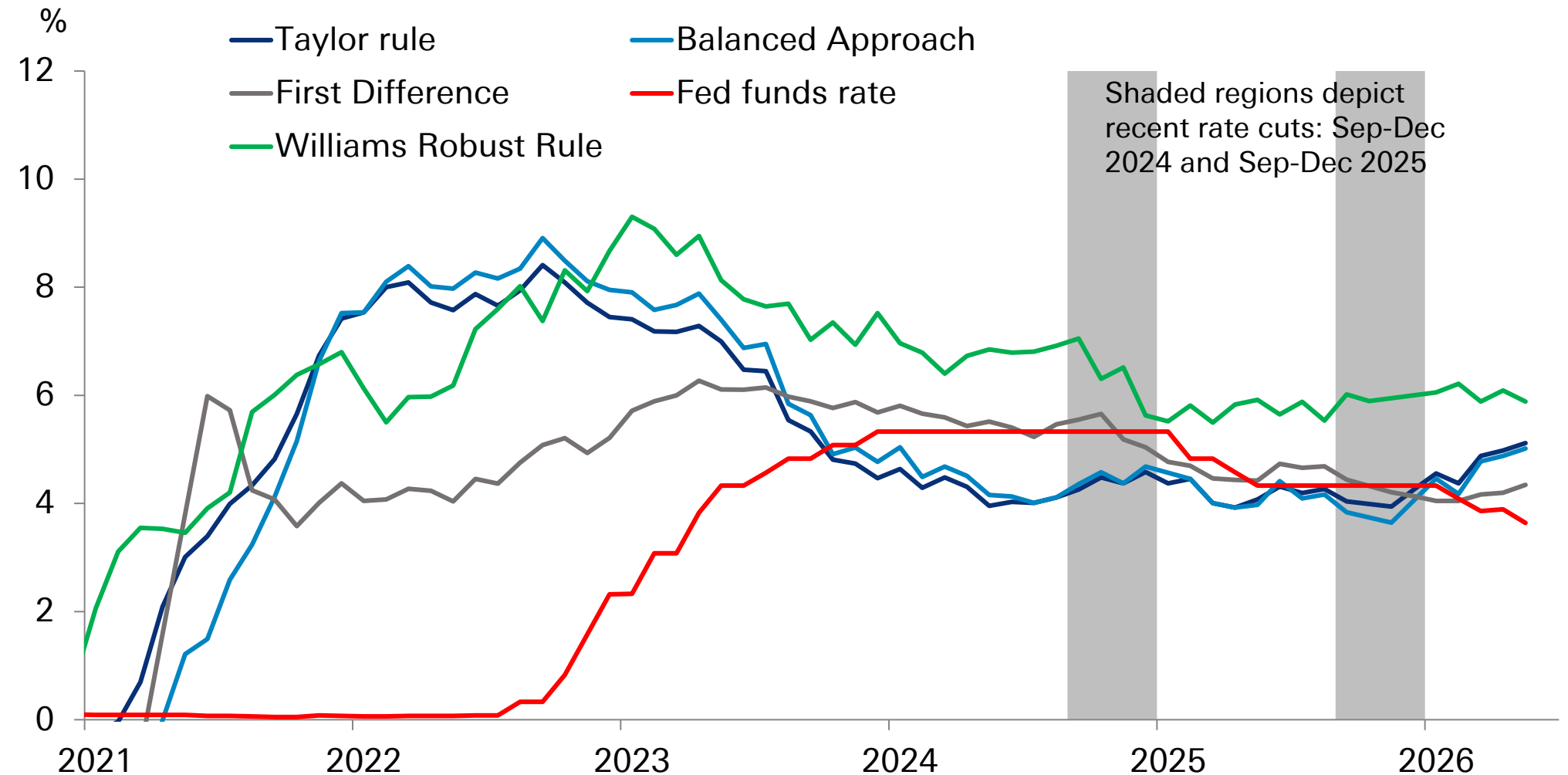


Source: Bloomberg Finance LP, Deutsche Bank



At the moment, the bigger risk in the US is overheating rather than weaker growth. DB believe that Fed Funds are too low under all reasonable policy rules...

Fed funds rate is below policy rule prescriptions after the last round of insurance cuts, even with Fed's r^* estimate (included in this chart). It would be a larger gap under DB's r^* estimate....

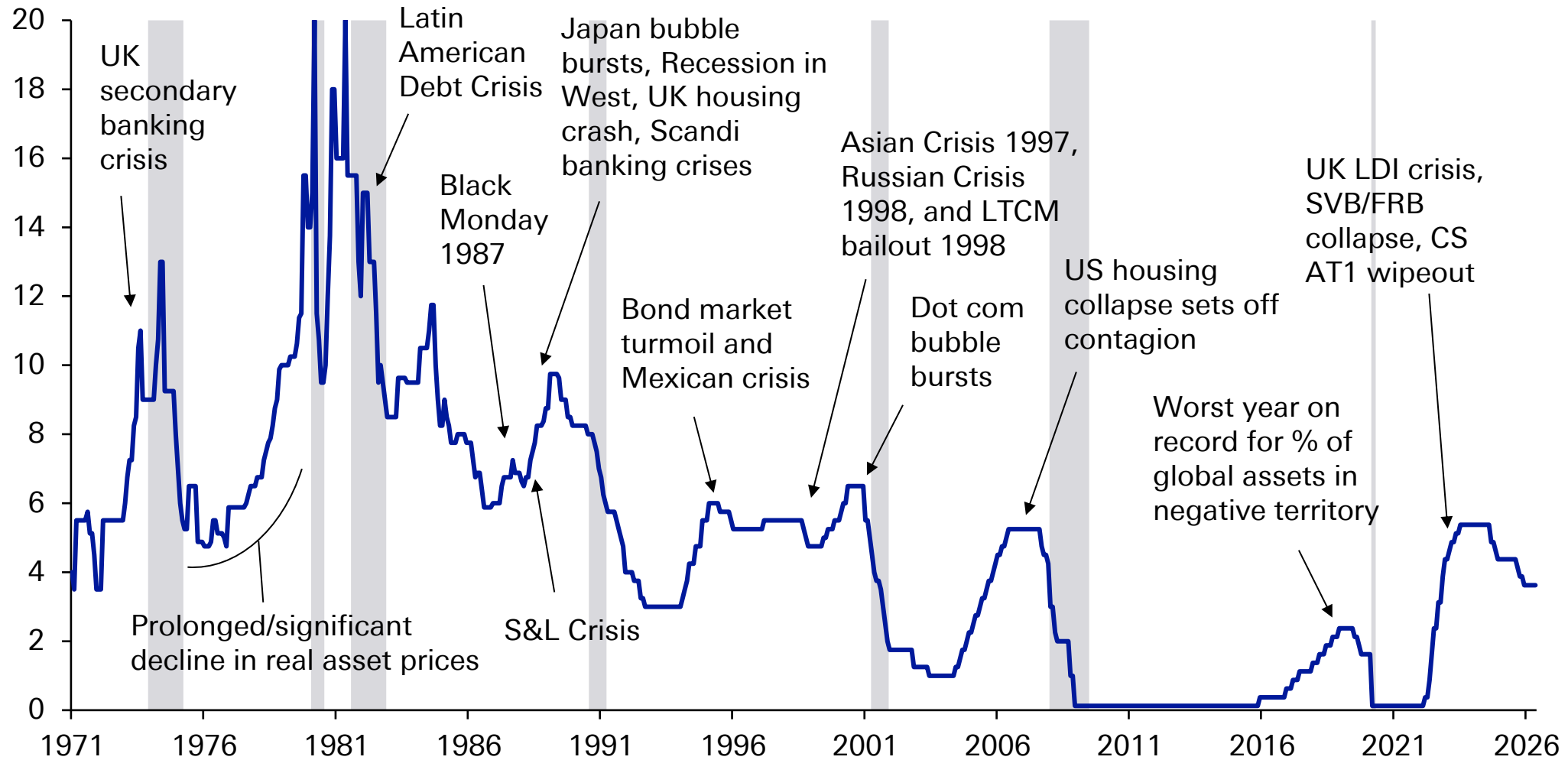


Source: FRB, BLS, CBO, Haver Analytics, Deutsche Bank Research

If we do get rates hikes, note they often coincide with some sort of financial turmoil or the bursting of an asset bubble



Federal Funds Rate (with recessions shaded) and crises annotated

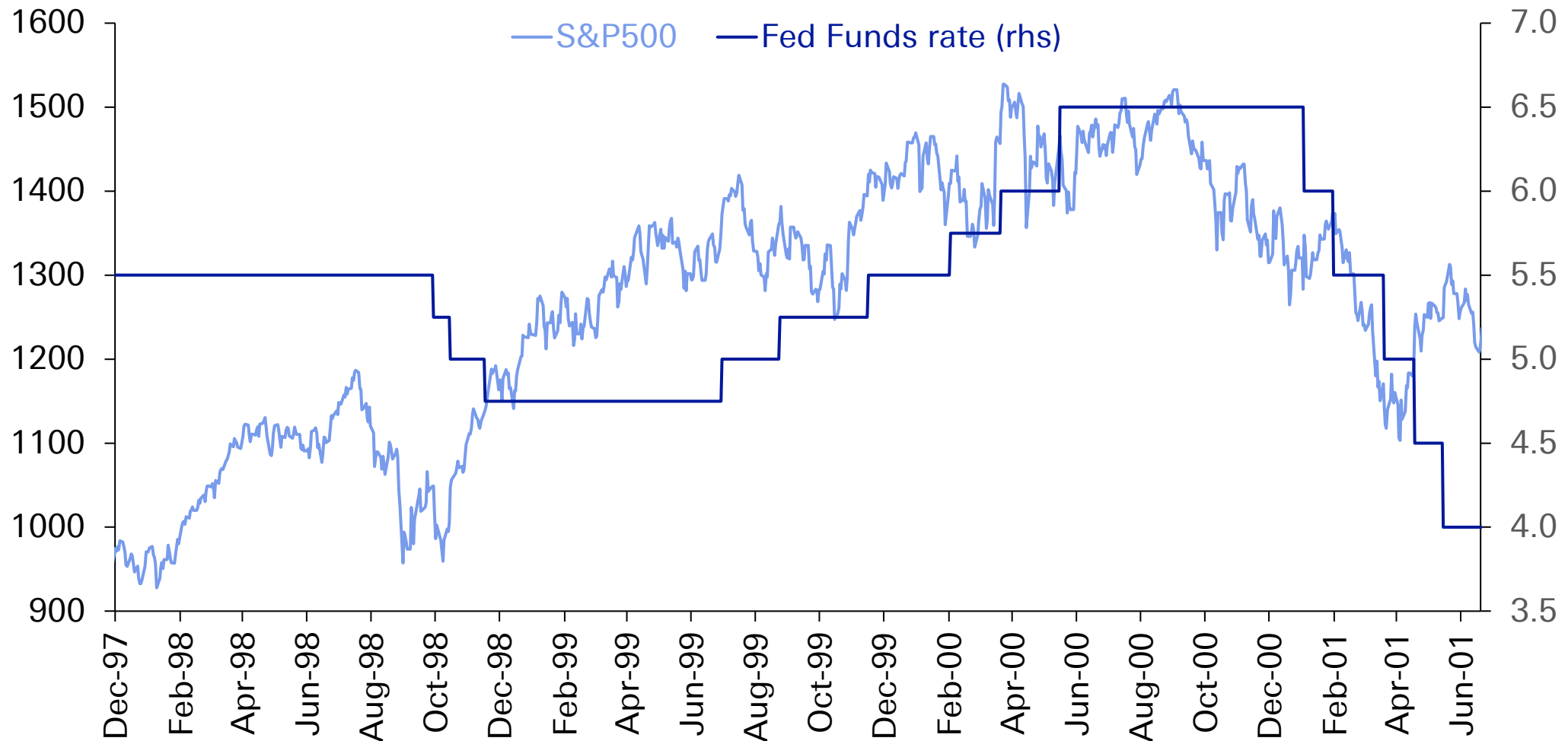


Source: Bloomberg Finance LP, Deutsche Bank

After the insurance cuts of 1998, the Fed raised rates 6 times between May 1999 and June 2000.



S&P 500 Index vs. Fed funds rate



Source: Bloomberg Finance LP, Deutsche Bank

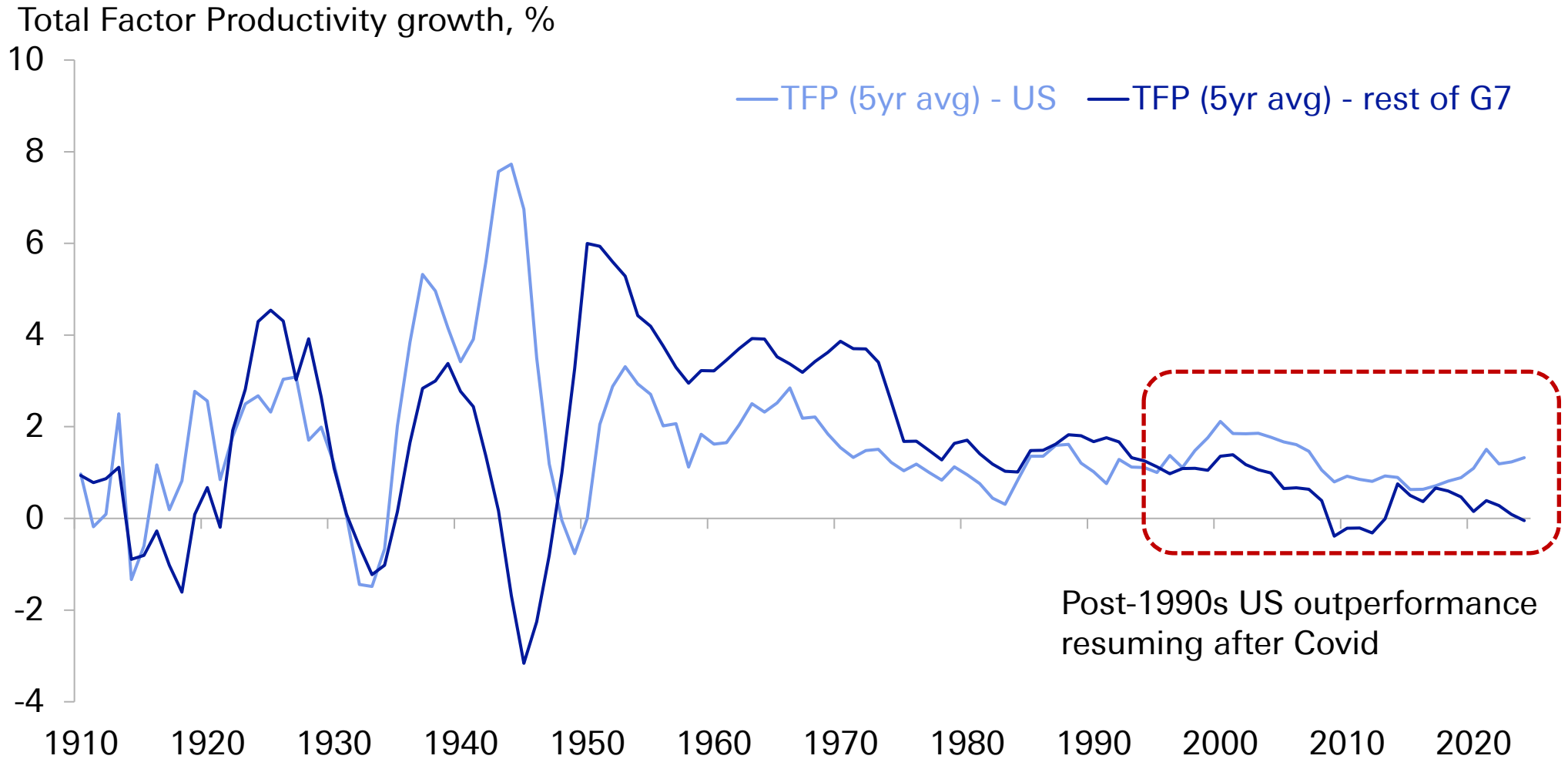


Does an imbalanced US economy matter?

The US has maintained a clear productivity advantage over its peers since the mid-1990s, with productivity growth rising above its post-1970s average in the years since Covid.



The US has resumed its productivity outperformance in recent years

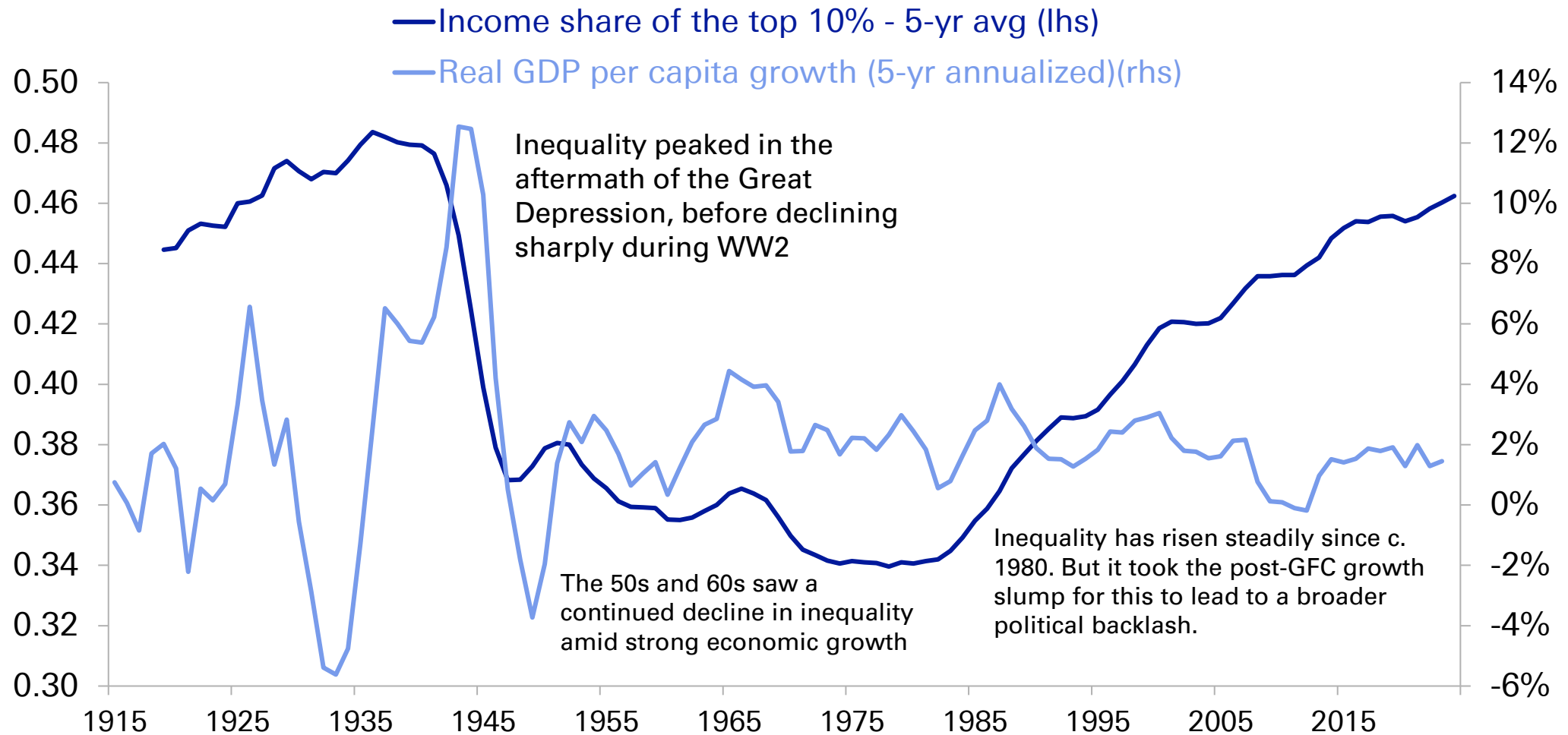


Source: Deutsche Bank Research, www.longtermproductivity.com; Note : Rest of G7 is the simple average of Canada, France, Germany, Italy, Japan and the UK

But inequality is getting worse and poses social and political risk...



The rise in inequality since 1980 added to the political challenges facing the US, especially after growth slowed post-GFC

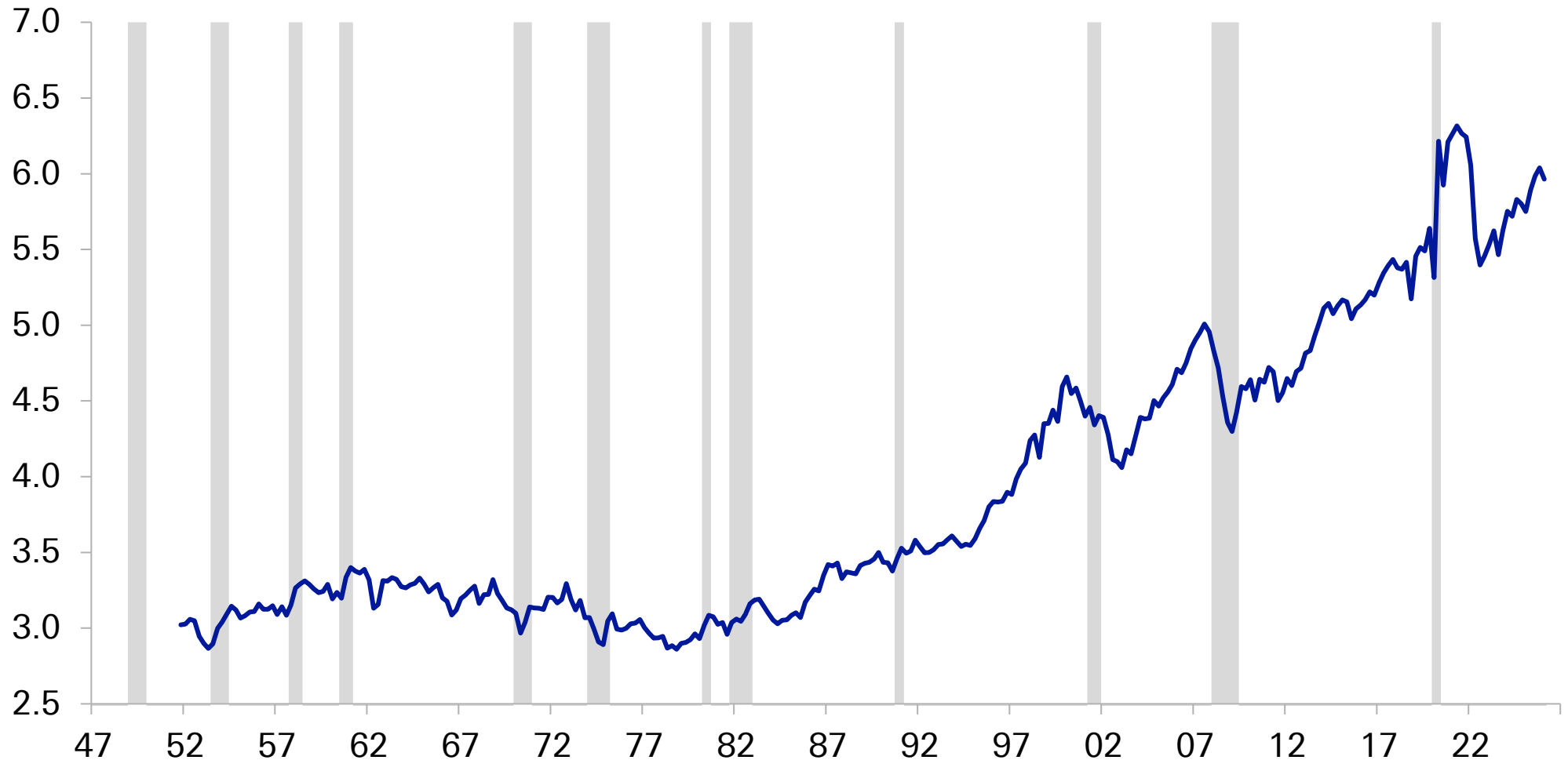


Source: Finaeon, World Inequality Report

US wealth to GDP is approaching the highs again. It dipped due to the bond market sell-off in 2022 but equities have helped it increase again...



US Private sector Financial assets to GDP ratio

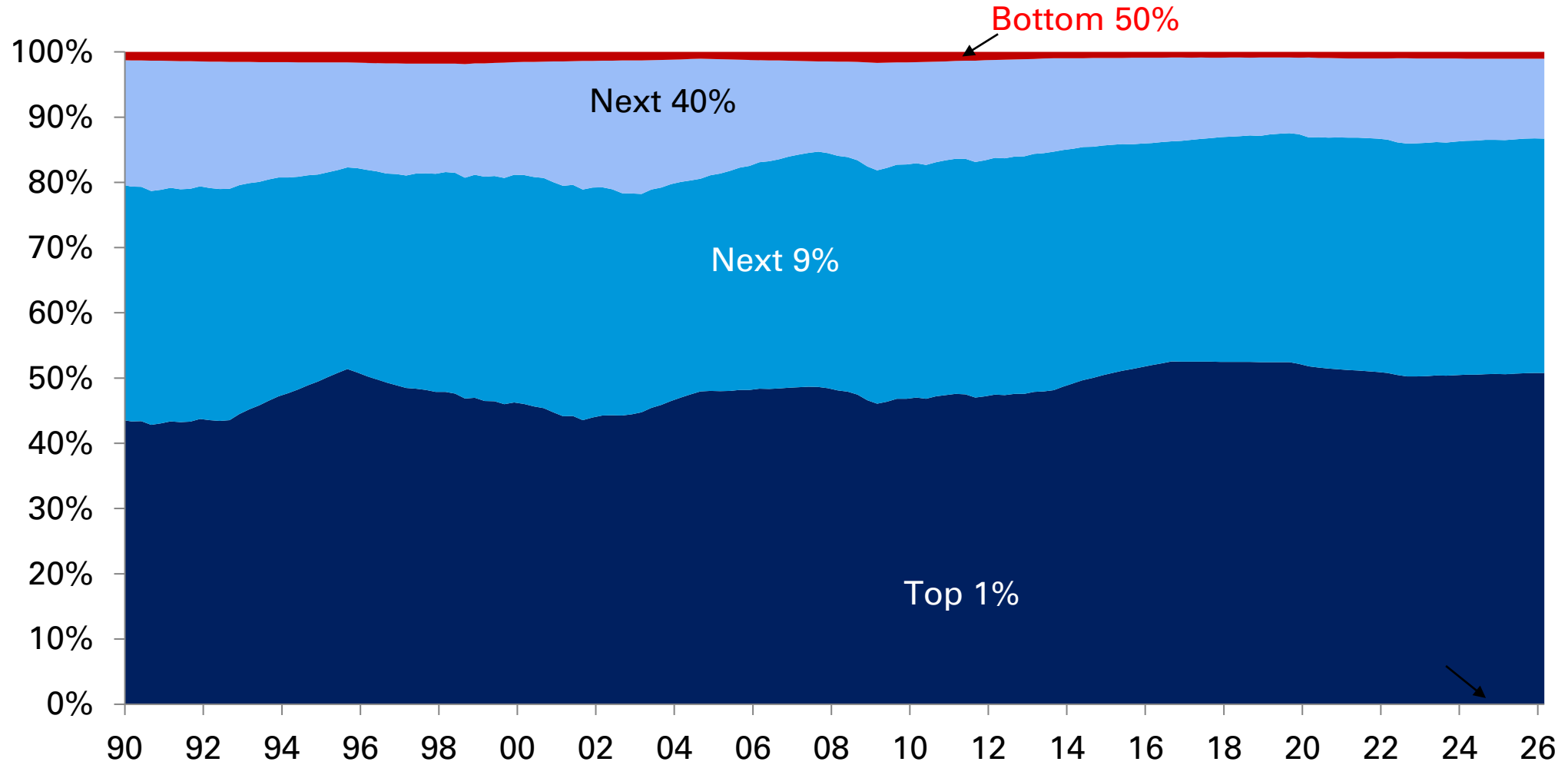


Source: FRB, Haver, Deutsche Bank

The bulk of US equity holdings are concentrated among the top 10% and especially the top 1%..



Equities & Mutual Funds across wealth percentile groups

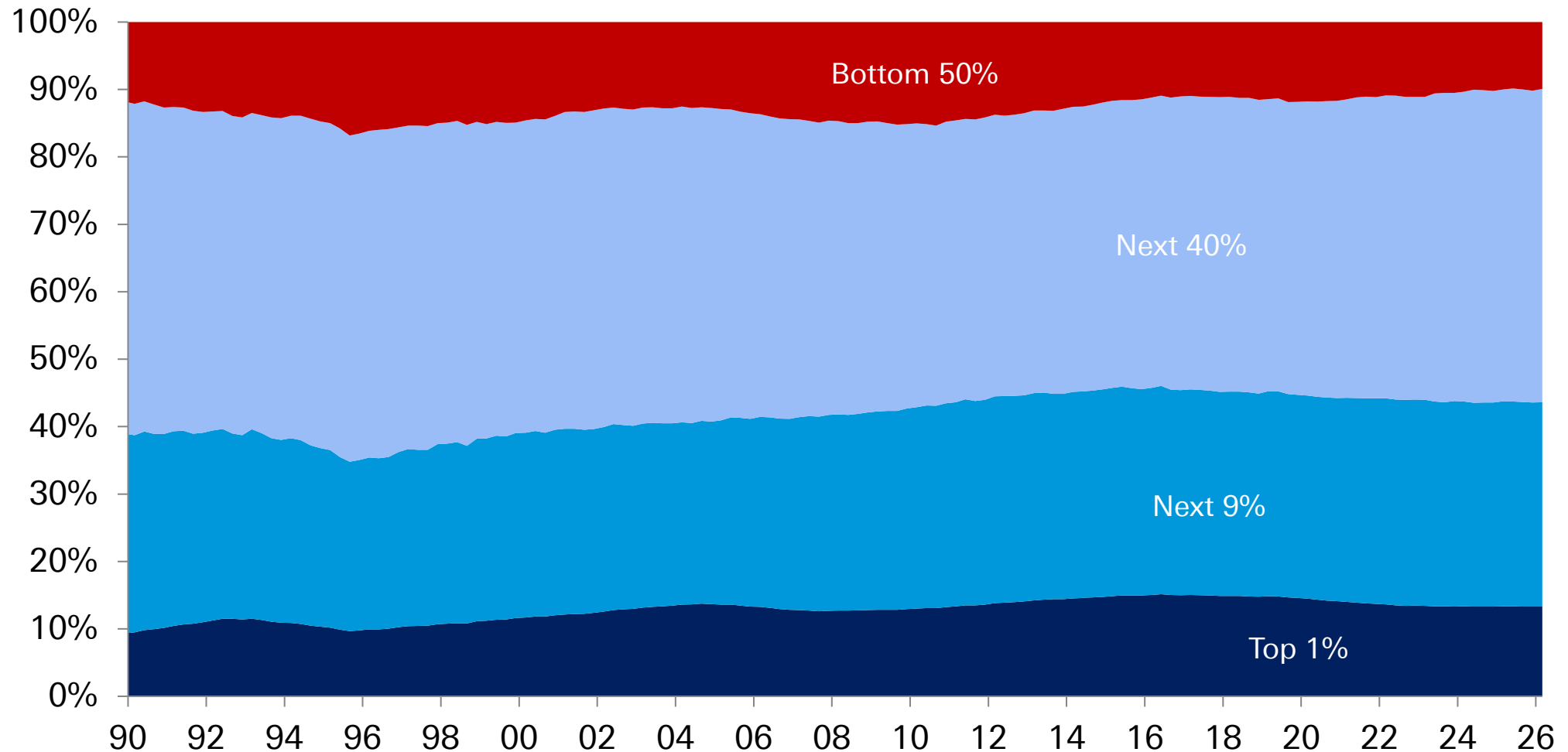


Source: FRB, Haver, Deutsche Bank.

We can see a contrast with real estate even if there is still a divide. The majority is owned outside the top 10%.... Even if the bottom 50% share has declined in the last 30 years...



Real estate assets across wealth percentile groups

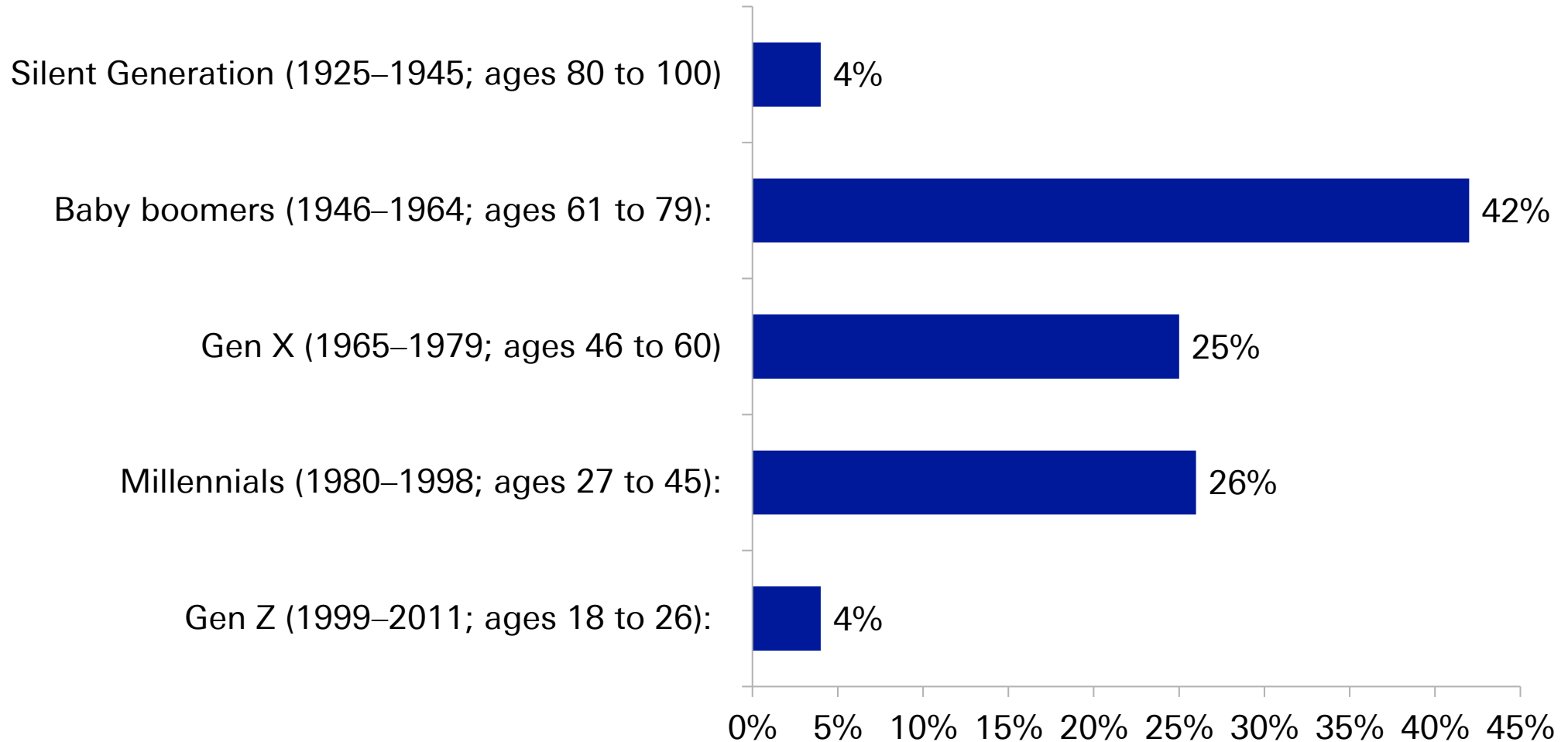


Source: FRB, Haver, Deutsche Bank.

As many US Octogenarians and older buy houses as Gen Zs. One and half times the number of baby boomers (aged 61-79) buy houses as Millennials (aged 27-45) who should be in their peak home buying years.



Age distribution of Home buyers by Generation, 2025

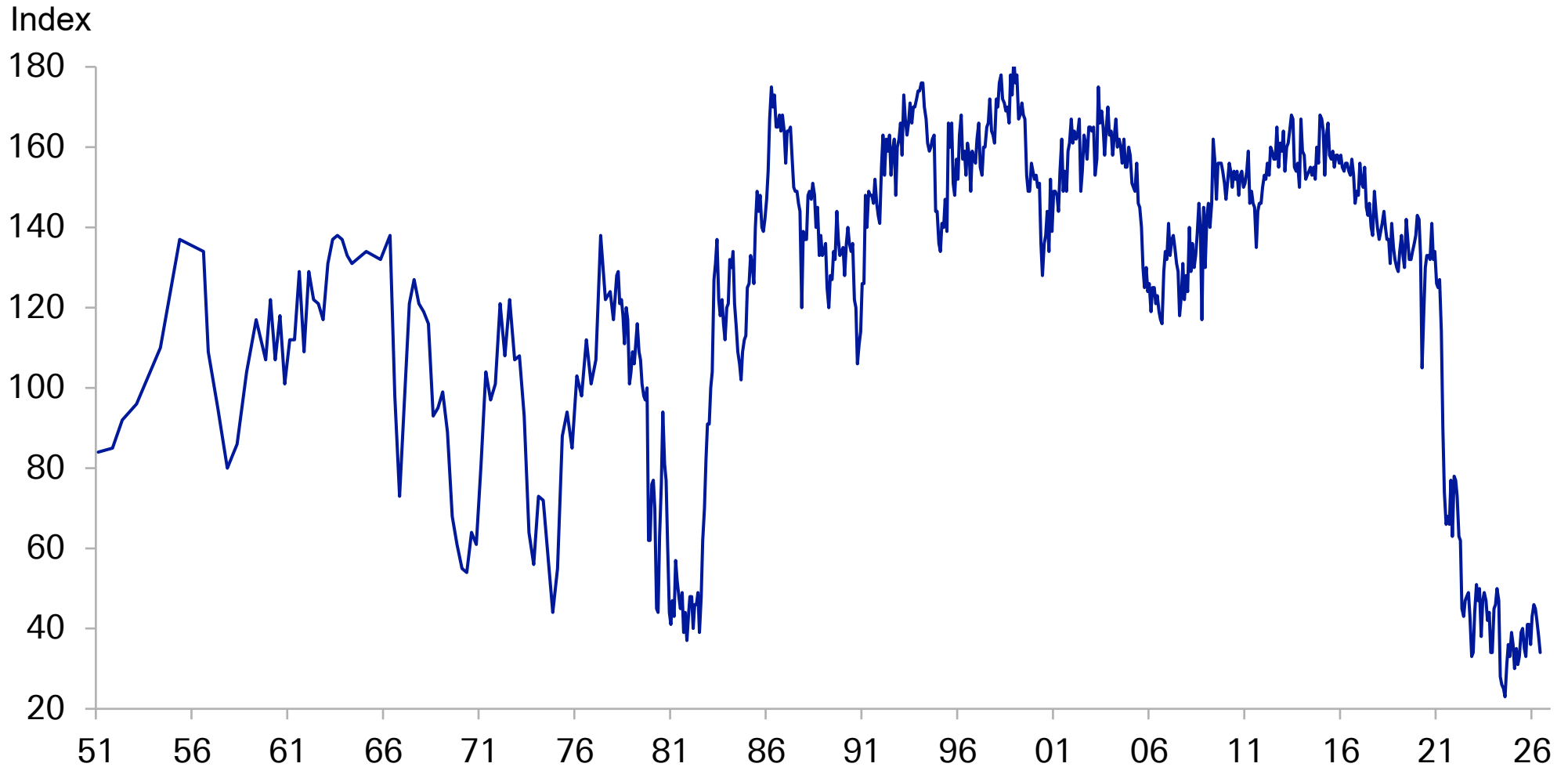


Source: 2026 NAR Home Buyers and Sellers Generational Trends , Deutsche Bank

Consumers don't see this as a great time to be buying a house and haven't since mortgage rates soared in 2022. Prices aren't falling which is preventing a rebalancing...



Current Conditions for Buying Houses (Index Score)

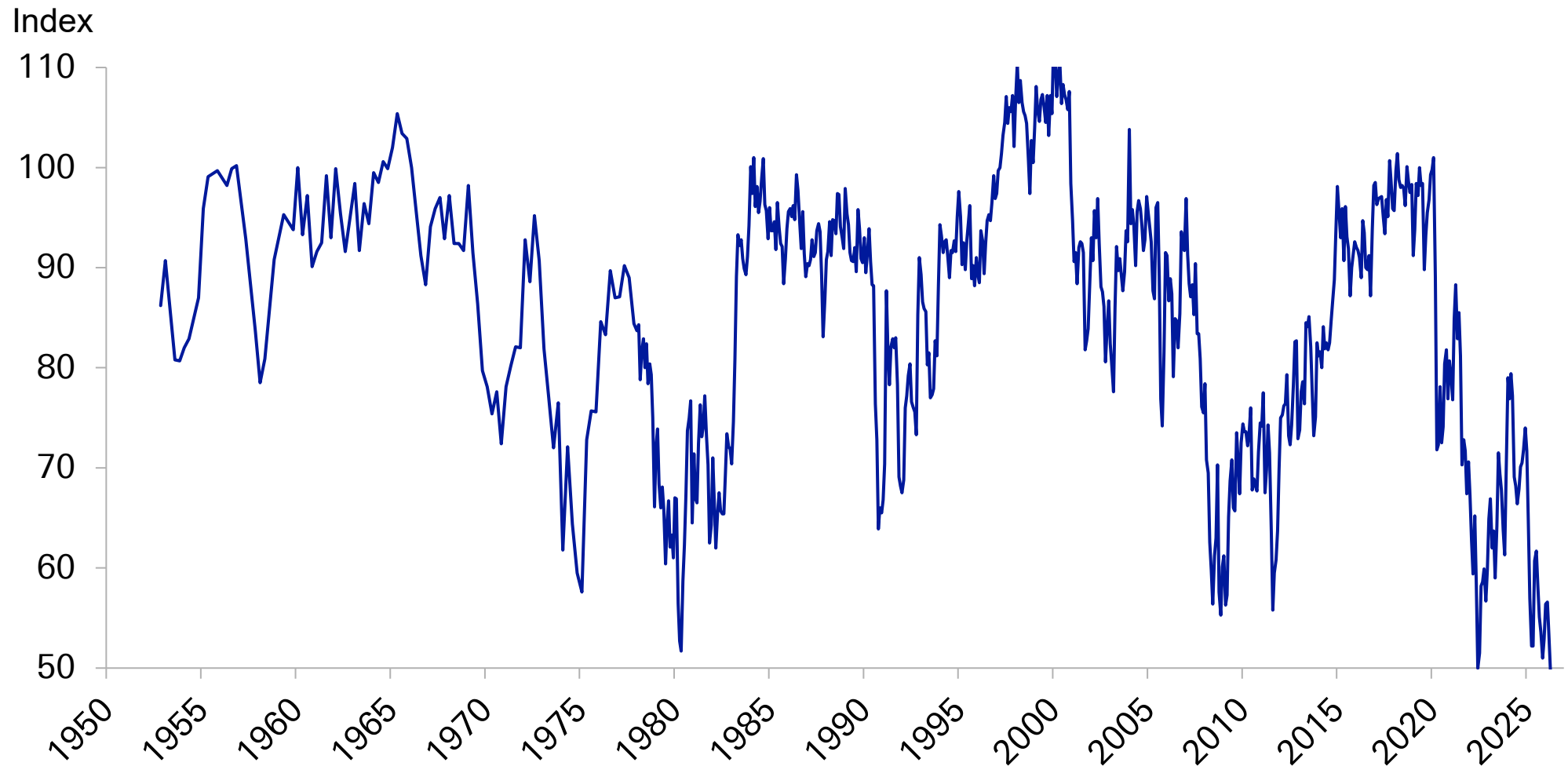


Source: UMICH, Haver Analytics, Deutsche Bank

US consumers generally don't seem to be too happy with the state of the economy, contrasting with the strong GDP numbers...



University of Michigan: Consumer Sentiment (NSA, Q1-66=100)

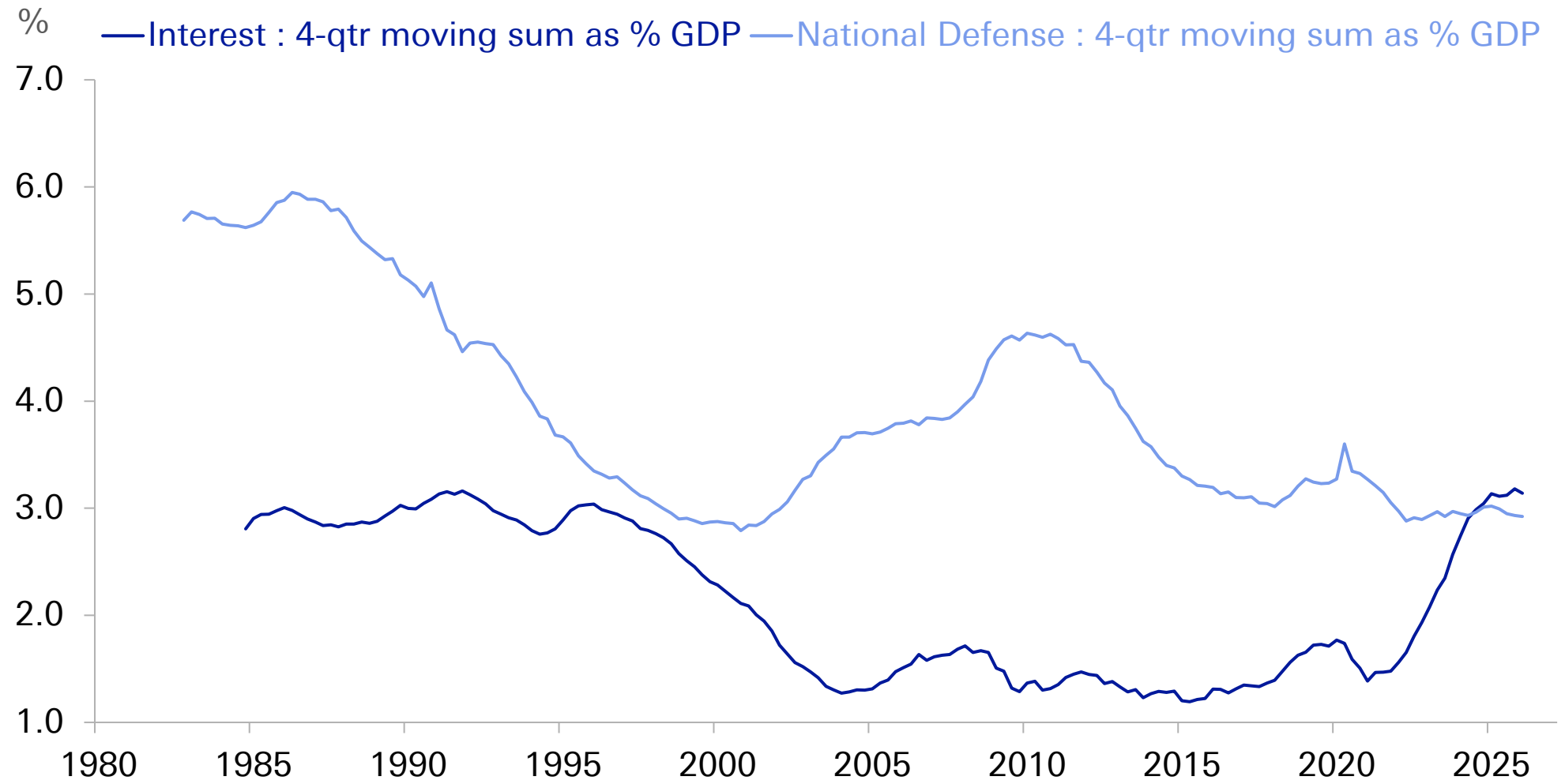


Source: University of Michigan, Haver, Deutsche Bank



Renewed US leadership relative to its peers has also been accompanied by record peacetime fiscal deficits. Interest payments on government debt now exceed defense spending at a time when the geopolitical backdrop remains highly uncertain.

The Crossover: Rising Federal Interest Payments have Overtaken Defense Spending

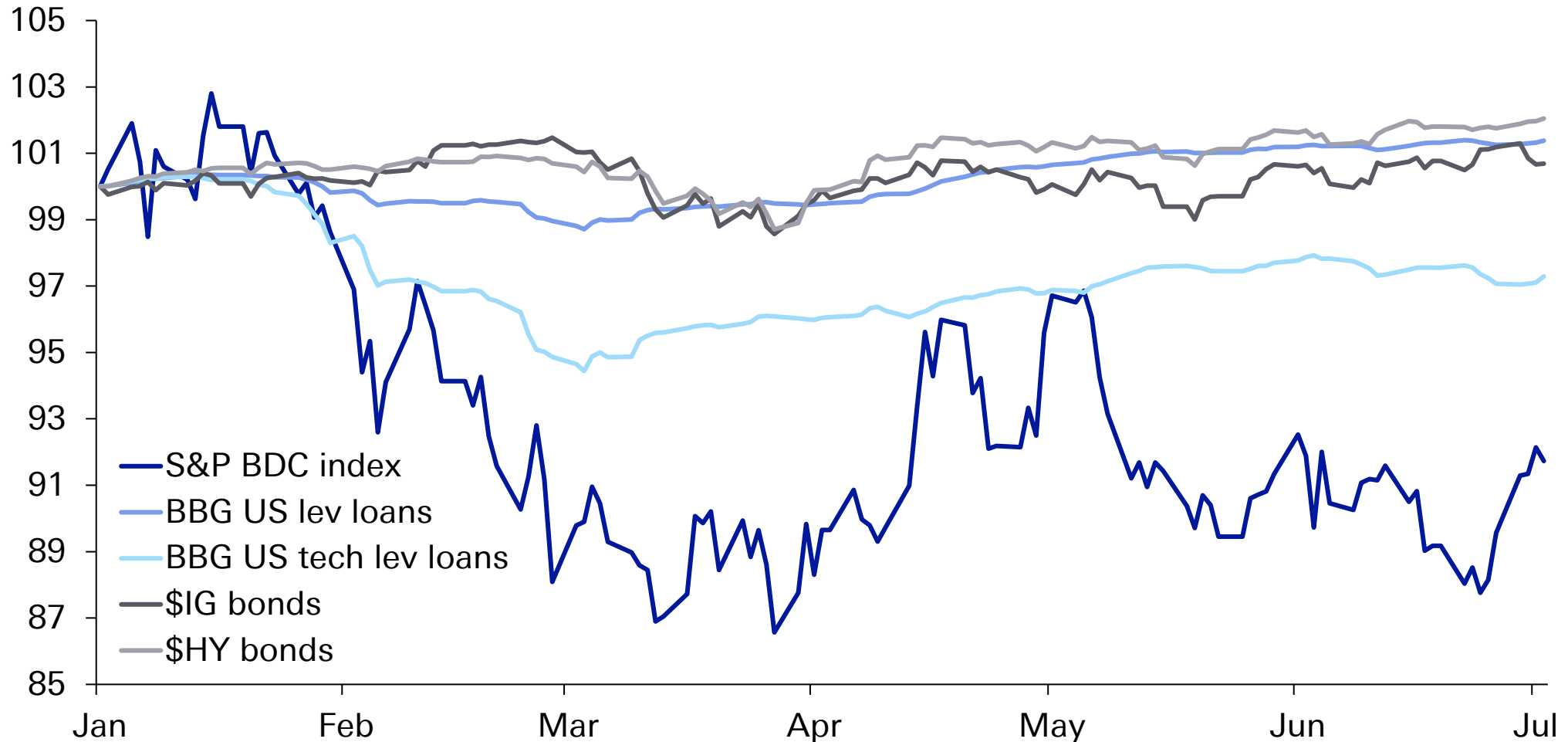


Source: CBO, OMB, Haver Analytics, Deutsche Bank Research

Credit has had a good year but software and associated sectors/indices are suffering even if they've stabilised since March/April...



Credit indices YTD total return performance

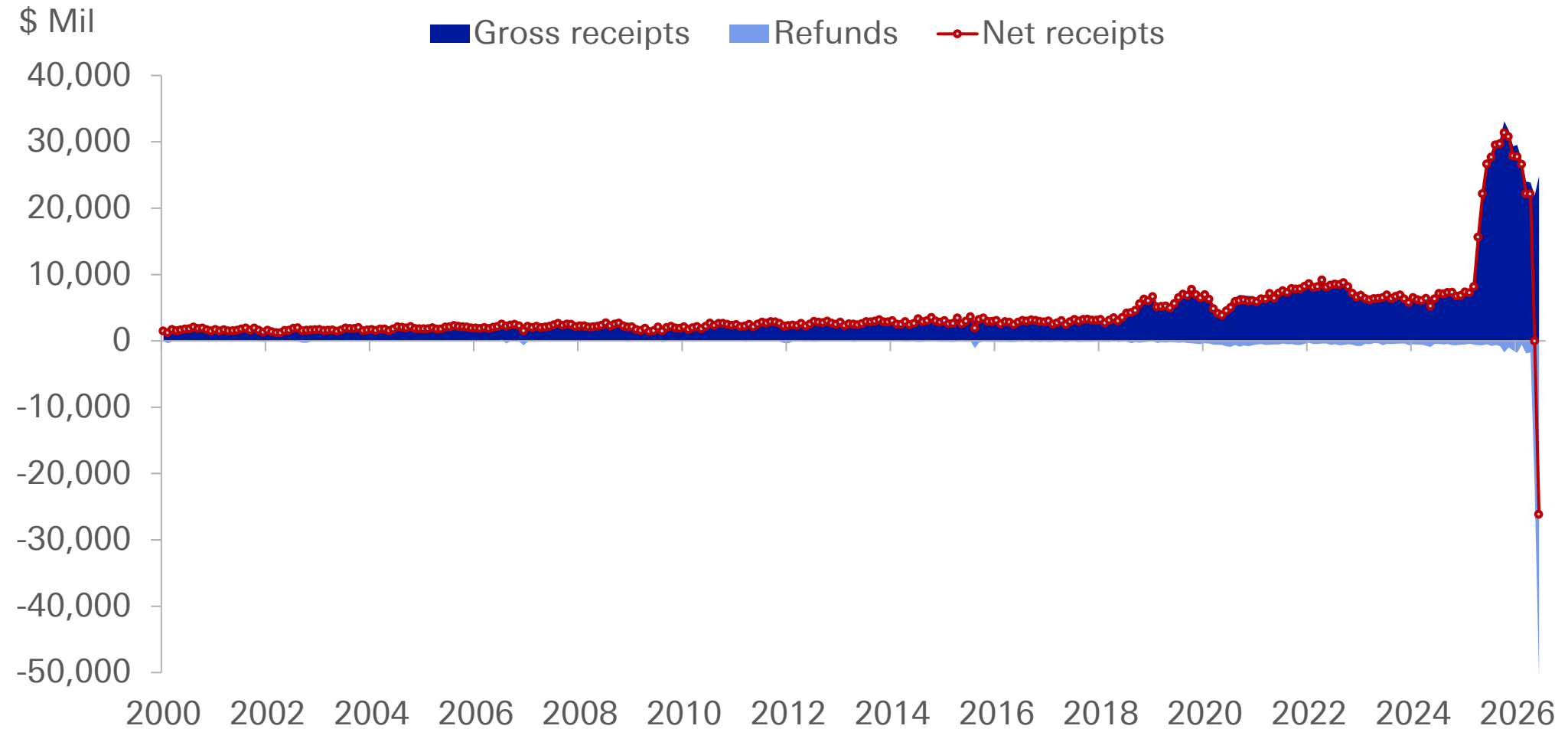


Source: Bloomberg Finance LP, Deutsche Bank.



Tariff refunds are giving back some of the US fiscal gains of recent months. New tariffs will likely be implemented to offset but the graph is a striking reflection of the post Liberation Day world.

US Government Custom duties



Source: US Treasury, Deutsche Bank

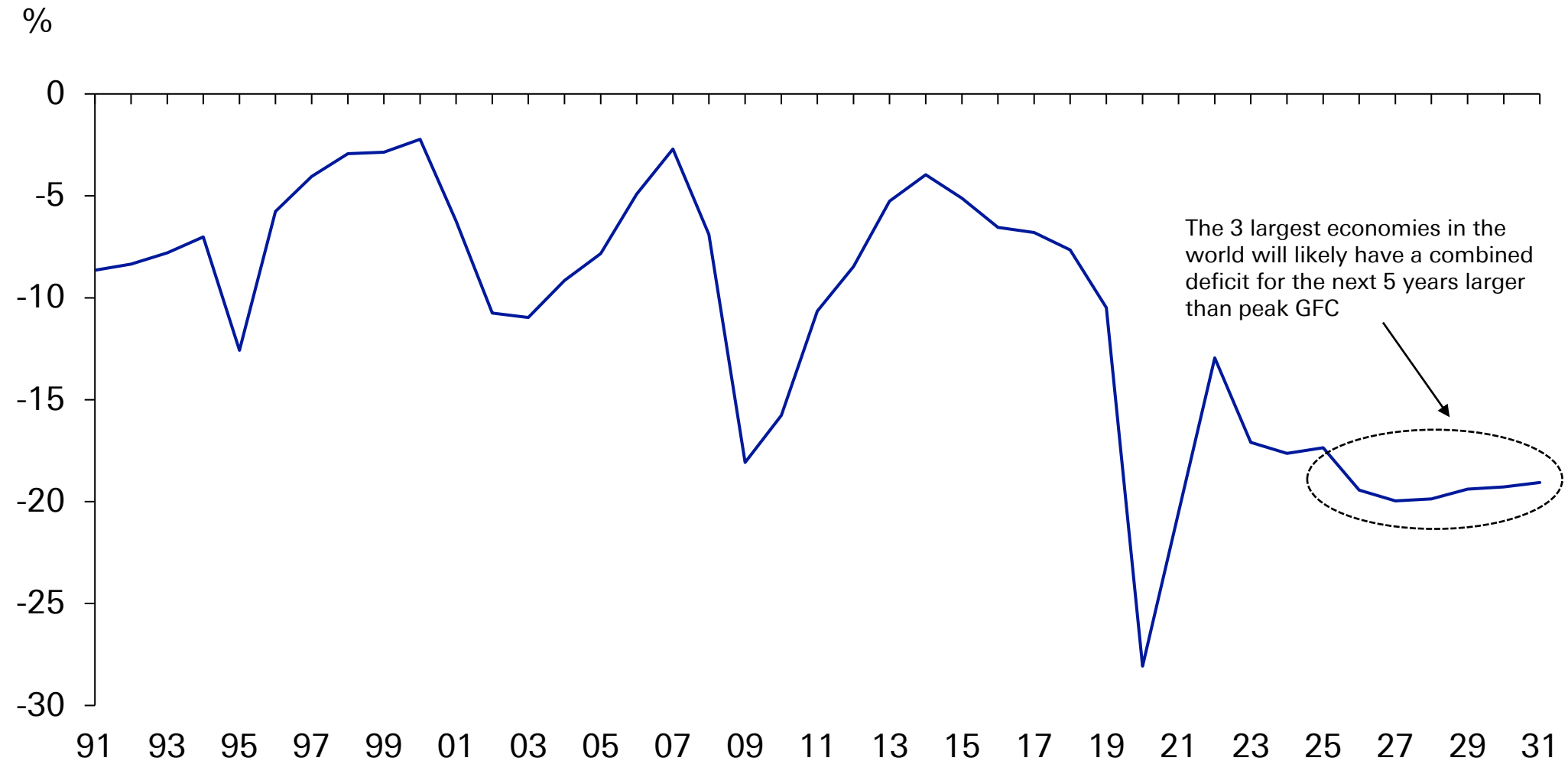


Fiscal spending is high around the world...



The combined fiscal deficits of the three largest economies in the world (US, China and Germany) is set to be higher every year out to 2031 than at the worst point of the GFC. And don't forget the 4th largest, Japan has a new PM committed to more fiscal...

Big Three: Combined Fiscal Deficits as % GDP of US, China and Germany



Source: IMF, Haver, Deutsche Bank



Japan is worth a watch..

Talking of Japan, the Yen is now at 40-year lows...



USDJPY Spot Exchange Rate - Price of 1 USD in JPY



Source: Bloomberg Finance, Deutsche Bank; Last update: July 3

10-year JGB yields are hovering near the highest levels since 1997, having recently reached those highs.



JGB 10 yr yields

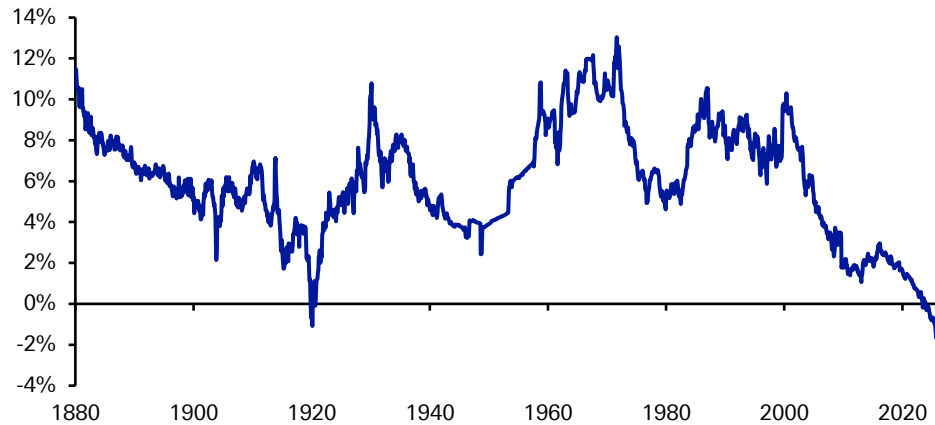


Source: Bloomberg Finance LP, Deutsche Bank; Last update July 3

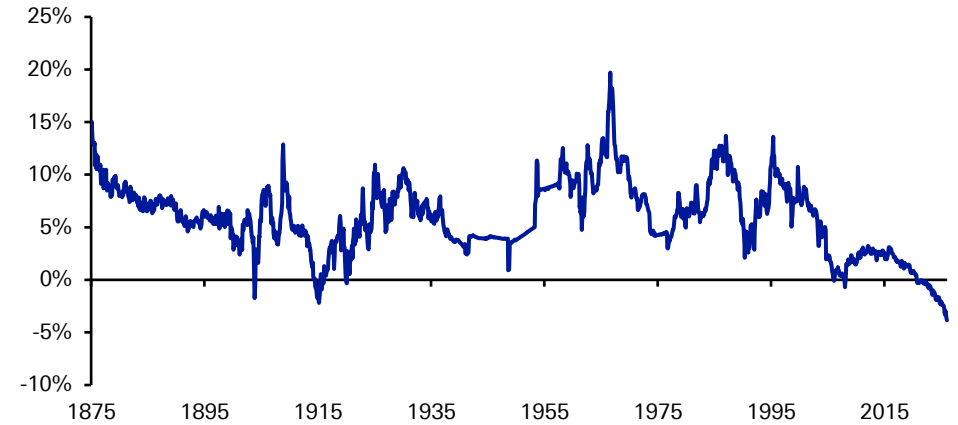
10yr JGBs have seen negative returns over a 5yr and 10yr horizon, in both nominal and real terms... In nominal terms it's the worst ever performance..



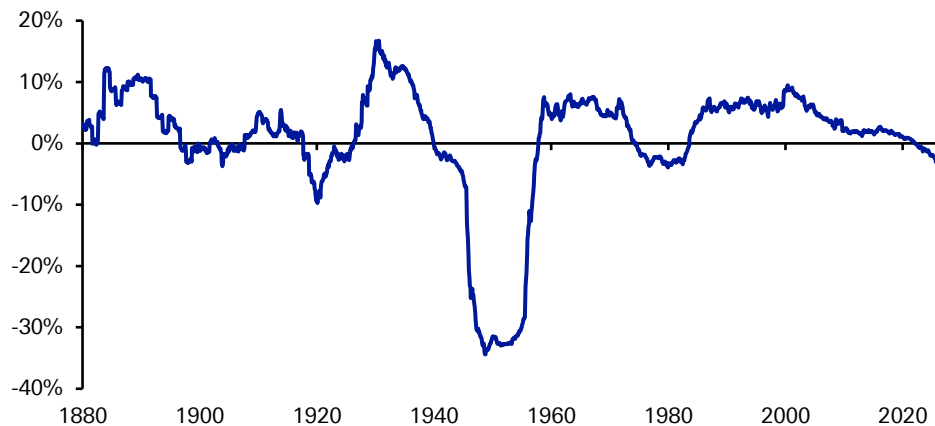
10yr Rolling Nominal Return (Annualised)



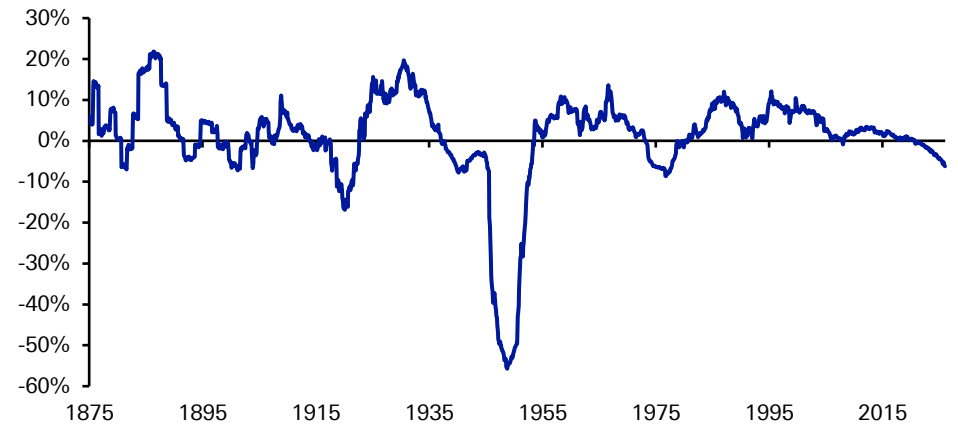
5yr Rolling Nominal Return (Annualised)



10yr Rolling Real Return (Annualised)



5yr Rolling Real Return (Annualised)



Source: Finaeon, Deutsche Bank

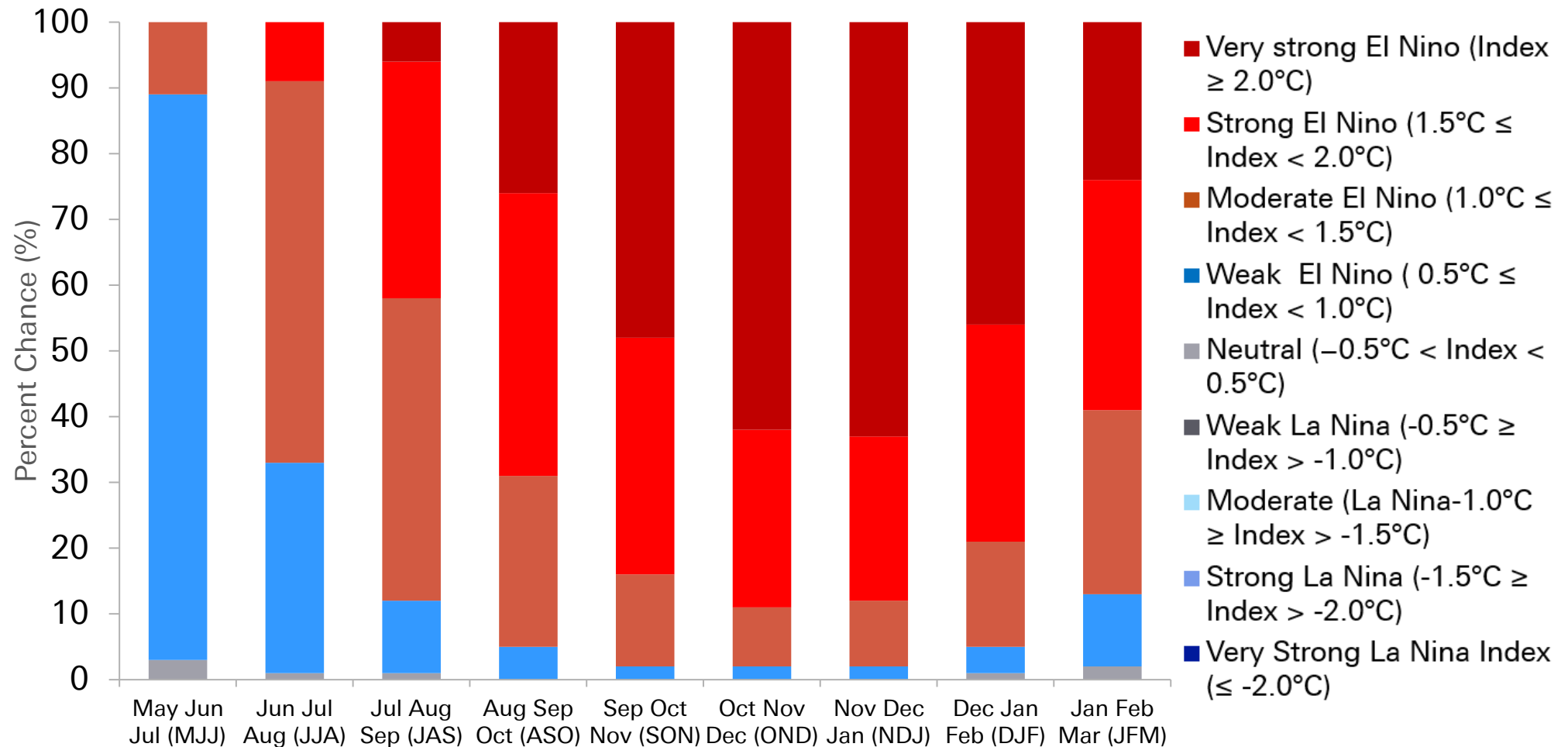


Random slides to end...

Strong/very strong El Nino probabilities are very high towards the end of this year. Darkest red indicates the highest heat probabilities.



Official NOAA CPC ENSO Strength Probabilities (Issued June 2026)

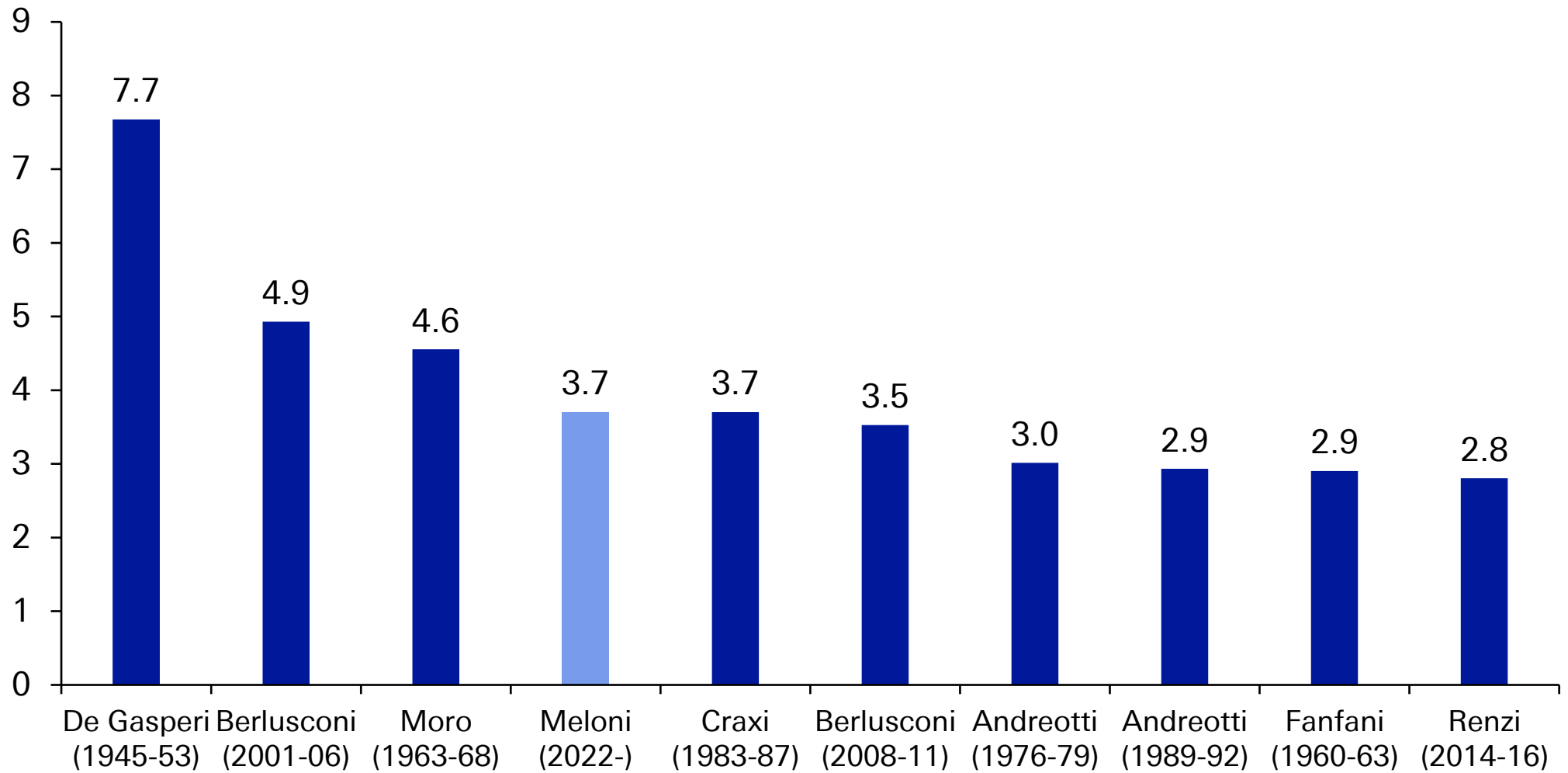


Source: NOAA, Deutsche Bank ; Note: The bars show the chance of El Niño, ENSO-Neutral, and La Niña provided for 9 upcoming, overlapping 3-month seasons (each letter represents a month).

Giorgia Meloni has now served the 4th longest consecutive term for a post-war Italian PM... meanwhile the UK is about to see a 7th PM in a decade....



Longest consecutive terms for Italian Prime Ministers since WWII (in years)



Source: Wikipedia, Deutsche Bank

Appendix 1



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Push and pull: France, RN and the challenges of political change

July 3, 2026

France and Europe are moving into the shadow of 2027 presidential elections. In an increasingly geopolitical world, the EU needs to invest, innovate, and acquire strategic autonomy to maintain its relevance. Indebted public balance sheets and a drift towards populism are significant hurdles. The question we ponder is how much higher these hurdles will become when France goes post-Macron.

On [July 7](#), the Court will rule on Marine Le Pen's eligibility to run for President. If Le Pen is barred from running, Jordan Bardella will be [RN's candidate](#) in the election. However, this Court decision will not resolve the fundamental dilemma facing the Rassemblement National (RN). Instead, it is likely to set the stage for **"push and pull"** – a continuous tension between RN's political ambitions and the powerful constraints it would face in government.

While RN may be closer to power than at any point in its history, electoral success and governing capacity are not the same thing. The party's platform would have to contend with a series of powerful constraints – from constitutional guardrails, fiscal realities to market discipline, and demographic trends. Understanding an RN government requires looking not only at what the party wants to do, but also at what it would realistically be able to do.

There are three key points we would make.

1. The potential path to power – Why the Presidency is not enough. We find that RN not only has a credible path to the presidency but also, perhaps unintuitively, to a National Assembly majority and control of the government. This is due to France's legislative electoral system, which creates a significant "majority premium" for the party that finishes first in the national first-round vote. This makes the legislative elections that would follow the presidential contest a critical event for markets. To be sure, RN would not control the entire State apparatus, as both the Senate and Constitutional Council are designed for slow, gradual change, creating durable checks on the government. We also find a core internal tension between Le Pen's traditional base and Bardella's market-friendly wing, a conflict that defines the party's uncertain economic direction.

2. The policy agenda – Part fixed, part pragmatic. The RN is not monolithic, and its evolving platform and attempt to appear more governable could still **collide with hard realities**. This collision is evident in that, for every major policy ambition there is at least one specific constraint, **creating strong incentives for policy pragmatism**: flagship immigration proposals face constitutional blockades and slowing demographics; expensive fiscal promises face market scrutiny; and the party's electoral base acts as a political brake on a full pivot to economic liberalism.

3. Europe – Disruption, not rupture. RN is likely to try to use France's institutional weight within the EU, but we think disruption would be more likely than rupture. While an RN government could generate **significant friction, its ability to alter EU policy could be limited** by internal EU voting rules,

Authors

[Yacine Rouimi](#)
Senior Economist

[Mark Wall](#)
Chief Economist

[Clemente Delucia](#)
Senior Economist



enforcement mechanisms, and ideological divides with potential right-wing allies.

Ultimately, we think the key issue is not whether the RN can win power, but how France's institutions and economic realities would shape what the party can do with it. In our view, the defining feature of an RN government would likely be the volatility created by a continuous **push and pull** between political ambition and governing reality.

Push and pull: France, RN and the challenges of political change

The possibility of a Rassemblement National (RN) victory in France in 2027 should no longer be considered a tail risk. [Current polling](#) suggests that an RN candidate – whether Marine Le Pen or, if legal developments force a succession, Jordan Bardella – potentially has a credible path to the second round of the presidential election and the Élysée Palace itself. More importantly, for investors, France's institutional calendar means that a RN presidential victory would likely be followed by a snap legislative election, creating a realistic pathway to a parliamentary majority and, thus, meaningful governing power.

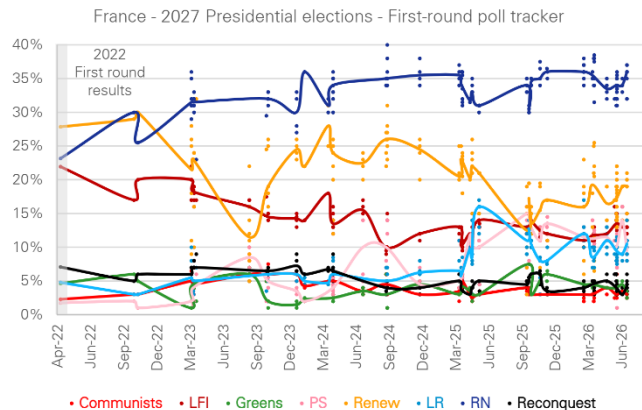
However, in our view the focus should be less on whether RN can win power and more on what it could actually do with it.

The defining characteristic of any RN administration would likely be a continuous tension between political ambition and governing realities. Constitutional constraints, the Senate, EU institutions, fiscal arithmetic, demographic pressures, and financial markets would all act as powerful checks on the implementation of the party's programme. There may be volatility, but disruption appears more likely than rupture.

RN in power never felt as close. Politically, RN is in a stronger position than at any point in its history, with recent polls suggesting either of its likely candidates – Le Pen or Bardella, depending on the outcome of the [July 7](#) court verdict – could win the presidency against any potential opponent. Crucially, the RN also has a credible path to a National Assembly majority. Despite polling in the mid-30s, France's two-round electoral system creates a significant "majority premium" for the leading party, which can translate into control of the government. The key uncertainty, we think, is therefore less RN's ability to reach power but whether a broad anti-RN coalition can re-emerge as it did in 2024.

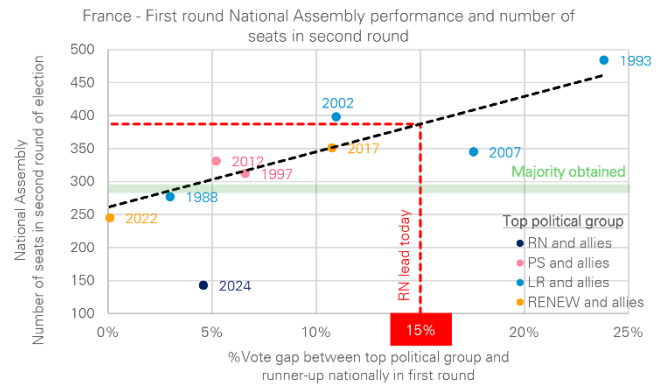


A comfortable lead for the RN candidate, and an open race for the contenders



Deutsche Bank Research, IFOP, Cluster 17, Elabe, Odoxa, Harris Interactive, Opinionway, Verian, IPSOS

Picturing the implied majority premium in French legislative elections

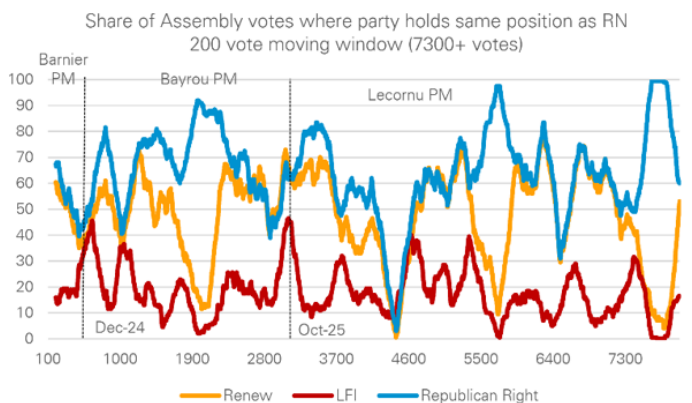
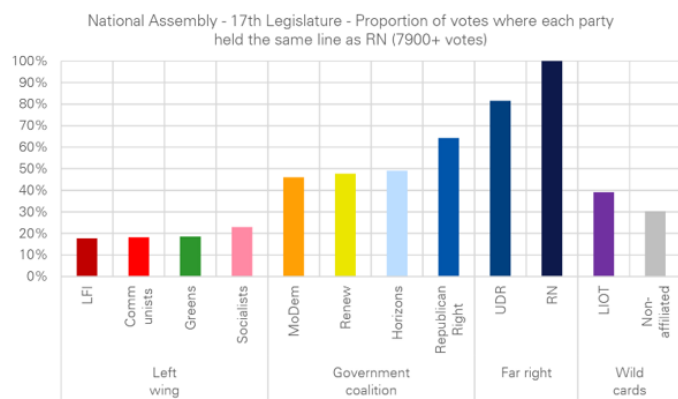


Deutsche Bank Research, French Ministry of the Interior

Current political fragmentation suggests a traditional broad anti-RN coalition is far from certain. However, the party's power would not be absolute: both the Senate and the Constitutional Council are designed for slow, gradual change, creating durable checks on an RN government.

Two-headed RN, debates not settled. A second uncertainty concerns the party itself. While Bardella has increasingly become the public face of RN, Marine Le Pen remains the dominant political figure. The result is a [growing tension](#) between two competing economic narratives. Bardella has sought to reassure investors and business leaders through a more market-friendly, fiscally conservative message, whereas Le Pen's traditional social-sovereigntist approach remains focused on purchasing power, pensions, and economic protection. This ambiguity is important because RN's parliamentary voting record often appears more pragmatic and centre-right than its rhetoric suggests, yet its electoral base remains strongly attached to protective policies.

RN is closer to the centre-right than to any other non-far right party in voting behavior



Deutsche Bank Research, National Assembly. The sample covers all the votes that occurred between October 2024 and July 2026

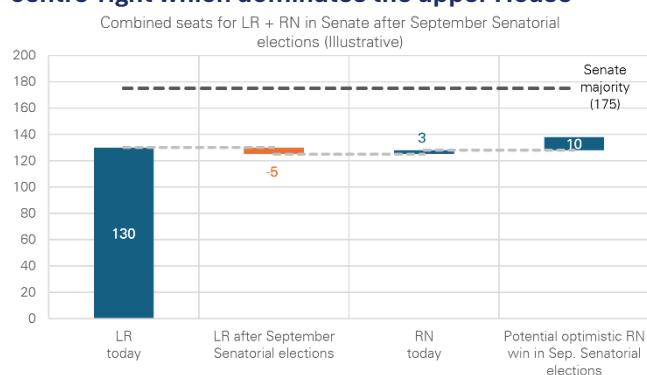
On policy, immigration remains the most stable element of the RN platform, while Europe and pensions have evolved significantly. RN has [effectively abandoned](#) 'Frexit' and euro-exit proposals, opting instead for a **pragmatic** strategy of reshaping the EU from within. Its objective is now to slow further integration, reduce France's net contribution to the EU budget, challenge certain aspects of EU legal primacy, and roll back elements of the Green Deal rather



than leave European institutions altogether. This moderation substantially reduces the systemic risk profile relative to previous electoral cycles but, nevertheless, is likely to create tension.

Material institutional obstacles to full platform implementation. Many of RN's flagship immigration proposals would likely run into constitutional obstacles, according to leading constitutional experts (see [here](#) and [here](#) for details). Measures based on "national preference" appear [difficult to reconcile](#) with France's constitutional principle of equality before the law. The Constitutional Council would likely act as a substantial brake on implementation, while constitutional revision itself would likely face formidable procedural hurdles, particularly given RN's long-term inability to secure meaningful representation in the Senate (for details and seat projections, see [here](#)). In practice, many of the party's most ambitious proposals would probably need to be moderated if they are to become law.

RN's weak footing in the Senate does not facilitate Constitutional reforms, even in an alliance with the centre-right which dominates the upper House



Deutsche Bank Research, French Senate

A standard and a controversial path for Constitutional reform

Paths to Constitutional revision for RN			
Path	Key requirement(s)	Main obstacle for RN	Timeline implication
Standard path (Article 89)	Identical text passed by both National Assembly & Senate; then referendum OR 3/5 supermajority of both houses. Referendum mandatory if revision initiated by Parliament	Blocked by opposition-controlled Senate (RN has minimal representation, alliances unlikely to reach majority).	Deliberately slow: Mandatory delays (6 weeks + 4 weeks) for parliamentary debate, lengthy back-and-forth.
Contested path (Article 11)	President calls direct referendum (bypassing Parliament).	Legally contested for constitutional revision, triggers institutional crisis and confrontation with Council/Senate. Restrictions in subjects (only economic policy, public authority organization).	Potentially faster in execution, but the process of navigating the resulting political and legal crisis would be extensive and unpredictable.

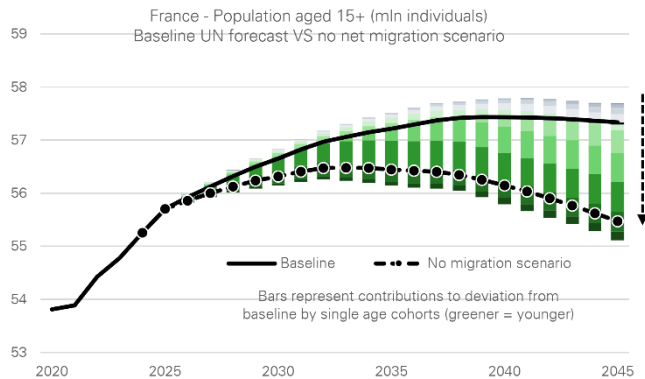
Deutsche Bank Research, Constitutional Council

Fiscal policy – Asymmetric spending/saving commitments are a risk. For markets, fiscal policy remains the most important area of focus. RN's programme contains a clear asymmetry between highly visible spending commitments and comparatively uncertain savings plans. Measures aimed at boosting purchasing power, protecting pensions, and reducing energy taxation carry material fiscal costs, while proposed offsets – including lower immigration spending, anti-fraud initiatives and reduced EU contributions – are inherently less predictable. [Independent estimates](#) have suggested that the gap between proposed spending and realistic savings could be substantial.

RN would inherit an already fragile fiscal backdrop. France faces elevated public debt, persistent deficits, rising defence requirements, and adverse demographic trends. Lower immigration, while politically central to RN's platform, could further reduce labour-force growth and worsen age-related fiscal pressures over time. Consequently, an RN government would likely face difficult trade-offs between delivering electoral promises, maintaining fiscal credibility, and supporting growth.

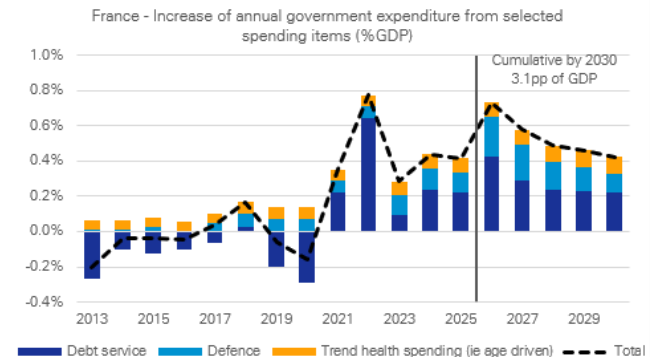


Less immigration, more adverse demographics



Deutsche Bank Research, French Senate

Meaningful upward pressure on government spending every year



Deutsche Bank Research, Constitutional Council

Careful policy calibration needed to avoid a market challenge. Financial markets therefore represent one of the most immediate constraints. Unlike constitutional or political obstacles, market discipline can emerge quickly. Any perception that an RN government is unwilling or unable to stabilise the fiscal trajectory could lead to higher sovereign risk premia, rising debt-servicing costs and tighter domestic financial conditions. With debt sustainability already a vulnerability, France can ill-afford to lose more fiscal credibility. Any fiscal misstep could quickly face sharp market scrutiny. The question is how pragmatic RN would be in response.

Momentum for EU strategic autonomy and integration at risk. At the European level, we think the most likely scenario is increased friction. France has considerable weight within the EU, and an RN administration could slow integration, complicate negotiations on EU budgets, enlargement or defence initiatives, and create uncertainty around France's future role in European policymaking. Yet, the ability to fundamentally alter EU outcomes would remain constrained by voting rules, enforcement mechanisms, and the difficulty of assembling durable alliances across Europe's fragmented right.

Different shades of right in the European Parliament

European Parliament - Right-wing groups political profiles			
	European Conservatives and Reformists (ECR)	Patriots for Europe (Pfe)	Europe of Sovereign Nations (ESN)
Number of MEPs	Right-wing 82	85	Extreme Right 27
Top-3 member parties	- Brothers of Italy (24 MEPs) - Polish PIS (20) - Romanian AUR (6)	- French National Rally (29 MEPs) - Hungarian Fidesz (11) - Italian League (7)	- German AfD (15 MEPs) - Bulgarian Revival (3) - Polish Konfederacja (2)
Political profile	- Partly Eurosceptic - Pro-Ukraine and NATO - Anti Green deal - Anti immigration	- Eurosceptic, similar to previous "Identity and Democracy" group - Russia-friendly and NATO sceptic - Anti Green deal - Anti immigration	- Eurosceptic - Russia-friendly and NATO sceptic - Anti Green deal - Anti immigration

Deutsche Bank Research, European Parliament



Bottom line. Our conclusion is nuanced. An RN victory would represent a significant political event, but France's institutional architecture makes revolutionary change difficult. The most probable outcome in our view would be elevated uncertainty, periodic clashes with domestic and European institutions, and selective policy shifts rather than a wholesale restructuring of the French economic model. For financial markets, we believe the key theme is not outright regime change, but a constant, volatility-inducing push and pull between RN's political objectives – shifting in places – and the fiscal, legal, and market constraints that would ultimately shape its capacity to govern. The push for political change will generate friction.



Appendix 1

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Deutsche Bank
Research

What Q2's emerging themes mean for 2026 and beyond

1 Jul 2026

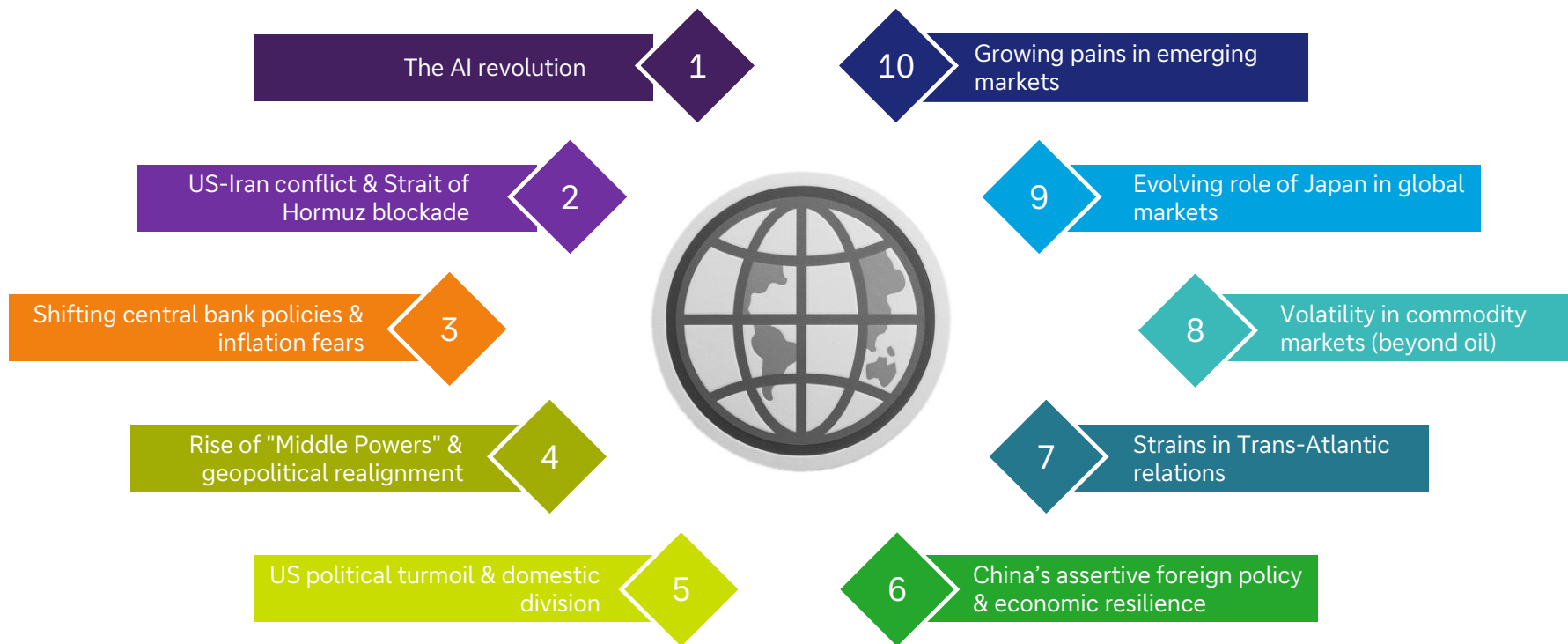
Luke Templeman | Thematic Strategist
Galina Pozdnyakova | Research Analyst

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

Deutsche Bank
Research Institute

The themes driving markets in Q2 – based on AI analysis of our daily market commentaries

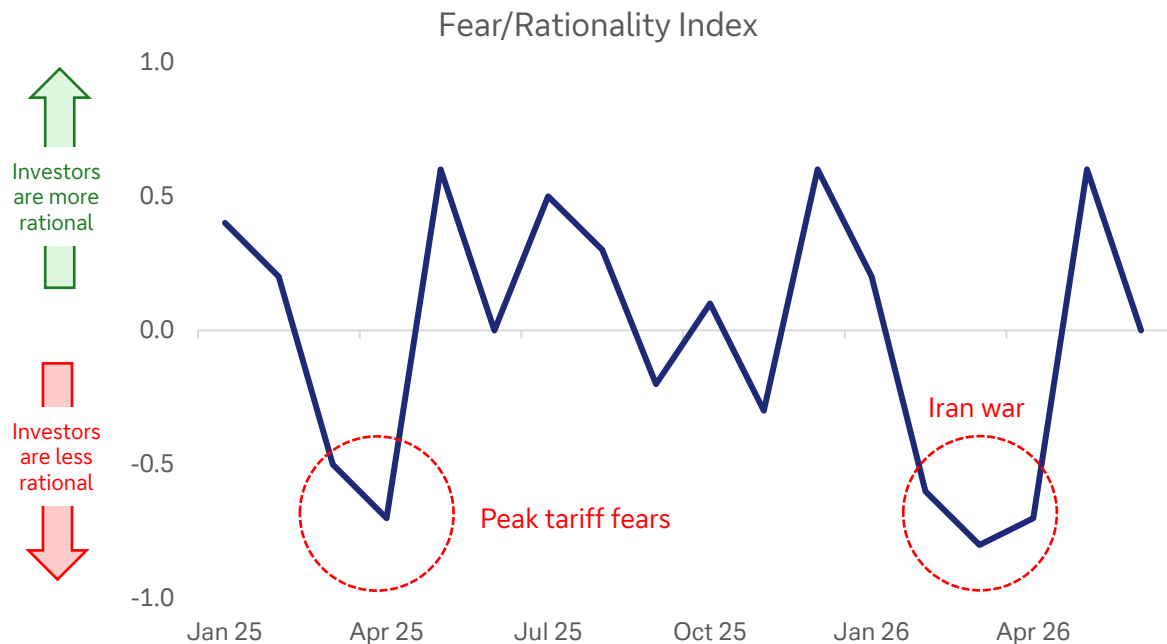


Are investors rational?

As markets began to recover from their Iran war-low, the investor buying was very rational. Now, that equity markets are close to their peak again, 'rationality' has moved to neutral ... but not into negative territory.



Our dbLumina gauge indicates investors have been irrational during market drops and periods of geopolitical tensions



What does it mean to be 'rational'?

Risk-off periods:

The tariff fears in 2025 and then Iran war in 2026 were key buying opportunities in equity markets. Yet, the overwhelming fear exhibited by investors in these periods largely meant they sold off risk assets in an emotional and irrational response.

Fear Indicators:

Sharp, disproportionate reactions to threats, widespread sell-offs on announcements, panic, flight to safety beyond what might be fundamentally warranted, strong emotional language (e.g., "roiled," "plunge," "blistering sell-off," "panic selling,").

The most 'emotion' we've ever seen

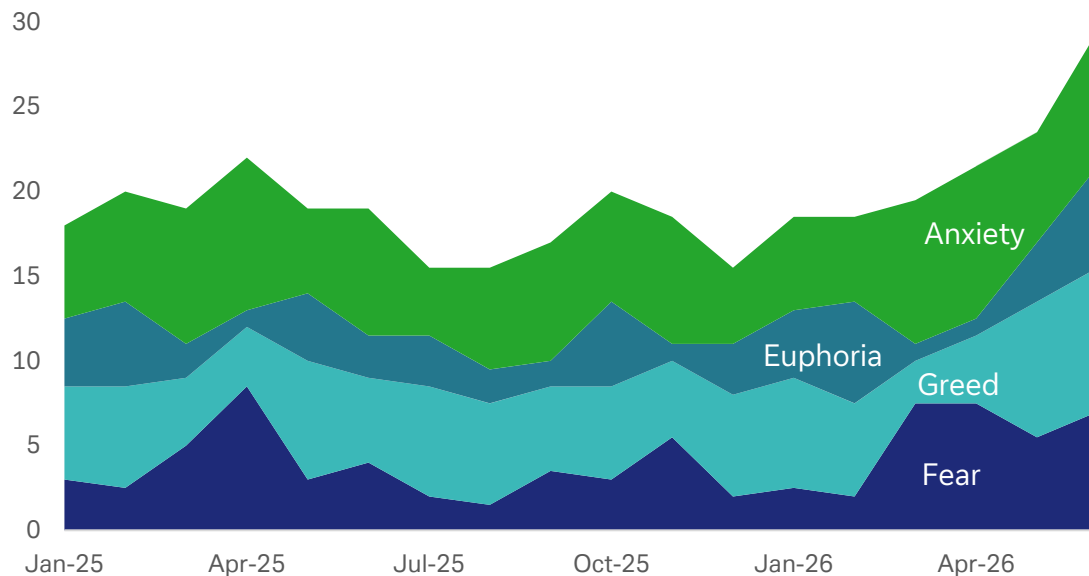
The four key market-moving emotions dominated trading in Q2. Hence the volatility in both directions.



Emotion was everywhere in Q2 – volatility followed

Status-quo bias is strong. That is creating more market volatility

The impact of investor emotions on global markets



Investors are loathe to consider the upside in bad times and the downside in good times. Thus, when sudden events change, market drops can be more aggressive than expected.

Some examples:

1. Rush to price in the downsides of tech disruption
2. Fear of considering sovereign risk
3. Fear of underperforming peers is greater than the desire to beat them
4. Unwillingness to price in the upside of iterative technology improvements
5. Narrow vision of what globalisation is and the fear that it has peaked

dbLumina's estimate of how each key theme in Q2 impacted the S&P 500



AI surge

Yet another strong rebound ... after yet another period of AI-rally scepticism



Iran conflict

Markets settled after their initial shock



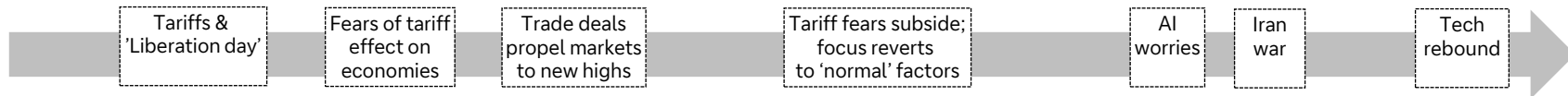
Fed policy

Uncertainty about both Warsh and the Fed's response to energy inflation

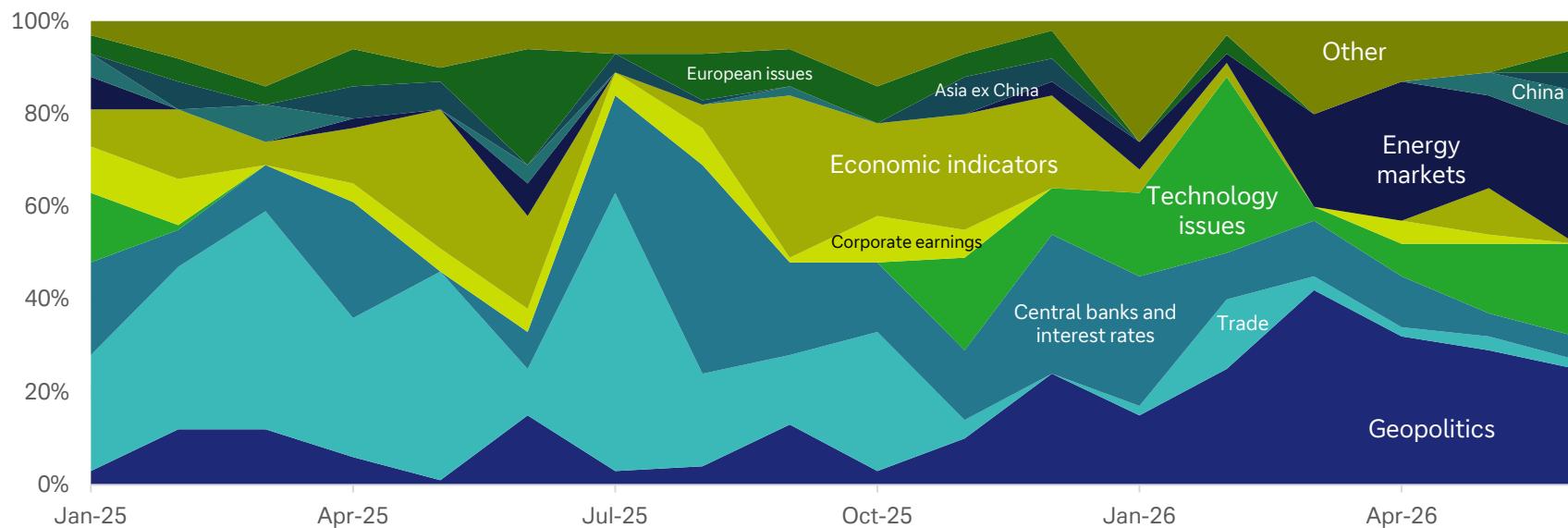
Impact of key themes on the S&P 500 in Q2



Our AI analysis shows how groups of themes have driven markets over time



The themes that impacted markets each month



The impact of today's themes 1 year ahead:

We asked our AI model, dbLumina, to analyse the impact of the themes for the quarter. The 'positive' and 'negative' indicators are relative to expectations at the beginning of the quarter. For example, a net negative score for the S&P 500 does not mean we expect the index to fall. Rather it means we see the rising probability that returns will be lower than previously expected.



Theme	GDP Growth	S&P 500	Interest Rates ¹	Inflation ¹
1 The AI Revolution	Strongly Positive	Strongly Positive	Positive (Upward)	Positive (Upward)
2 US-Iran Conflict & Strait of Hormuz Blockade	Negative	Negative / Volatile	Strongly Positive (Upward)	Strongly Positive (Upward)
3 Shifting Central Bank Policies & Inflation Fears	Negative	Negative	Strongly Positive (Upward)	Negative (Downward)
4 Rise of "Middle Powers" & Geopolitical Realignment	Neutral	Neutral	Neutral	Neutral
5 US Political Turmoil & Domestic Division	Slightly Negative	Negative / Volatile	Neutral	Neutral
6 China's Assertive Foreign Policy & Economic Resilience	Slightly Negative	Negative / Volatile	Neutral	Neutral
7 Strains in Trans-Atlantic Relations	Neutral	Slightly Negative	Neutral	Neutral
8 Volatility in Commodity Markets (Beyond Oil)	Neutral	Slightly Negative	Neutral	Neutral
9 Evolving Role of Japan in Global Markets	Neutral	Neutral	Neutral	Neutral
10 Growing Pains in Emerging Markets	Neutral	Neutral	Neutral	Neutral

	GDP Growth	S&P 500	Interest Rates ²	Inflation ²
Sum of positive/negative indicators (positive is +1, negative is -1)	-2	-3	-5	-2

1) For interest rates and inflation, "positive" implies upward pressure on rates/prices

2) A score >0 for interest rates and inflation is 'good' ie. they are expected to go lower.

The impact of today's themes 3 years ahead:

The medium-term picture now broadly reflects the short-term picture – a big change from last quarter when several risks were weighing on economies and markets



Theme	GDP Growth	S&P 500	Interest Rates ¹	Inflation ¹
1 The AI Revolution	Very Strongly Positive	Positive	Mixed / Uncertain	Negative (Downward)
2 US-Iran Conflict & Strait of Hormuz Blockade	Neutral	Neutral	Neutral	Neutral
3 Shifting Central Bank Policies & Inflation Fears	Neutral	Neutral	Neutral / Stabilizing	Neutral / Stabilizing
4 Rise of "Middle Powers" & Geopolitical Realignment	Slightly Negative	Slightly Negative	Neutral	Neutral
5 US Political Turmoil & Domestic Division	Neutral	Neutral	Neutral	Neutral
6 China's Assertive Foreign Policy & Economic Resilience	Slightly Negative	Slightly Negative	Neutral	Neutral
7 Strains in Trans-Atlantic Relations	Slightly Negative	Slightly Negative	Neutral	Neutral
8 Volatility in Commodity Markets (Beyond Oil)	Neutral	Neutral	Neutral	Neutral
9 Evolving Role of Japan in Global Markets	Neutral	Neutral	Neutral	Neutral
10 Growing Pains in Emerging Markets	Neutral	Neutral	Neutral	Neutral

	GDP Growth	S&P 500	Interest Rates ²	Inflation ²
Sum of positive/negative indicators (positive is +1, negative is -1)	-1	-1	Nil	1

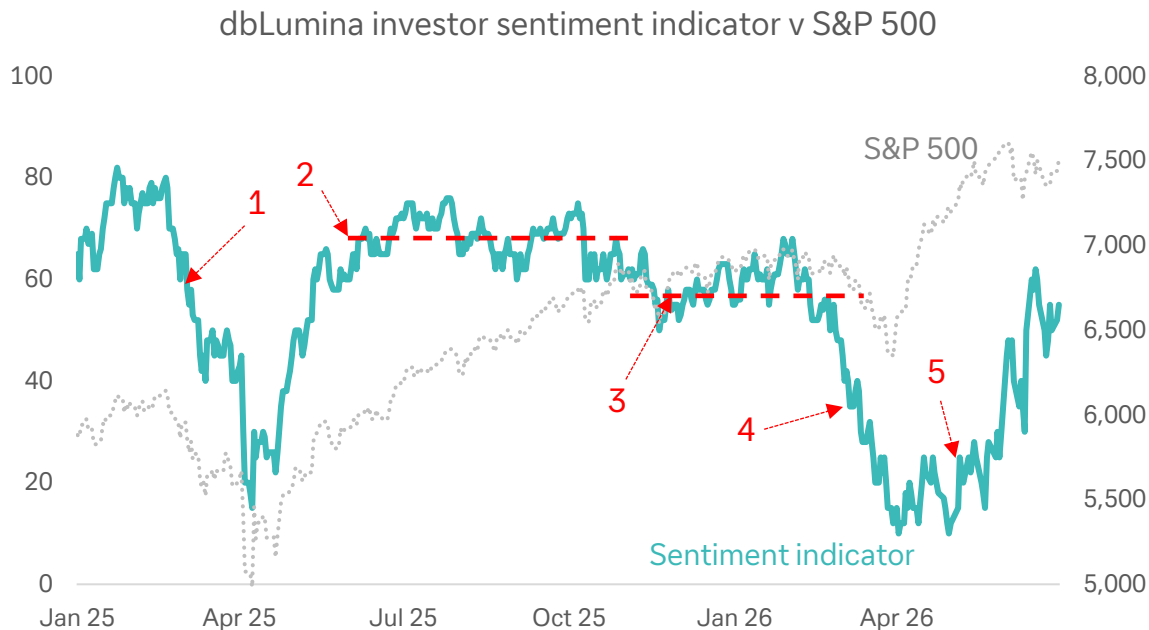
1) For interest rates and inflation, "positive" implies upward pressure on rates/prices

2) A score >0 for interest rates and inflation is 'good' ie. they are expected to go lower.

Our gauge of investor sentiment uses AI to interpret macro, economic, and market signals
This is our response to the fact that so many confidence indices today fail to reflect technological and social megatrends that now affect markets.



It is early days, but our gauge appears to be developing some predictive qualities



1. Indicator drops 20 points in Feb-25 before the most dramatic stock market declines relating to tariffs.

2. Consistent strong sentiment as markets recovered from the tariff-induced sell-off.

3. Lower sentiment as markets top-out on valuations and software/PC nerves grow. Yet, no catalyst for a large drop.

4. Our sentiment indicator commenced a steep drop on 3-Feb. It fell 20 points before the war in Iran kicked off.

5. The slower, more volatile recovery in our indicator foreshadowed the volatility in the S&P 500 during June

Emerging themes – part 1

We asked dbLumina to help us identify the key rising themes that have the potential to most impact markets and economies in the short term



1

The “sovereignty” premium in technology and AI

National governments are increasingly asserting control over the technology sector, extending beyond simple regulation to direct intervention in the name of “sovereignty.”

This is evolving from a focus on supply chains into more direct control over AI models and data infrastructure. Examples include:

- The US asking OpenAI to restrict its latest model, GPT 5.6, to “government-approved entities” only.
- The US-led “Pax Silica” alliance expanding, aiming to secure AI supply chains, including critical minerals and energy
- China adding Japanese companies to an export control list
- Talks between Anthropic and the US Commerce Department over security fears related to its AI models

This trend reinforces the trend towards a future where access to advanced AI and technology is becoming fragmented along geopolitical lines, creating a “sovereignty” premium on nationally-controlled tech assets and disrupting the globalised tech ecosystem.

2

The rise of the populist left in Europe

While the rise of the populist right has been a long-running theme, a complementary trend is now gaining traction across Europe: the re-emergence of the populist left.

This is beginning to create new political uncertainties and potential fiscal challenges in key European economies. Examples include:

- Alexis Tsipras, Greece’s former prime minister, announced his return to politics with a new party aimed at unifying the left.
- Across Europe’s ten largest countries, support for populist left parties is now “rivalling that of strictly centrist parties”.
- In the UK, Andy Burnham firmed as the favourite to become the next Prime Minister. He has previously supported greater government borrowing, causing some initial concern in gilt markets.
- Local elections in the UK showed a drive towards the populist left and right, putting pressure on centrist leadership.

The growing influence of the populist left could challenge the established fiscal consensus in Europe, potentially leading to increased government spending, greater sovereign debt issuance, and renewed focus on wealth distribution policies.

Emerging themes – part 2

A key learning from the 'emerging theme' analysis is the focus on some longer-term themes that have been pushed aside by the conflict in Iran and the focus on tech



3

The AI "picks and shovels" investment thesis

As the initial euphoria and fear around AI business models mature, a more pragmatic investment theme is emerging, focused on the underlying infrastructure and enabling technologies—the "picks and shovels" of the AI gold rush.

- The entry of three new firms—Vertiv, Lumentum, and Coherent—into the S&P 500, all of which specialise in AI supply chain components like power, cooling, and high-speed optical parts.
- Major plans from chipmakers Samsung and SK Hynix (potentially \$1.3tn over ten years) for chipmaking plants and data centres
- Comments from TSMC that global chip supply will be insufficient to meet demand "for years to come" reinforcing the long-term demand for the foundational hardware of AI.

This theme suggests a broadening of the AI investment landscape, with increasing investor attention on the less glamorous but potentially more durable companies that provide the essential hardware and infrastructure for the AI revolution.

4

"Middle power" diplomacy and strategic hedging

The "middle powers" are navigating changes to US foreign and trade policy, the tense relationship with China, and other global conflicts by building new alliances. They aim to hedge their dependencies and carve out more independent foreign policy paths. Examples include:

- A meeting of Mercosur's leaders to discuss the implementation of their trade deal with the EU
- Canada inaugurating a sovereign wealth fund specifically to reduce its economic dependence on the US and its Prime Minister visiting President Xi in Beijing to reset relations.
- Colombia's election of a new hard-right president, signalling a domestic policy shift that has implications for its relationship with the US.

Frequently, geopolitical trends take a long time to play out. This trend is accelerating on a monthly basis. It indicates the oft-talked about multipolar world is quickly becoming a practical reality. This creates new opportunities and risks in international relations and trade.

Current evolving risks

Today's key concerns revolve around assumptions that key risks will turn out to be positive for markets. A big assumption.



1

Geopolitical Miscalculation in the Middle East

The fragile US-Iran ceasefire could unravel at a moment's notice.

Iran is constantly testing the truce, including attacks on shipping and back-and-forth military strikes

Markets appear far too sanguine about the risks of a reignition of a full-scale conflict.



2

AI-Driven Market Disruption and Valuation Risk

AI is a dual risk: the potential for disruptive technology to upend established business models and the risk of a valuation bubble in AI-related stocks.

Further AI sell-offs in non-tech sections also appear possible following similar instances in wealth management and private capital.



3

Sovereign Debt Fragility and Fiscal Strain

Global sovereign bond markets showed increasing signs of stress.

We do not expect a serious developed-market default, but several factors increase the risk of fear-based market sell-offs.

Japan and Europe remain clear risks. Secondary effects could press through other markets, particularly if oil prices flare up.



4

A US Consumer and Labor Market Slowdown

The economic indicators continue to show an inconsistent trend and investors may have become too used to the US labour market 'always finding a way through'.

Persistently low consumer sentiment risks turning into a broader downturn should another shock (such as a renewed energy crisis) hit the US economy.

Emerging risks underestimated by the market – part 1

Iran and tech dominate risk equations but several risks are underestimated



1 Social & political backlash against "Big Tech" and AI

An undercurrent of social and political resistance to the influence of technology and AI is steadily growing. While the market is focused on the economic disruption and investment opportunities of AI, a broader societal backlash is forming that could lead to significant regulatory, legal, and fiscal headwinds for the sector.

Examples:

- Legal & Regulatory: A California court ruled on tech companies creating addictive platforms for minors. Governments are also proposing legislation, such as Canada's bill to ban social media for children and similar measures being considered in the UK, France, and Spain.
- Societal & Fiscal: South Korea has proposed a "national dividend" funded by tax revenue from AI-related profits. Ireland has demanded that new data centres "Bring Your Own Power" (BYOP),

Potential Impact (1-3 Years):

- Inflation/Equity Prices: A wave of litigation and stringent regulations could impose massive costs on major technology firms
- Interest Rates/GDP Growth: New taxes on AI or technology, like the proposed "national dividend," could alter fiscal landscapes and influence government spending, potentially affecting GDP and central bank interest rate policy.

2 The politicisation of trade and infrastructure

Beyond standard tariffs, a more complex and unpredictable risk is emerging where critical trade routes and infrastructure are being used as leverage in geopolitical disputes.

The market has treated the Strait of Hormuz situation as a temporary, energy issue, yet it is a dangerous example of the politicisation of global chokepoints

Examples:

- Control over chokepoints: Iran has demonstrated its ability disrupt traffic in the Strait of Hormuz at a very low financial cost to establish a persistent form of leverage over the global economy.
- Targeting infrastructure: Continued Iranian attacks on neighbouring countries sets a dangerous precedent for how other conflicts may play out

Potential Impact (1-3 Years):

- Inflation/GDP Growth: The risk of similar disruptions in other global chokepoints could lead to recurring supply chain crises, driving sustained inflationary pressures and hampering global GDP growth.
- Equity Prices: Sectors reliant on global shipping, manufacturing, and stable energy supply may face recurring shocks to their earnings and valuations.

Emerging risks underestimated by the market – part 2

Iran and tech dominate risk equations but several risks are underestimated



3

The fragmentation of the EU's political centre

While the market has reacted to specific events like the UK leadership turmoil, it appears to be underestimating the broader, structural trend of political polarisation that could threaten the EU's cohesion and policy-making ability.

Examples:

- Rise of the Populist Left: Support for these parties now rivals that of strictly centrist parties. Just one example was the return of Alexis Tsipras in Greece.
- Internal EU Disagreement: Disagreements on core policies are becoming more pronounced. The summit on European competitiveness revealed a lack of alignment between France and Germany on joint eurobonds, leading to a suggestion that a smaller group of countries might push ahead with "enhanced cooperation".
- Weakening of Traditional Alliances: The UK's political instability has been a consistent theme, while the EU's response to US tariff threats and the US-Iran conflict has been disjointed

Potential Impact (1-3 Years):

- Interest Rates: A breakdown in fiscal cohesion could lead to diverging sovereign bond yields and increased risk premiums for fiscally weaker EU member states
- GDP Growth/Equity Prices: Political paralysis or a turn towards protectionist policies could stifle the single market, hindering the continent's growth and impacting the performance of European equities.

4

'Grey Zone' escalation and the limits of military deterrence

"Grey zone" tactics—actions that are hostile but fall below the threshold of conventional warfare—are growing. Iran's recent actions have demonstrated that a technologically inferior power can impose significant costs on a military superpower and its allies, a risk that the market has not fully priced in.

Examples:

- Asymmetric Warfare: Iran's ability to close the Strait of Hormuz along with its cheap rockets and drones that have been a severe burden on the far more expensive US and Israeli interceptors.
- Proxy Forces: Iran has proven adept at enlisting loyal groups like the Houthi rebels in Yemen and Hezbollah in Lebanon to exert pressure and escalate the conflict horizontally.
- Economic Disruption as a Weapon: Iran's strategy involved not just military threats but also creating regional instability and economic pain – tactics that could be replicated in other conflicts.

Potential Impact (1-3 Years):

- Inflation/GDP Growth: A proliferation of these tactics globally could lead to a state of perpetual, low-level conflict, disrupting trade, raising insurance costs, and creating a persistent drag on global growth and a floor for inflation.
- Equity Prices: Defence sector stocks may benefit, but the broader market would likely face a higher risk premium due to the constant threat of unpredictable disruptions.



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FIFA World Cup: What economics sees that fans don't

June 30, 2026

This summer, two markets are running simultaneously: one financial, one sporting. While financial markets react daily to macroeconomics and geopolitics, the sporting market — currently represented by the football World Cup — unfolds across 16 venues in the US, Canada and Mexico, with 48 nations competing for a trophy and an expected 6bn global viewers.

These markets are more alike than most observers admit. Both:

- Thrive on scarcity and compelling narrative;
- Follow the same microeconomic laws of supply and demand, driving pricing and profit;
- Reprice in real-time based on new information;
- Exhibit "winner-takes-most" structures, where top performers outstrip the rest exponentially; and
- Exhibit herding behavior - retail investors and football fans alike chasing momentum, overpaying at peaks and panic-selling (or abandoning) at troughs.

This makes the FIFA World Cup an unparalleled “economics laboratory”. Over 39 days, it puts core microeconomics on display — across tickets, host cities, tournament design, player pay, fan behavior, and even the business model of FIFA, football’s international governing body, itself.

Authors

[Marion Laboure](#)
Research Analyst



1. The ticket market: Dynamic pricing meets the Tinkerbell problem

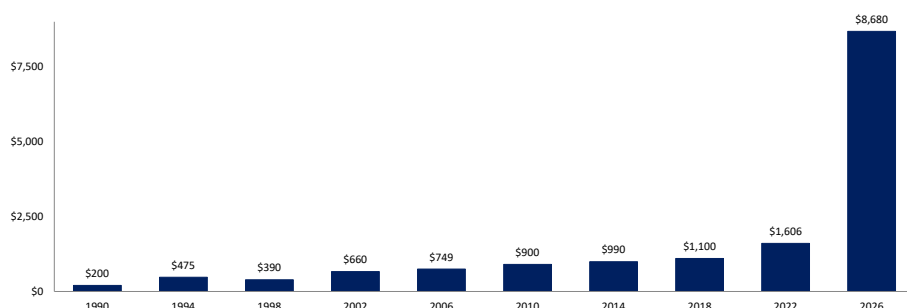
FIFA implemented algorithmic dynamic pricing for 2026 — a first for the World Cup. Think of it like Uber surge pricing: the fare changes depending on how many people want a ride at any given moment. The same mechanism now applies to football tickets, and the effects were immediate.

By February, the median resale ticket on [SeatGeek](#) had reached \$1,291. The US opener against Paraguay saw prices exceed [\\$3,200](#). Premium final seats at MetLife Stadium, with a face value of \$6,730, [were tripled by FIFA to \\$32,970](#) by early May. US President Donald Trump publicly said he would not pay those prices.

By May, demand softened — group-stage prices fell [28%](#) to a median of [\\$928](#). But once results started to matter, prices surged again. After the US beat Paraguay 4–1, tickets for the next US match climbed [65%](#) in 48 hours. By mid-June, [84%](#) of all matches had seen resale prices rise.

This is what we have previously called the “[Tinkerbell Effect](#)”: while the product (a seat) does not change, the belief and narrative surrounding it do and that is enough to move the price. FIFA capitalized on this by creating an [official resale marketplace](#), collecting a 15% fee from both buyer and seller. At the other extreme, Jordan vs Algeria and Curaçao vs Ivory Coast tickets were available for under \$450.

Figure 1: World Cup final ticket prices



Source: [The World Cup Guide](#) Note: Category 1.

2. Host cities: Scarcity priced in, demand missing

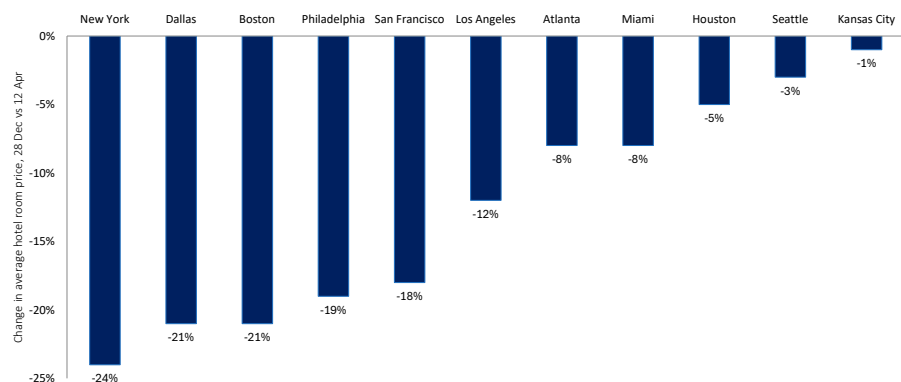
The hotel market illustrates how quickly an anticipated demand shock can reverse. Following the December group-stage draw, room rates in some host cities surged by up to 300% overnight. By April, [80% of US hotel operators were below their initial forecasts](#). New York was down [65%](#) vs expectations; Seattle, [80%](#). Game-day rates had fallen roughly one-third from their December peaks. Mexico was the exception: tighter local supply kept prices elevated.

This shortfall reflects more price-sensitive demand than many expected. And it is not without precedent. The World Cup in France in 1998 offers the closest parallel: organizers predicted 500,000 extra tourists, yet fewer visitors came than in a normal June. Non-football fans simply avoided the country; a pattern economists call the “crowding-out effect.” Overnight hotel stays by non-residents fell [13%](#) year-on-year. The same dynamic is playing out in 2026, compounded by visa and entry frictions that reduced cross-border travel — a factor cited by [70%](#) of hotel operators as a primary drag on international demand. Several high-profile cases reinforced this constraint, including denied entry to officials and ticket restrictions affecting entire national allocations.



The overall macroeconomic impact is limited. The US GDP uplift is estimated at about [0.05%](#) — [negligible relative to the headline projections](#). External assessments consistently find realized gains materially below advertised figures, in line with research showing that [12 of the last 14](#) World Cups produced net economic losses for host regions. With Canada's hosting costs at ~C\$1.07bn (~C\$82mn per match), the event is less about economic stimulus and more about prestige spending.

Figure 2: World Cup hotel rates (%)



Source: Business Traveller, citing Lighthouse Intelligence. Comparison of average hotel room prices booked on 28 December vs. 12 April.

3. Fans: "The ball is round", behavior isn't

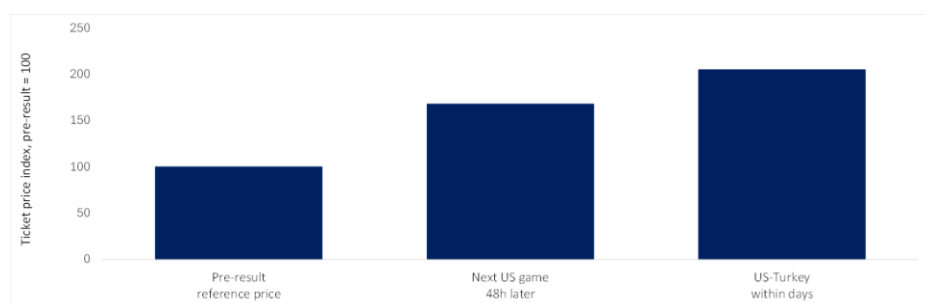
Fans price emotion, not assets. After the US defeated Paraguay 4–1, tickets for the next game surged [68%](#) in 48 hours; US v Turkey prices climbed [105%](#) in days. The product remains unchanged; only the narrative shifted. As Nobel Prize-winning economist Daniel Kahneman showed, people's valuations are reference-dependent and heavily influenced by recent information. In this case, a single victory fundamentally altered fans' willingness to pay.

Fan behavior also reflects Nobel Prize winner Richard Thaler's classic biases. Fans holding tickets for matches their team will no longer play face a sunk-cost dilemma. Many attend rather than sell at a loss, as loss aversion dominates: avoiding a realized loss matters more than optimizing value. What appears to be demand is partly behavioral inertia leading to predictable mispricings. Seats are filled not because their marginal value has increased, but because past spending anchors decisions. Markets clear, but not efficiently.

The contrast is broadcasting. While stadium access is scarce and volatile, global viewership scales at near-zero marginal cost. FIFA's ~\$4.2bn in broadcasting rights captures value from the marginal viewer, not the marginal ticket buyer — a reminder that, in this market, price reflects psychology as much as scarcity.



Figure 3: How winning changes ticket prices



Source: seatgeek.com

4. Tournament design: All about game theory

Rules shape behavior, sometimes more than talent does. Tournament design significantly influences outcomes. The 1982 match between West Germany and Austria is the classic illustration: both teams knew that a 1–0 win for West Germany would send them both through at Algeria's expense, and that's what happened. Given the rules, the outcome was entirely rational. FIFA's response — requiring final group-stage matches to kick off simultaneously — was an institutional fix to a game-theory problem.

The 2026 format partly recreates these conditions. With 12 four-team groups and eight best third-place finishers advancing to the round of 32, there are again situations where teams gain more from managing a result than from maximizing performance. Cape Verde illustrated the new incentive structure: three draws were enough to qualify (the first time since World Cup 1998). The early phase of the tournament rewards not losing as much as it rewards winning.

This played out on the pitch. Against England, Ghana showed little interest in pressing for a win; having already won their earlier match, a draw was the rational outcome to fully secure qualification. England's possession — however dominant — could not change that calculus. Norway, already through and needing only a draw to top the group, fielded a rotated side against France, rationally conserving energy for the knockout rounds.

Yet, 2026 also exposes the limits of purely incentive-based models. Turkey, despite being already eliminated and with nothing at stake, beat the US 3–2 in stoppage time in a match with no bearing on standings. No prize-money model — with payouts ranging from [\\$9mn](#) for a group-stage exit to \$50mn for the champion — would have predicted that result. Pride, national honor, and players auditioning for future contracts generated an intensity that financial incentives alone cannot explain.

Incentives matter, but they do not explain everything.



Figure 4: Ranking of the third best

Ranking	Country	Points	+/-
1	DR Congo	4	+1
2	Sweden	4	0
3	Ghana	4	0
4	Ecuador	4	0
5	Bosnia-Herzegovina	4	-1
6	Algeria	4	-2
7	Paraguay	4	-2
8	Senegal	3	+2
Eliminated			
9	Iran	3	0
10	South Korea	3	-1
11	Scotland	3	-3
12	Uruguay	2	-1

Source: FIFA; <https://www.skysports.com>.

5. Penalties: Behavioral economics under pressure

As tournament rounds advance, quality differentials compress. By the semi-final stage, the marginal gap between sides is small enough that outcome is determined not by aggregate talent but by individual decision-making under extreme pressure. Penalty shootouts are that mechanism institutionalized.

The incidence is significant. Four of the last 10 World Cup champions survived at least one shootout en route to the trophy — in 2022, Argentina survived two against the Netherlands and France. A material share of tournament outcomes are therefore decided not by 90-minute performance differentials but by a discrete, high-variance event with well-documented behavioral distortions.

Shootouts perfectly illustrate loss aversion, mixed-strategy equilibrium, and irreversible decision-making. Kahneman and Tversky's framework explain how players, weighing the asymmetric reputational cost of missing against scoring, systematically favor "safe" shots even when an unpredictable strategy is superior. The fear of missing is not irrational; it is a rational response to asymmetric social payoffs.

The data are unambiguous. World Cup shootout conversion stands at ~70%, against ~80% for penalties in normal and extra time — a 10pp gap attributable to psychological load, not technique or distance. Premier League conversion runs at 80% in lower-stakes contexts. The distance is unchanged; what changes is the psychological weight attached to each kick.

The differential in success rate may be explained by goalkeepers systematizing their preparation for shootouts with more transparent data. Pickford's water bottle at Euro 2024 — carrying printed tendency data on each Swiss taker, direction by direction — captured this precisely: "AKANJI: DIVE LEFT." He dived left and saved it. England used the same approach in the 2018 World Cup round-of-16 against Colombia. Instinct has been replaced by a signal-processing problem. As goalkeepers industrialize their reads, kickers randomize further — producing exactly the mixed-strategy equilibrium game theory predicts, with neither side able to sustain a systematic edge.



The underlying condition remains fixed: a professional athlete, optimally prepared, missing from 12 yards not because of technique but because tournament stakes have recalibrated every cognitive signal. A penalty is ultimately a test of psychological resilience, not technical skill.

Figure 5: 10 last World Cup winners' penalty shoutouts

Winner	Match won on penalties
Argentina 2022	Netherlands (1/4); France (final)
France 2018	—
Germany 2014	—
Spain 2010	—
Italy 2006	France (final)
Brazil 2002	—
France 1998	Italy (1/4)
Brazil 1994	Italy (final)
Germany 1990	England (1/2)
Argentina 1986	—

Source: FIFA; <https://www.skysports.com>.

6. Players: The GOATs take it all

In 1981, economist Sherwin Rosen argued that small differences in talent, amplified by technology that lets the best performers reach unlimited audiences, produce extreme income inequality. The 2026 squad lists are the most striking illustration of that thesis in the sport's history.

Cristiano Ronaldo of Portugal enters his sixth World Cup at the age of 41 with annual earnings of [~\\$300mn](#) — a base salary of ~\$235mn at Al-Nassr (tax-free) plus endorsements including a lifetime Nike deal — making him the first-ever soccer player to cross \$1bn in net worth. Argentina's Lionel Messi earns [~\\$140mn](#) annually; his Inter Miami contract includes a revenue-sharing clause tied to Apple TV's MLS Season Pass subscriptions, giving him equity-like upside in platform growth. France's Kylian Mbappé, at [~\\$100mn](#) per year, is already building a venture portfolio before age 28.

Below this elite tier, the drop-off is steep. Mid-squad players earn 10–20% of their income from endorsements. New Zealand's Tim Payne worked in construction between international caps. If football's income distribution were mapped as a Gini coefficient — the standard measure of inequality used for whole economies — it would likely rank among the most unequal in the world.

The Saudi Arabian influence makes this more extreme still, with sovereign wealth capital deployed as soft power, pricing players at levels no normal commercial model would typically justify. This is structurally identical to US hyperscalers committing over \$700bn to AI infrastructure in 2026: strategic positioning, not near-term return.

Figure 6: World Cup 2026: Top 5 vs. bottom 5 squad market values (€mn)

Top 5	Market value	Bottom 5	Market value
France	€1,520mn	Qatar	€20mn
England	€1,360mn	Jordan	€20mn
Spain	€1,220mn	Iraq	€21mn
Portugal	€1,010mn	Curaçao	€26mn
Germany	€947mn	Iran	€32mn

Source: [Transfermarkt](#); Deutsche Bank Research.



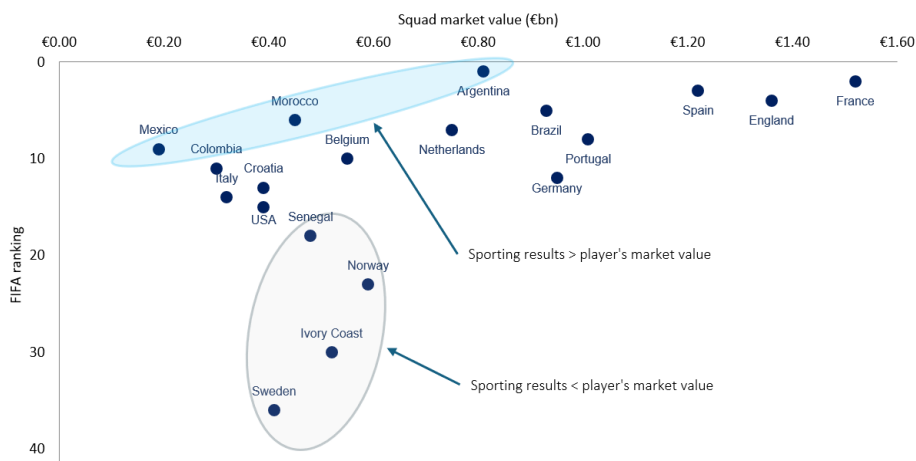
7. Teams: Better than the sum of their GOATs

Moneyball — Michael Lewis's 2003 book about the Oakland Athletics — showed how statistical analysis could greatly assist in building a winning team. It works particularly well in baseball because the sport decomposes into a large number of relatively homogenous individual duels, simplistically: pitcher against batter, each with a measurable contribution that can be compared with many other similar events. The whole approximates the sum of its parts.

Football is more complicated as it has a low number of repeatable scoring 'duels'. Rather, a player's value is frequently derived from hard-to-measure intangibles that necessitates the use of complex 'non-linear dynamic system models'. These are only starting to understand how players interact with each other in a way that can be shaped by training and chemistry built over months. Alchemy matters in a way that spreadsheets find it difficult to capture. The World Cup bears this out. Italy's winning team in 2006 had five players that knew each other well from Juventus (Buffon, Cannavaro, Zambrotta, Camoranesi, and Del Piero); Spain in 2010 had seven from Barcelona (Valdés, Puyol, Piqué, Xavi, Iniesta, Busquets, and Pedro); Germany in 2014 had six from Bayern (Neuer, Lahm, Boateng, Schweinsteiger, Kroos, and Müller). In 2026, the pattern holds among the favorites. Germany is again built around a Bayern spine of six — Neuer, Kimmich, Tah, Musiala, Goretzka, and Pavlović — alongside four from Dortmund and three from Stuttgart. Spain again leans on Barcelona, with Cubarsí, Pedri, Lamine Yamal, and potentially Ferran Torres and Gavi. France has six Paris St Germain players in the mix.

The counterexamples are equally instructive. Cohesion without quality produces coordination without results; the winning formula requires both. Saudi Arabia fielded six or seven Al-Hilal players; Czech Republic 10 from Slavia Prague. Both are eliminated.

Figure 7: Correlation between FIFA ranking and team market value (€ bn)



Source: [Transfermarkt](#), FIFA, Deutsche Bank Research.

8. "Football is a simple game", scaling isn't

FIFA is best understood not as a sports organizer but as a platform — like Apple or Uber — sitting in the middle between two groups (teams on one side; broadcasters, sponsors and fans on the other), capturing value from both. The more users on each side, the more valuable the platform becomes.



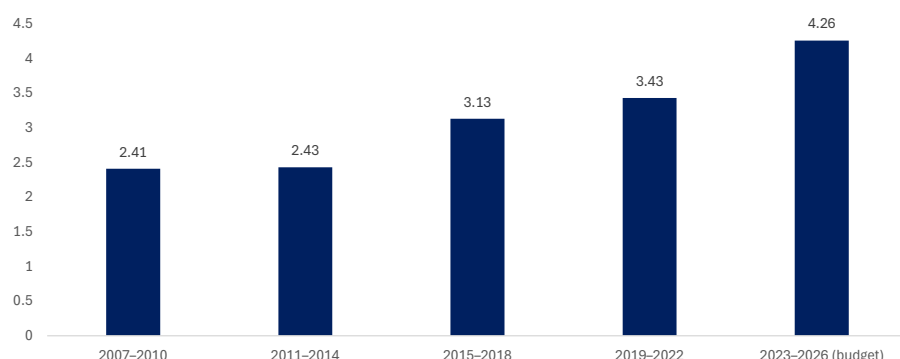
This year's move of expanding the tournament from 32 to 48 teams increased the number of matches from 64 to 104. More matches, combined with two new mandatory 3-minute stoppage breaks per game, mean more advertising slots, more sponsorship activations, and more data generated. The revenue arithmetic is direct: [broadcast revenue above \\$4.2bn](#) (US rights up ~94% vs 2022), [sponsorship at ~\\$2.4bn \(+37%\)](#), and [total cycle revenue approaching \\$13bn](#), up from \$7.6bn in Qatar. Scale, not scarcity, is now the dominant strategy.

FIFA is also moving further into the value chain. Its official resale marketplace mirrors Apple's App Store: a controlled secondary market framed as consumer protection, charging 15% fees on every transaction. This is vertical integration — capturing more of the value the platform creates.

The next frontier is data. With 150mn data points generated per match and 104 matches played, the 2026 tournament represents the largest structured sports dataset ever assembled. Data, not just matches, is becoming a monetizable asset.

The trade-off is familiar to every platform that has ever grown. More content increases reach but risks diluting quality at the margin. Curaçao vs Tunisia in a half-empty stadium is not Brazil vs Argentina, whatever the algorithm prices it at. The balance between scale and quality is now FIFA's central strategic question.

Figure 8: FIFA World Cup broadcast rights revenue has nearly doubled over the past two decades (\$ bn)



Source: FIFA Annual Reports (2010, 2014, 2018, 2022, 2024). Figures refer to four-year commercial cycles; 2023–26 is FIFA's budgeted revenue.

9. Football market as capital markets: A broader ecosystem

The maturation of capital markets produced more than trading profits. It generated an entire industrial infrastructure: data terminals (Bloomberg, Refinitiv), analytics vendors, and retail execution platforms that democratized market access. Football's commercial ecosystem is replicating this structure, driven by the same dynamic: more data, more participants, more liquidity.

The data layer is expanding fastest. FIFA is tracking ~150mn data points per match in 2026, with the match ball's internal sensor logging 500 movements per second. Every player is 3D-scanned and tracked 50 times per second, generating a continuous biometric and performance data stream across all 104 matches. FIFA's AI Pro system, distributed to all 48 teams, provides identical pre- and post-match analytical capabilities via AI agents. The analogy to Bloomberg terminals holds: what those terminals did for price discovery in the 1980s, real-time tracking infrastructure is doing for football performance and wagering today.



The wagering market has scaled accordingly. Global wagers were [\\$35bn](#) at Qatar 2022; 2026 is projected to surge by 43% to exceed \$50bn driven by the expanded format, broader regulatory access, and North American time zones. Prediction markets represent a new layer: Kalshi and Polymarket alone surpassed Super Bowl prediction-market volume within 48 hours of tournament kickoff.

Brazil is the sharpest case study in what happens when deep football fandom meets regulatory liberalization. Online betting was legalized in 2018 but unregulated until January 2025. The results were immediate: licensed operators generated [\\$7bn](#) in gaming revenue in the first year, with [BRL 10bn](#) collected in tax revenue, making Brazil one of the world's largest regulated betting markets in its first year of operation. The driver is simple: roughly one in four of Sofascore's Brazilian users are active bettors, and [18 of 20](#) Série A clubs carried betting sponsors in 2025 — though that figure has since pulled back to [12–13](#) as the market matures. The fandom is the distribution network.

The capital markets analogy holds at the ecosystem level. Retail participation, data infrastructure, and institutional liquidity are scaling simultaneously, each reinforcing the others. The sports analytics market alone — [\\$2.29bn](#) in 2025, forecast at [\\$4.75bn by 2030](#) — is the infrastructure layer that makes the wagering layer possible, precisely as Bloomberg and Refinitiv underpinned the growth of retail trading.

The economic product has shifted in the process: the World Cup used to monetize attention through tickets, sponsorship, and broadcast rights. The same 90 minutes now generate a continuous data inventory — odds, expected goals (xG), corners, cards, player props, micro-markets — and what is being priced is real-time uncertainty, not a match result.

10. Prediction markets as capital markets: Repricing in real time

Financial markets price expectations, not outcomes. When tensions flare around the Strait of Hormuz, oil prices move immediately: the market is revising its probability distribution over future states. Prediction markets apply the same framework to football: each contract is a continuously updated implied probability, and every red card, substitution, or missed penalty is a signal that triggers instant repricing.

The market is no longer marginal. Peak betting traffic is expected to average [100,000 wagers per minute](#) around key matches in the 2026 World Cup. US sportsbooks (FanDuel, DraftKings, BetMGM) run full tournament slates. But the more structurally interesting development is the rise of prediction markets proper: Kalshi and Polymarket together went from [\\$2.2bn to \\$4.8bn](#) in trading volume on the opening day alone, surpassing Super Bowl prediction-market volume within 48 hours. Unlike sportsbooks, these platforms allow participants to enter and exit positions continuously, acting as liquid secondary markets in probabilistic outcomes.

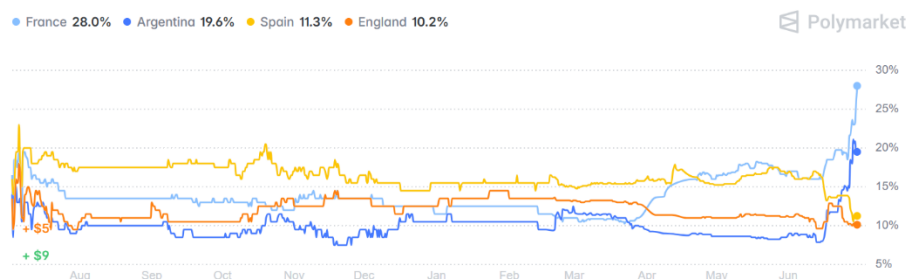
Argentina's tournament offers the cleanest illustration. The defending champions entered at [~9%](#) implied probability — unusually low for a title holder — reflecting market uncertainty about Messi at the age of 38 and a congested field. A perfect group stage (three wins, no goals conceded) pushed that to [~13%](#). Then came the more revealing repricing: after the group stage draw, Argentina's probability surged to [~21%](#) without kicking another ball. Portugal's failure to top its group had handed Argentina an easier path to the semi-finals with no heavyweight opponent until that stage. The market priced the bracket, not a



result. No new information about Argentina's squad quality had changed; what changed was the probabilistic map of their path to the trophy.

That is the efficient market hypothesis operating in compressed time. The tournament is, in this reading, a six-week price discovery mechanism: 104 matches, \$50bn in open interest, and a continuous information flow that no participant can fully anticipate.

Figure 9: World Cup Winner



Source: [Polymarket.com](https://polymarket.com).

Conclusion: Can America make football great again?

The 2026 World Cup has been a live economics seminar mostly confirming the theory. Dynamic pricing has extracted value but triggered a backlash. The anticipated demand boom in host cities has softened under geopolitical pressure. Game-theory distortions have emerged on cue. Superstar pay has widened income disparity further. Fans have overpaid at peak and held tickets at a loss. And FIFA, like any dominant platform, continues to capture a larger share of the value it enables.

The final whistle blows on July 19 at MetLife Stadium in New Jersey. Regardless of the score, the economic outcome is already visible: higher prices, strong revenues, and a tournament that has solidified football's role as both a global spectacle and a significant business engine. Andrew Giuliani — executive director of the White House's World Cup task force — has already suggested expanding the tournament to 64 teams and proposed a US bid for 2038. The arithmetic is simple: more matches, more markets, more revenue.



Appendix 1

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